

What's News

Business & Finance

◆ **Gross U.S. debt** surpassed \$40 trillion, the Treasury Department reported, a new milestone in the country's struggle to control its finances. **A1**

◆ **Government bond yields** fell sharply after the Treasury Department said it would at least double the size of its buyback program for longer-term debt. Stocks rose, with the S&P 500, Dow and Nasdaq all ticking up 0.2%. **A1**

◆ **More Fed officials** favored raising interest rates last month than the three who formally dissented, and others signaled they would back an increase if inflation doesn't improve, minutes show. **A2**

◆ **Amazon is expanding** its drone delivery service with a planned increase from its current scope to nearly 500 cities and towns by year-end. **B1**

◆ **OpenAI promised** not to retain data from businesses using its AI models while improving the safety of its products in a bid to snatch customers from rival Anthropic. **B1**

◆ **Cantor Fitzgerald** plans to give investment funds access to Kalshi's prediction markets, serving as a broker to those clients. **B1**

◆ **Target again raised** its fiscal-year outlook, as the retailer's turnaround takes shape and it draws in more customers. **B3**

◆ **SK Hynix plans** to buy back and cancel more than \$28 billion of its shares over the next three months, accelerating its shareholder-return program. **B4**

◆ **Booming trading** and listing activity in Hong Kong propelled the city's exchange operator to another record quarter, with net profit up 21%. **B11**

Worldwide

◆ **An experimental mRNA-based vaccine** succeeded in preventing cancer from coming back or spreading in a study of high-risk melanoma patients, its developers said. **A1**

◆ **The Army is phasing out** its drone assault battalion months after its formation as part of a back-to-basics approach ordered by the service's acting chief of staff. **A3**

◆ **The Israeli military** said it was launching criminal investigations into two attacks by its soldiers on Palestinians during the Gaza war, including one that killed a young girl. **A6**

◆ **Trump said he** would launch a major economic campaign against Iran, as frustrations mount over the lack of progress on reopening the Strait of Hormuz. **A6**

◆ **The U.S. is likely** to lower tariffs on Canadian steel, aluminum and automobiles as part of a trade framework being devised by Washington and Ottawa. **A3**

◆ **Prince Harry plans** to return to the U.K. with his family six years after he and his wife, Meghan, the Duchess of Sussex, quit their royal duties and decamped to the U.S. West Coast. **A7**

◆ **The FTC warned** retailers against using consumers' personal data, including smartphone use, to calculate an individual's tolerance for higher prices. **A3**

◆ **North Korea responded** icily to Trump's decision to end joint Washington-Seoul military exercises early, calling it an ineffectual goodwill gesture toward Pyongyang. **A16**

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U.S. Debt Eclipses \$40 Trillion

Latest figure, as share of GDP, nears levels not seen since World War II

By SAM GOLDFARB AND MATT GROSSMAN

Gross U.S. debt has surpassed \$40 trillion, a new milestone in the country's struggle to control its finances. The country's "total public debt outstanding" officially hit \$40.047 trillion on Tuesday, the Treasury Department

reported Wednesday, ticking up from \$39.987 trillion a day earlier. Reaching that threshold carries symbolic weight but isn't, by itself, economically significant. Most investors and economists care less about raw figures than other measures, like the ratio of debt to gross domestic product, which provides a better sense of an economy's borrowing capacity. And economists typically focus more on a different measure of government debt—that held by the public—which

U.S. public debt outstanding

Year	Intragovernmental debt	Debt held by the public	Total
2010	10	8	18
2015	12	10	22
2020	15	18	33
2025	18	22	40.047

Source: Treasury Department

Challenger Tests Zelensky's Hold on Power

NEW PRESSURE: Demonstrators backing Mykhailo Fedorov, Ukraine's ousted defense minister, protested Wednesday in Kyiv. Fedorov challenged President Volodymyr Zelensky, calling for elections and warning that democracy is imperiled. **A6**

Women at L3Harris Warned About CEO

It was a warning that was shared among women who worked for Chris Kubasik: Avoid being alone with the executive and be careful on the corporate jet.

By Cara Lombardo, Marcus Weisgerber and Drew Fitzgerald

Multiple women at defense contractor L3Harris Technologies had raised concerns about Kubasik's behavior, including a formal complaint from one woman to human resources that was made around 2023, people familiar with the matter said. The employee ac-

cused the CEO of sexual harassment, the people said. Kubasik stayed on in his role. The woman left L3Harris. Not all L3Harris board members were briefed on the 2023 complaint and it is unclear whether the matter was formally investigated, the people said. Recently, the directors launched a probe into Kubasik after another accusation against him. The board hired outside lawyers and investigated allegations of inappropriate conduct with a subordinate and aggressive, profane behavior, people familiar with the board deliberations said.

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Moderna, Merck Shares Soar On Cancer Vaccine Success

Moderna share price

Day	Share Price
Tues.	~50
Wed.	~174.38

Source: FactSet

By XAVIER MARTINEZ AND ALEX JANIN

An experimental mRNA-based vaccine succeeded in preventing cancer from coming back or spreading in a study of high-risk melanoma patients, Moderna and its partner Merck said Wednesday, paving the way for a potentially new life-extending treatment for the thousands of people diagnosed with the deadly skin cancer each year. Moderna shares more than doubled Wednesday to \$174.38 while stock in Merck notched an all-time high, rising 12.6%

to close at \$152.20. The results rippled through drug industry stocks as investors saw the potential for more blockbuster. It is the second big oncology breakthrough in recent months after a different drug succeeded in extending the lives of people with pancreatic cancer, a notoriously lethal disease. Melanoma has also traditionally been a very deadly cancer, but immunotherapies like Merck's Keytruda have made great strides in improving outcomes. Merck said

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Iron Bond: One Family, One Firm, 130 Years

By JULIET CHUNG

CHATTANOOGA, Tenn.—On a humid June weekend, three generations of Lodges descended on a Westin here. Family members, now also bearing surnames like Keller-mann, Millhiser and Richards, had flown and driven in from all around the country. There was the high-school fencing coach from New Jersey and the aerospace engineer from Washington. There was a 2-year-old toddler, the youngest of the reunion attendees, and an 88-year-old who joined for multiple scheduled events, including a ride up a mountain in a funicular railway. This wasn't a typical family reunion. The gathering coincided with the annual shareholder meeting of the Lodge Cast Iron pan company, which has been melting pig iron and recycled steel to form cast iron pans for 130 years.

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Diet Drugs Alter Big Food's Winning Recipe

With GLP-1s threatening sales, companies test ways to win over the not-so-hungry

By AMIRA MCKEE AND JESSE NEWMAN

Inside an Omaha test kitchen, executives at Conagra recently huddled over plastic trays of microwaved eggs, potatoes and sausage. One by one, they lifted a package of cheese sauce and poured out the liquid in a slow orange ribbon. Ashley Lind, who heads behavior science at Conagra, studied the breakfast

bowl in front of her. She considered: Was it satisfying? No one had tasted the food yet. That was part of the point: Conagra is trying to design products that will entice even people who don't want to eat. The tasting was one of dozens of tests the maker of Slim Jims and Hungry-Man dinners is conducting with an eye toward the conundrum presented

by GLP-1 weight-loss drugs. The medications' power to erase feelings of hunger and satiation threatens to upend the industry's model for growth, where success has often meant selling as much food as possible. For decades, food companies have relied on a proven playbook: cater to consumers' taste buds with sugar, salt and

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LinkedIn Accidentally Became A Dating Site

Despite its no-romance rules, the platform is a go-to tool for singles tired of swiping

By CELIA BERNHARDT

When Rachel Wong saw the connection request pop up on her LinkedIn, she didn't know what to think. An alum of her then-workplace, Sam Sawchuk noted they likely had mutual friends and colleagues. He'd love to grab a

admitted, apologetically, that he'd first seen her on Tinder. Was this a date? Tired of the endless roulette of online dating, more people are looking for love on LinkedIn. While the platform's guidelines strictly forbid any kind of romantic advances, it's increasingly common for the networking site to feature—di-

Love connection

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INSIDE

U.S. NEWS

Trump's executive assistant Natalie Harp is his ever-present protector. **A4**

BUSINESS & FINANCE

Chinese maker of humanoid robots soars 460% in its trading debut in Shanghai. **B1**

This edition of THE WALL STREET JOURNAL was originally published in the United States and reprinted locally for regional distribution.

U.S. NEWS

U.S. Debt Tops \$40 Trillion

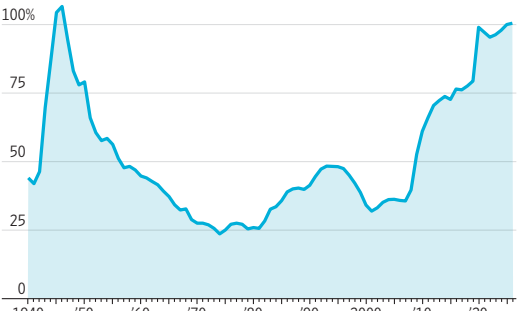
Continued from Page One
doesn't include debt held within the government in Social Security trust funds. That number was \$32.266 trillion on Tuesday.
Still, \$40 trillion is a big number, likely to at least briefly draw attention to what economists broadly agree is an

unsustainable fiscal trajectory. In recent days, rising long-term government borrowing costs—and a sudden reversal Wednesday after the Treasury announced plans to buy back more long-term debt—have underscored the stakes. Here is a look at how we got here and what it means:

The outlook

Debt is accumulated through annual budget deficits—when the government spends more than it collects in revenue.
In recent years, deficits have been unusually large, at around 6% of GDP—a level typically reached only during wars or recessions.
As a result, the U.S. debt-to-GDP ratio is widely expected to keep rising—reaching 120% in 10 years and 175% in 30 years, according to the Congressional Budget Office. That is based on current law.

U.S. publicly held debt as a share of GDP



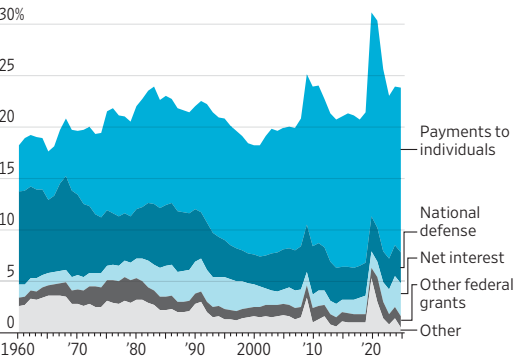
Note: Data are for fiscal years ended Sept. 30 except the figure for 2026, which is as of June 30. Sources: Office of Management and Budget (1940-2025); Treasury Department and Commerce Department (latest)

The path to 100%

Debt and deficits haven't always been a problem in the U.S. Publicly held debt—now approaching World War II levels at about 100% of the country's annual GDP—was just 31.5% of GDP in 2001 after four years in which the government ran budget surpluses.
Wars, the bursting of the dot-com bubble and tax cuts

sent budgets off course in the early 2000s. The 2007–2009 recession supercharged the trend by draining tax revenues and prompting stimulus programs, as did the Covid-19 pandemic. Meanwhile, an aging population has led to increased spending on Medicare and Social Security. But revenues haven't kept pace, with lawmakers repeatedly passing and extending tax cuts.

Composition of federal spending, percentage of GDP

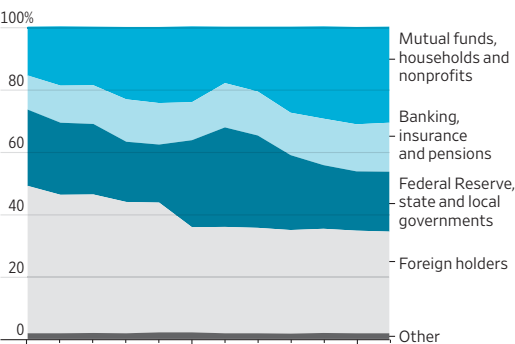


Source: Office of Management and Budget

Who holds the debt?

The government does most of its borrowing from the bond market by issuing securities known as Treasurys, notes and bills. These are bought by investors and institutions around the globe, whose makeup has shifted over the years.
In particular, the share of Treasurys held by foreign investors—both public- and private-sector buyers—has been falling. Hedge funds, counted as “households” in Fed records, have helped pick up the slack.
That has concerned some analysts because hedge funds typically buy Treasurys using borrowed money, which has sometimes caused them to dump bonds during times of market stress, such as when

Holders of U.S. Treasuries



President Trump announced sweeping tariffs in April 2025. That has pushed bond prices down even further, leading to

an increase in their yields, which play a major role in determining borrowing costs such as mortgage rates.

Investors are fully aware that the supply of bonds is going to keep climbing. And yet they keep buying Treasuries anyway, keeping yields relatively close to the short-term interest rates set by the Federal Reserve.

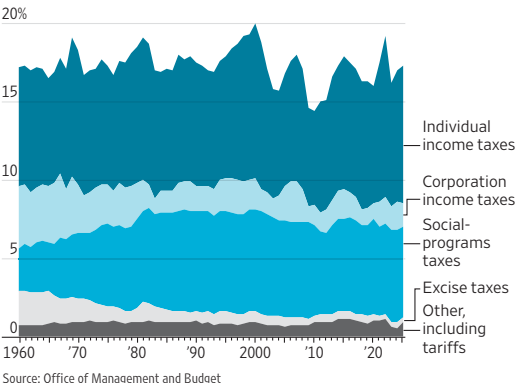
The U.S., in fact, has a big advantage over other countries because Treasuries are widely seen as the safe asset of choice by global investors. They benefit from a virtuous cycle: Investors like to own Treasuries because they are so liquid, or easy to buy and sell, compared with other government bonds.
That demand in turn ensures that the bonds remain liquid—and has allowed, at least so far, the U.S. to keep borrowing with relative impunity.

The crux of the problem

The breakdown of federal spending shows why meaningful cuts are so difficult. The vast majority of the government's spending goes to programs that promise benefits to individuals, such as Social Security and Medicare. Trimming these would likely anger many voters.
Meanwhile, rising debt means higher interest pay-

ments, which aren't optional either.
Everything else that the government pays for—federal salaries, office buildings, law enforcement—makes up a relatively small share of spending.
Since the 1960s, federal spending has grown substantially relative to the broader economy, while revenue, mostly tax receipts, has stayed about the same.

Federal revenue as a percentage of GDP



Source: Office of Management and Budget

Magnitude of \$40 Trillion

The sheer scale of America's \$40 trillion debt is hard to fathom. The amount is significantly greater than U.S. annual GDP. That means even if all U.S. income went toward paying down the debt for a full year—rather than to things like salaries, corporate profits and investment—the federal government would still owe trillions, by

this measure.
If Elon Musk helped pay down the debt by sacrificing the entirety of his nearly \$1 trillion net worth—itself a mind-boggling sum—it would barely make a dent. The gross debt owed by the federal government is also nearly equal to what is owed by all U.S. households and businesses combined (excluding banks).

Bond Yields Fall on Move By Bessent

Continued from Page One
significantly step up purchases of government bonds as part of its existing buyback program. Markets quickly responded in a way they haven't to Bessent's previous moves, with stocks rising and Treasury yields falling sharply.
“I've been saying ‘bond traders can stop panicking when the Fed starts panicking.’ I guess I should have said, ‘bond traders can stop panicking when Scott Bessent starts panicking,’ ” Jim Bianco, president of Bianco Research, posted on X shortly after the announcement.
A former hedge-fund manager who specialized in analyzing geopolitical situations and economic data, Bessent has cultivated the image of a market-savvy Treasury secre-

tary—not afraid to intervene in currency markets or cite market conditions when discussing how the government should conduct its borrowing.
Calling himself the “nation's top bond salesman,” Bessent has talked openly about wanting to push down bond yields to lower mortgage rates and other borrowing costs. But that hasn't gone according to plan, putting pressure on the Trump administration ahead of this year's midterm elections.
Treasury yields, which set a floor on interest rates across the economy, have been steadily rising in recent months, with the yield on the 30-year bond topping 5.3% this week—its highest level in nearly two decades. Average mortgage rates have been creeping back up toward 7%, while the budget deficit has hovered near 6% of the country's GDP—well above Bessent's longer-term 3% target.
Though presented as a technical maneuver to improve the smooth functioning of the bond market, many on

Wall Street saw the buyback plan as an obvious effort to achieve Bessent's previously stated aims. And it appeared to work, with the 30-year yield dropping nearly a 10th of a percentage point in the initial hours after it was made—a sizable change for such a short period.
Stocks ended higher, with the S&P 500, the Dow Jones Industrial Average and the Nasdaq
Yield on 30-year U.S. Treasury bond
5.300%
5.275
5.250
5.225
5.200
5.175
Wed. 6 a.m. noon
Source: Tullett Prebon

composite all ticking up 0.2%.
The timing of the announcement clearly suggests “that they didn't like what was happening,” said John Briggs, head of U.S. rates strategy at Natixis Corporate & Investment Banking. Even if the Treasury doesn't end up buying that many more bonds, the move sends a message that the government could always do more to keep yields in check, he added.
The Treasury Department didn't respond to requests for comment. But some of Bessent's allies said they also believed the move was intended to drive down bond yields. “He's financially savvy and he sees this as a way to alleviate the pressure on the rates,” said longtime external Trump economic adviser Steve Moore.
Bessent, who turns 64 years old this week, is hardly alone in the Trump administration in wanting lower rates. Elected by voters angry about the cost of living, President Trump has repeatedly argued that short-term rates set by the Federal Reserve should be much lower.

Bessent's talk early last year about bringing down Treasury yields struck many observers as at least partially intended to redirect Trump's attention away from the Fed, the independence of which is widely seen on Wall Street as critical for financial stability.
It was never clear what Bessent could do to have a big impact on yields, which are largely determined by the economic outlook and how investors think the Fed will respond to those conditions.
In one move, Bessent spearheaded an effort to ease a crisis-era financial rule that some argued was keeping banks from holding more Treasuries. The Treasury Department also held off on increasing the sizes of medium-to-long-term debt auctions—a step most analysts believe will eventually be necessary to fund the government's hefty spending commitments.
Yields have continued to climb, driven in large part by stubbornly high inflation and surprisingly strong economic growth. That combination has

More Fed Officials Wanted Rate Hike

By NICK TIMIRAO

More Federal Reserve officials favored raising interest rates last month than the three who formally dissented, and others signaled they would back an increase if inflation doesn't improve, according to minutes of the meeting released Wednesday.
“Many participants assessed that policy tightening would likely be necessary if inflation did not decline,” the minutes said.

The decision to hold the benchmark rate steady between 3.5% and 3.75% drew three dissents from Fed presidents who thought a rate increase was warranted. While there are 12 voting members of the Federal Open Market Committee, a total of 19 officials, including seven bank presidents without a vote, participate in the meetings. The minutes suggested that some officials without a vote would have also supported raising rates.
At a news conference after the July 28-29 meeting, Chairman Kevin Warsh deflected criticism that holding rates meant the Fed was doing nothing. He pointed to the rise in market interest rates since the June meeting, in both nominal and inflation-adjusted terms, as evidence that financial conditions had tightened without the Fed acting.

The minutes noted the tightening partly reflected strong growth and “market expectations that the Committee would adopt a more restrictive policy stance before long,” meaning the restraint Warsh cited rested on an increase the Fed hadn't committed to making. Some officials went further, saying financial conditions might not be restrictive enough to return inflation to 2%.
Inflation has run above the Fed's 2% target for five years and has been stuck between 2.5% and at least 3.5%, depending on the measure.
Since last month's meeting, the data have done more to lower the urgency of a rate increase than to settle the argument for one.
The July employment report showed the unemployment rate fell to 4.1% despite a decline in job creation. The consumer-price index showed inflation measures were mild in July.

CORRECTIONS & AMPLIFICATIONS

A judge ordered Meta Platforms to create a \$567 million abatement fund as part of remedies stemming from a New Mexico trial. A U.S. News article on Wednesday about a different child-safety trial in California incorrectly said \$567 billion.

A map with a Page One article on Tuesday about the war in Iran showed strikes after

the U.S. and Iran signed a memorandum of understanding, with blue dots representing U.S. and other strikes in Iran; the other category includes strikes by unknown actors. Israel isn't known to have conducted any strikes against Iran since the MOU was signed, according to the Institute for the Study of War and the American Enterprise Institute's Critical Threats Project.

The map was incorrectly labeled as “U.S. and Israeli strikes in Iran.”

The Consumer Rates table published in the Business & Finance section on Wednesday contained incorrect money-market/savings account rates for the listed banks. Corrected rates are as follows: Bread Savings, 3.95%; E*Trade, 3.5%; Salie Mae Bank, 3.75%; Synchrony

Bank, 3.3%; and Popular Direct, 3.9%. The table incorrectly said 4.25%, 4.35%, 4.35%, 4.35%, and 4.5%, respectively.

The title of Gary Mottola, the director of research at Finra Investor Education Foundation, was given incorrectly as Finra's director of research in a Business & Finance article on Monday about financial advice on TikTok.

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U.S. NEWS

U.S. Weighs Modified Tariff Deal For Canada

BY GAVIN BADE
AND AMANDA COLETTA

The U.S. is likely to lower tariffs on Canadian steel, aluminum and automobiles as part of a trade framework being devised by the nations, according to people with knowledge of the negotiations.

Though the deal hasn't been finalized, the U.S. is considering a plan to lower tariffs on steel and aluminum from 50% to 25%, and decrease top-line tariffs on automobiles from 25% to 15%, the people said. They cautioned that terms of the deal could change before any official announcement.

The moves would come as part of a trade deal between the countries that President Trump announced on Tuesday night, hours before a separate set of tariffs on Canada were scheduled to take effect early Wednesday. He said imposition of 50% tariffs on some \$20 billion worth of Canadian goods would be paused for three days while talks continued.

Canadian officials have made lowering tariffs on sectors such as steel, aluminum, lumber and automobiles a priority in those trade negotiations and a condition for the country making concessions to U.S. demands. But the nations have so far released no official details on how U.S. tariffs will change under the agreement.

A White House official said an agreement with Canada is "being finalized," and any reporting about its details "should be regarded as speculation" until an announcement is made. The Office of the U.S. Trade Representative didn't immediately comment. The Commerce Department, which administers the steel and aluminum tariffs, declined to comment. A spokesman for Canada's minister in charge of U.S. trade declined to comment.

Trump said Wednesday that he was "looking at" reducing tariffs on Canadian steel and aluminum to levels faced by other nations.

"We may bring some of the tariffs down to the level where other countries are, because Canada was paying a higher tariff," the president said, adding that Canadian tariffs on U.S. agricultural goods would also be removed in the deal.

It remains unclear how the new U.S. tariffs will account for the U.S.-Mexico-Canada Agreement. Under that deal, automakers are given deductions from the 25% tariff for the U.S. content in their vehicles, significantly lowering the overall tariff on automobiles that comply with the USMCA.

Steel imports from Canada could face a quota system, said some of the people familiar with the talks, and tariffs on imports that exceed the quota would be higher. Aluminum isn't likely to face a quota under current considerations, they said.

Prime Minister Mark Carney said Wednesday "significant progress" had been made, without providing details. "Canada entered these discussions with the best overall trade terms," he said. "We are now moving towards an agreement that reinforces that Canadian advantage."

Dominic LeBlanc, Canada's minister in charge of U.S. trade, said Wednesday the country's "supply-management system" for dairy would be protected under the deal. That system allows the government to set prices for dairy products and imposes import controls and quotas on domestic producers to keep supplies in check.

Carney was clear that "we needed to ensure that the supply-management regime remained entirely intact," LeBlanc said.

The Trump administration has identified the system as a major grievance in bilateral ties, and it has also drawn criticism from countries such as Australia and New Zealand for limiting market access.

Under the USMCA, tariffs as high as 300% on U.S. dairy products apply after a certain percentage of exports enter the country tariff-free. In 2023, a USMCA dispute-settlement panel found that Canada's dairy-import quotas don't breach the trade pact.

Army Phasing Out New Drone Unit

Gen. LaNeve takes aim at cutting-edge battalion in a 'back to basics' approach

BY MICHAEL R. GORDON
AND LARA SELIGMAN

The Army took a major step to prepare for wars of the future in January when it established a new battalion in Europe to master the art of fighting with drones and ground robots.

The idea was to learn the lessons of the conflict in Ukraine that has been raging on NATO's doorstep and develop cutting-edge military systems and tactics to counter the Russian threat.

But the much-touted drone assault battalion is being phased out. After participating in a major exercise in Germany in August and September, the unit will report its findings to the Army to guide future experimentation, shed its drone assault role, and "refocus on its core warfighting tasks as an airborne infantry battalion," an Army official told The Wall Street Journal in a statement.

The elimination of a futuristic drone battalion is part of a broader "back to basics" approach ordered up by Gen. Christopher LaNeve, the acting chief of staff of the Army who is closely aligned with Defense Secretary Pete Hegseth. The battalion was a signature initiative of LaNeve's predecessor, Gen. Randy George, whom Hegseth ousted in April.

The decision to wind down the drone assault unit is drawing criticism from several military experts who say it will slow down the Army's push to excel in the kind of drone warfare that has transformed the battlefield in Ukraine and the Middle East.

"Ukraine has essentially revolutionized the close fight," said Michael O'Hanlon, a defense expert at the Brookings Institution in Washington. "Gen. George was starting to get that, and any setback in what he was doing would be deeply regretful and dangerous."

The Army didn't say how it plans to speed the service's abilities in drone warfare after



Above, a soldier was instructed on operating a one-way attack Hornet Drone at a training area in Germany this past March. Gen. Christopher LaNeve, below, has ordered up the elimination of the drone battalion, which was an initiative of his predecessor.



the drone assault battalion is phased out.

A spokesman for the Army said the service "is committed to accelerating U.S. military drone dominance to meet the demands of large-scale combat operations," but declined to comment on future plans.

"We rigorously test a wide variety of unmanned and counter-unmanned technologies in the field. Ultimately, these aerial systems are enablers that support our soldiers," the spokesman said.

A spokesman for LaNeve declined to comment.

In a memo to the force Wednesday, LaNeve outlined his plans for the direction of the service.

"U.S. Army forces must be prepared to overcome the most complex challenges our adversaries can impose and master an operational environment that looks fundamentally different from the battle-

fields of yesterday," LaNeve wrote in the memo, which was obtained by the Journal.

In an attached document viewed by the Journal, LaNeve vowed the Army would continue to change and establish units with advanced cyber, electronic warfare and artificial intelligence technologies.

Since George's ouster, Hegseth has thrown his support behind LaNeve, who served as his senior military aide in 2025 before assuming the role of Army vice chief in February. But the prospect of LaNeve serving as Army chief of staff has run into Republican as well as Democratic congressional opposition, the Journal reported.

LaNeve's temporary status hasn't precluded the four-star from putting his stamp on the Army. Legal experts say LaNeve can serve indefinitely in an acting capacity because he is confirmed as the Army's

vice chief.

Since LaNeve assumed the helm, the Army made a series of decisions that go beyond drones. Some of LaNeve's most significant decisions have affected the U.S. military posture in Europe, where American combat brigades have already been reduced under President Trump.

Under LaNeve, the Army is moving a "Multi-domain Task Force" from Europe to South Korea, Army officials said. That specialized unit integrates cyber, intelligence and modern warfighting systems and has been an important component of the Army's military capabilities on the continent. LaNeve has also reassigned the Fort Hood-based III Armored Corps, which had been focused on bolstering Army forces in Europe, to the new Western Hemisphere Command.

Some of LaNeve's orders have caused friction with Army Secretary Dan Driscoll, who worked closely with George. Driscoll and Hegseth have been at odds for months over the dismissal of senior Army leaders, changes to the service and other issues, the Journal has reported.

LaNeve and Driscoll clashed this summer over LaNeve's effort to rewrite the Army's physical fitness standards, U.S. officials said. Under LaNeve's direction, the service replaced traditional height to weight tables and circumference-

based tape tests with a "waist-to-height ratio" of less than 0.55 as its new body composition standard.

Driscoll pushed to keep a performance exemption for soldiers who score highly on the Army Fitness Test, arguing that under the new system stocky but strong soldiers would be unfairly punished. But LaNeve dug in his heels and a performance exemption was excluded, U.S. officials said. (Exemptions for pregnant and postpartum soldiers remain in effect, according to Army officials.)

More recently, the Army canceled plans to have senior Ukrainian officers speak at the service's center for maneuver warfare at Fort Benning in Georgia, U.S. officials said.

Retired Lt. Gen. Keith Kellogg, who served in the first and second Trump administrations, praised the general. "LaNeve is hard over pushing standards. That is his strength. He is uncompromising for the good of the force," said Kellogg, who recommended LaNeve to Hegseth.

The establishment of the Army drone unit followed an intensive effort by Army leaders to mine the lessons of Russia's war against Ukraine. George, Driscoll and Gen. Chris Donahue, then the top Army commander in Europe, traveled to Kyiv last November to meet with Ukrainian drone commanders.

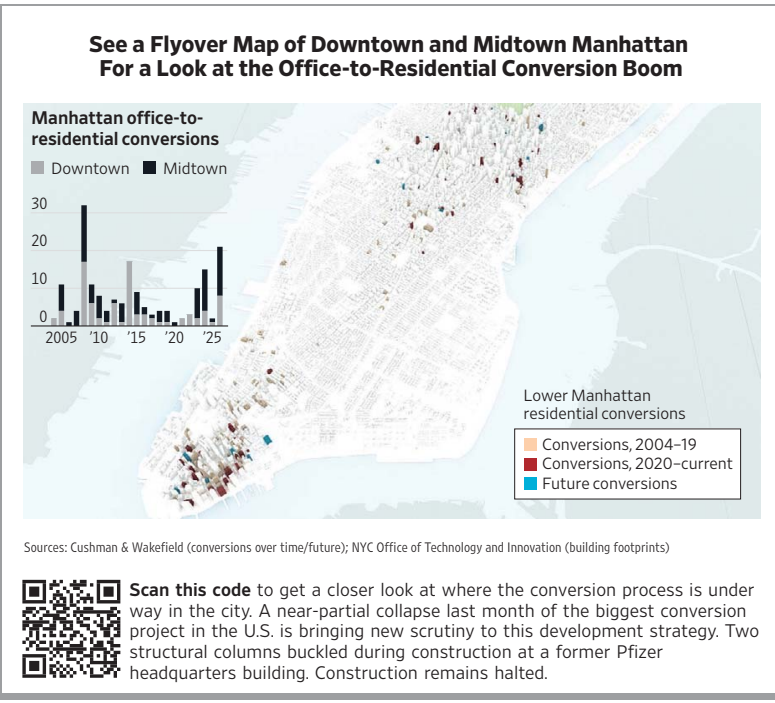
George had already moved to transform Army infantry brigades into maneuver forces that had units equipped with reconnaissance and strike drones. But in an age of drone and ground robotic warfare, George's concern was that the service needed to go bigger and faster. Both Russia and Ukraine have drone combat units and military branches dedicated to drone and robotic warfare.

That November, the Army decided to establish a "tactical unmanned systems battalion" that would study the lessons from Ukraine and develop new concepts for fighting with drones and robots in support of a larger Army brigade combat team, the Army official said in his statement. The battalion, with around 600 soldiers, was formally established in January, using troops from the 173rd Airborne Brigade.

Helipad Emerges Amid Dirt, Cranes



LANDING ZONE: President Trump, shown at the top of the presidential seal with his right arm extended, spoke at the construction site of the White House helicopter landing spot.



Retailers Are Warned Over Dynamic Pricing

BY DAVE MICHAELS

Merchants have become skilled at using online shopping habits, smartphone use and other personal data to charge consumers higher prices. Now the Federal Trade Commission is putting retailers on notice that such personally tailored pricing risks breaking the law.

In a new enforcement bulletin released Wednesday, the commission told companies that they must disclose when they use highly detailed information about individuals to personalize a price offer. The new statement puts the Trump administration's imprint on a burgeoning movement to rein in how merchants use price-setting algorithms.

Companies must offer "clear and conspicuous" disclosure of any personalized pricing, including the type of data that was used to generate the offer, the FTC said in its statement. The agency says it lacks authority to prohibit the practice but would "deploy enforcement resources" when it spots companies that don't follow its disclosure standards.

Businesses have long set different prices for distinct groups of consumers based on their willingness to pay for a product or service. College students and senior citizens, for instance, may see lower prices for subscriptions or mobile-phone contracts.

Varying prices down to the individual level has long been the holy grail of marketing, but it has become politically charged. Companies collect vast

amounts of data about consumers, including browsing history, location, device type, purchase patterns, and even how long a cursor hovers over a product. Software that automates price-setting—often driven by AI—can quickly turn that data into tailored pricing.

The FTC undertook a study of the practice during the Biden administration and found it could be used to set higher prices when merchants know that shoppers, such as new parents or first-time car buyers, are unfamiliar with a market. FTC Chairman Andrew

Ferguson, then a minority member of the commission, said at the time that Democrats rushed out the findings, but didn't take a firm view on personalized pricing.

Since then, Instacart was revealed to have allowed retailers to use its software to vary prices for individuals across four cities who added the same items simultaneously to their shopping carts. Instacart said the experiment helped retailers understand consumer preferences but scrapped the tests after customer pushback.

The FTC said in its statement that a "food delivery company quoting a higher price to consumers on the basis of data personal to those consumers" would require disclosure. So would ride-share companies that charged a user more based on knowledge that the passenger didn't have a competing app on their phone.

Democrats such as Sen. Elizabeth Warren (D., Mass.) say dynamic pricing is a way to squeeze customers.

Individual pricing has become politically charged.

U.S. NEWS

Trump’s Executive Assistant Is His Ever-Present Protector

Natalie Harp stayed loyal after 2020 loss and now rarely leaves the president’s side

WASHINGTON—Sen. Jon Ossoff didn’t even use her full name. But everybody in Washington knew who he was talking about.

By Philip Wegmann, Meridith McGraw and Josh Dawsey

At a recent campaign event, the Georgia Democrat argued that President Trump would rather “travel with Natalie” on Air Force One than do the hard work that comes with being commander in chief.

The Natalie in question is Natalie Harp, a 35-year-old aide to Trump who has become an object of fascination for both the left and the right. Though she rarely speaks, she is an omnipresent figure at Trump’s side, standing just off camera during Oval Office events, traveling with the president around the country and the world, and tapping out his social-media posts.

Videos and photos of her interacting with the president have racked up millions of views online, becoming a new form of Trump-era clickbait.

To Democrats, Harp is one of the president’s chief enablers. For Republicans, she is Trump’s gatekeeper. A well-timed text to Harp can unlock access to Trump, giving well-known lobbyists and fringe figures alike an audience with the most powerful man in the world.

Ossoff’s comments about Harp were met with near-unanimous derision by conservatives, a rare moment of comity in a political movement beset by divisions. Some of Ossoff’s critics accused the senator of insinuating that the president and his executive assistant have an inappropriate relationship, a contention the White House strenuously denies.

White House communications director Steven Cheung fired back with a vulgar insult. Scott Jennings, a conservative commentator, accused Ossoff of sexism and called him “a coward,” while Hugh Hewitt, a conservative radio host, attacked Ossoff as “a mean-spirited jerk who traffics in slander.” Trump compared the Georgia senator to Pee-wee Herman.

Asked for comment, the Ossoff campaign referred to remarks the senator made in a Monday night interview with MS Now. Harp and other White House aides, Ossoff argued, aren’t telling the presi-



Natalie Harp, seen in the Oval Office, has direct access to the president’s Truth Social account.

dent “what he needs to hear.” “The reality of it is, politics gets in the mud sometimes,” Rep. Julie Johnson (D., Texas) told CNN this week, defending Ossoff. The congresswoman said Trump and his political allies have long made pointed attacks against their opponents, arguing they “resort to the worst of the playground antics.”

The intensity of the push-back from Republicans underscored an ironclad truth inside the White House:

Harp, according to current and former administration officials, is practically untouchable.

Harp spends more time with Trump than any other aide, according to current and former administration officials. She sits at a desk immediately outside the Oval Office. During meetings, Harp can often be found next to Trump, armed with a laptop and phones so she can quickly get the president any contact or piece of information he needs, the officials said.

Role in Trump posts

Harp is one of a small number of aides with direct access to Trump’s Truth Social account. She often brings the president stacks of printed-out draft social-media posts for his approval. Trump sometimes dictates posts to Harp, who posts them on his behalf from her iPhone. She has learned to mimic Trump’s cadence and unique punctua-

tion, the officials said.

Harp serves as both a buffer and sounding board for the president, a role that has at times frustrated some White House staff, according to people familiar with the matter. Some administration officials have privately complained that Harp has shown the president material from far-right groups that is riddled with false or misleading information.

The shortest path to getting something on the Reso-

lute Desk, the people said, is often through Harp. One person close to the White House said that Harp’s cellphone number is even more precious than Trump’s.

White House officials say Harp remains in constant contact with the president, sitting in on Situation Room meetings, Oval Office meetings and meetings aboard Air Force One in his private office.

While all executive staff work for the president, Harp reports exclusively to Trump and no one else, according to people familiar with the dynamic. She has at times ruffled feathers among White House aides by immediately following through on Trump’s directives without first checking in with the chief of staff, the communications office or the national security team.

This year, at Trump’s direction, Harp posted a video that included racist imagery depicting Barack and Michelle Obama as apes, and an AI-generated image of Trump as a Christ-like figure, The Wall

Street Journal previously reported. The White House deleted both posts after Trump faced bipartisan criticism.

White House spokesman Davis Ingle called Harp “one of the most loyal and hardest working aides on President Trump’s team.” He criticized Ossoff and said he is advancing liberal policy priorities that Republicans consider extreme. The White House declined to make Harp available for an interview.

Right to Try Act

Harp, who grew up in a conservative Christian household in California, was diagnosed with Stage 2 bone cancer roughly a decade ago. She credits the Right to Try Act—a law signed by Trump in 2018 that allows some terminally ill patients to take unproven drugs for emergency use—with saving her life.

In 2020, Harp was invited to speak at the Republican National Convention about her experience. Harp later joined the conservative One America News Network, where she anchored a weekday evening program from 2020 to 2022 and frequently defended the president’s false claims of a stolen election. She left her television job in 2022 to work for Trump as an executive assistant when many Republicans in Washington had written off Trump.

Trump, according to some officials, views Harp almost as part of his family. Once, after his Georgia indictment, Trump remarked on his private plane that Harp is the only one who actually cares about him, according to a person familiar with the remarks.

How a Progressive Swung Florida Upset

By ALYSSA LUKPAT

Democratic socialist Angie Nixon won a surprise victory in Florida’s Senate Democratic primary on Tuesday, throwing a big curveball into a contest in which Republican incumbent Sen. Ashley Moody is heavily favored in November.

Nixon, 42 years old, a Jacksonville state representative, secured 56% of the vote compared with 44% for retired Lt. Col. Alex Vindman, who significantly outtraised her and had national name recognition as a figure in President Trump’s first impeachment.

“We have proved that everyday people are more powerful than the corporations and billionaires,” she said in her victory speech. “This win is for the little guys and girls.”

Moody, the Trump-endorsed former Florida attorney general, was appointed by Republican Gov. Ron DeSantis last year after Marco Rubio resigned to become U.S. secretary of state. Following Tuesday’s results, election analysts at Sabato’s Crystal Ball moved the race from “likely Republican” to “safe Republican,” seeing Nixon as a weaker candidate for the Democrats.

Here’s what to know about Nixon.

Affordability, health

Nixon ran on advocating Medicare for All and a federal minimum wage of \$25 an hour. She also supports a billionaire tax, free child care and a national rent freeze.

“Healthcare is a right and we need to treat it as such and that’s the No. 1 priority for me when I head to the United States Senate,” she told Fox 35 in Orlando this week.

Statehouse record

Nixon was elected to the statehouse in 2020. She introduced a Gaza-ceasefire bill in 2023 that was defeated by a vote of 104 to 2.

She protested the GOP-led

redistricting in Florida earlier this year by marching through the legislative chamber and shouting into a pink bullhorn. She was arrested for sitting in DeSantis’s office to protest the redistricting. She faces two misdemeanor charges over her governor’s office protest and is due in court next month.

Tight budget

Nixon raised \$975,000, according to federal campaign filings, versus the \$16.3 million taken in by Vindman. Heading into election night, she was seen as a heavy underdog, with prediction market Kalshi having her chances at less than 10%.

“I’ve been traveling all across the state of Florida in my own personal vehicle, sometimes sleeping on my friends’ and family’s couches so that I can talk to as many voters and as many Floridians as possible,” she told Fox 35.

Modest background

Nixon’s mother worked two jobs to take care of her and her brother when they were growing up, she said on her campaign website.

Nixon runs a bookstore in Jacksonville called Cafe Resistance that spotlights titles by Black authors. She graduated from the University of Florida with a degree in political science. She is married and has two children, according to a biography on her state representative webpage.

Former organizer

Nixon said on her campaign website that she was the executive director of Florida for All, a coalition of organizations that has worked on issues including voting rights and affordable housing.

She joined the Democratic Socialists of America earlier this year. She was an adviser to former Democratic state Rep. Mia Jones, whom she considers a mentor.



Angie Nixon campaigned in Miami’s Little Havana last week.

It’s always been easier for me to help others than to help myself

A photograph of a middle-aged man with a beard and a grey cap, sitting in a chair and looking directly at the camera. He is wearing a grey t-shirt and khaki pants. His hands are clasped in his lap. The background is a simple, light-colored wall.

As a Veteran, when someone raises their hand for help, you're often one of the first ones to respond. But it's also okay to get help for yourself. Maybe you want or need assistance with employment, stress, finances, mental health or finding the right resources. No matter what it is, you earned it. And there's no better time than right now to ask for it. **Don't wait. Reach out.**

ad COUNCIL

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U.S. NEWS

U.S. WATCH



PEDAL TO THE MEDAL: A youngster gave it his all on Wednesday as he competed in the Tractor Pull contest on day seven of the Iowa State Fair in Des Moines.

Moderna,
Merck Rally
On Vaccine

Continued from Page One
Moderna’s study looked at people who had surgery to remove a melanoma and were using the personalized cancer vaccine intismeran in combination with Keytruda to reduce the risk of it returning. The study met the main goal of extending the time before cancer returns in high-risk patients when compared with patients on Keytruda alone. The study also met a secondary goal of preventing the disease from spreading to different organs.

“I have a feeling that this is just the beginning of a new field,” said Jane Healy, a vice president of oncology at Merck, adding the goal for patients is “to give them longer without having to worry about treatments for cancer.” The companies didn’t provide specific details about how long patients taking the Moderna-Merck combination lived without their cancer progressing or how long they lived on average. The companies will present more details at a medical conference this year. Investors and researchers will be watching closely to see how effective and tolerable the vaccine proves to be, as that has the potential to dictate its chances for approval and how widely it is used. The results mark the first successful late-stage trial for a personalized mRNA cancer

therapy, validating decades of research into treatments engineered specifically for an individual’s tumor mutations. For Moderna, these results could pave the way for its entry into the \$240-plus-billion cancer-drug market, a boon for a company that has been dependent Covid-19 vaccine sales, which have been falling. For Merck, this could bring a new drug into its arsenal to help offset the impending patent loss for Keytruda, one of the top-selling drugs in the world. Moderna has been trying to regain financial ground after years of consecutive losses since the Covid-19 pandemic started to wane. “We are now an oncology company,” said Moderna Chief Executive Stéphane Bancel. “By Christmas, you could have a company that’s going back into sales growth for the first

HAWAII
One Storm Passes,
Another One Looms

As people in Hawaii worked to remove debris and fix damaged infrastructure in the wake of Lala, forecasters on Wednesday warned of the likelihood for another tropical cyclone forming southeast of the islands. It was too early to tell the exact location or potential wind, rain and storm surge impacts of the next potential storm, but “interests in the Hawaiian Islands should closely monitor the progress of this system,” the National Hurricane Center warned. It added that it could be a hurricane when it moves near or over the islands by the weekend. The death toll from Lala rose to two with the discovery of a man’s body near a highway.

—Associated Press

TEXAS
Dogs, Cats at Risk
As Adoptions Stall

Adoptions are on hold for thousands of dogs and cats in Texas, potentially putting the animals at risk of being euthanized, because of efforts to stop the spread of the New World screwworm, an insect that has crossed the border from Mexico into the U.S. for the first time in 60 years. The flesh-eating parasite threatens the nation’s \$113 billion beef industry, prompting federal officials to close the border to cattle movements. Because the screwworm also can infect pets, most states have restricted the movement of animals from infested areas of Texas, leading to crowded conditions in state shelters that rely on adoptions to other regions of the country.

—Associated Press

KENNEDY CENTER
Trump’s Name
Stays Off for Now

The Kennedy Center has told a federal court that it wouldn’t attempt to return President Trump’s name to the building’s facade before at least Sept. 8 as another legal battle over the performing arts venue’s future takes shape. In a status report filed late Tuesday, opponents of the move said members of the Kennedy Center’s Trump-aligned board “seem intent” on defying an earlier court order requiring the Republican president’s name to be removed from the building. The Kennedy Center said it wouldn’t move forward with the plans until after Labor Day “at the earliest” to allow time for legal arguments. The board also voted to back a two-year closure for renovations.

—Associated Press

Family
Keeps Grip
On Firm

Continued from Page One
Most of the families had long since left nearby South Pittsburg, Tenn. Hardly any of them work at the company or in the factory itself, let alone could tell you much about the melting temperature of pig iron. But in an era of public offerings and rich acquisitions, this family has kept a tight grip on the handle of the business their patriarch founded in 1896. Each year, dozens of Lodges return to Tennessee. The 70 family shareholders come back for the company’s annual meeting; the extended family, every five years on the company’s dime.

“As there get to be more family members, and more in the sixth [generation] than in the fourth, it’s a greater challenge for those individuals to connect,” said David Lodge, 69, a fourth-generation family member, Lodge director and biology professor at Cornell University. The gatherings help family members get to know each other and “make sure that knowledge and affinity for the company continues,” he said. A sprawling universe of family-owned companies has stayed private, often giving priority to different values than public companies. Spanning everything from huge, multigenerational businesses like agriculture giant Cargill and candy maker Mars, to midmarket companies like Lodge and small businesses, these family-owned businesses are a force in the U.S. economy. Many of them are part of the “stealthy wealthy,” folks who make great sums of money with little fanfare or flash. Family-controlled businesses, whether public or private, employ 59% of the U.S. workforce, excluding federal employees, and generate 54% of U.S. gross domestic product, according to 2021 data from Washington, D.C.-based advocacy group Family Enterprise USA. “It’s just a remarkable part of the economy,” said Josh Baron, a senior lecturer at Harvard Business School who studies family businesses, which he also defines as family-controlled companies, public or private. “We treat it as if it’s this specialty thing, but it’s the majority of the economy in most places in the world.” The family behind Lodge has



Members of the Lodge family that controls the Lodge Cast Iron pan company gathered for a family reunion in June in Chattanooga, Tenn.

no interest in relinquishing ownership of the company, said Lodge Chairman Jay Daniel, a fifth-generation family member and founder of an IT company. “It wouldn’t be the same business if the family doesn’t remain connected to it. As a private company, we get to think about the next quarter-century and not the next quarter.” For much of its history, Lodge has just scraped by. In 1996, at the 100th anniversary of Joseph Lodge building a foundry on the banks of the Tennessee River, Henry Lodge, the company’s chief operating officer at the time, was worried the company might fold even as family members gathered to celebrate the milestone. Sarah Lodge Tally, a retired lawyer and company director who lives in Nashville, Tenn., said her parents urged her to look outside the company for work when she was growing up. A breakthrough—and the company’s turn toward growth and profitability—came in 2002 when Lodge figured out how to season its products so they could be used off the shelf, eliminating the need for customers to peel away a wax layer and bake items in an oven for hours before they were ready to use. The 2008 financial crisis accelerated the company’s “hockey-stick growth,” as one director put it. Consumers started cooking for themselves more, and sales of its bestselling 10.25-inch skillet, typically selling for \$29.95, spiked. The start of the Covid pandemic in 2020 led to a surge in demand, too.

Lodge today employs about 570 people, near its record during the Covid pandemic, and is the largest employer in the county. It has employed three or four generations of some families. Collectors pay up for rare, vintage products like waffle irons and garden gnomes; a Grateful Dead pan fetched \$4,100 in an auction at the Lodge Museum in 2024. Skillets get passed down in wills. Under Mike Otterman, Lodge’s first nonfamily CEO, Lodge has added production capacity with a new foundry, continued to upgrade its teams and equipment, and reduced turnover in its hourly foundry workforce by upping hourly wages and expanding benefits. The company’s annual revenue has grown more than 10 times since 2002; Otterman declined to provide profitability figures or the company’s valuation. Before the board hired Otterman, two fourth-generation second cousins had led Lodge for nearly 50 years despite a relationship marked by

what Daniel called “productive friction.” “Bowtie” Bob Kellermann was the convivial sales guy who got Lodge into Walmart and Williams-Sonoma, while Henry Lodge dove into finances and foundry operations. Each reported to the board. The board pushed for a succession plan after years of Kellermann and Henry Lodge repeatedly saying they would retire—in five more years. Otterman was an 11th-hour candidate. His 2-year-old daughter had died of cancer months earlier and he was planning to take some time off. Catching up with a recruiter friend one Friday, he said he would want to work in the southeast, closer to his wife’s family, at a brand that customers recognized when he returned to the workforce. Come Monday, at his friend’s urging, he was in South Pittsburg interviewing. “Where I was in my life, where my family was, every-

body just adopted me from day one,” said Otterman, who joined Lodge in 2016 and became CEO in 2018. (He and his wife have an 18-year old and an 8-year-old.) Lodge’s roughly 150 family members vary in how early their memories trace back to the company. One director remembers visiting an older foundry as a child and being scared of the dark and noise. Another, Elizabeth Richards, a former chef who had grown up in London and New York, began engaging with the company in her late 20s after attending the 120th anniversary celebration. For younger family members growing up far away, a family reunion or seeing a Lodge pan at a restaurant might be the first time they feel connected to the company. Most of the family shareholders each own less than 1% of the company; three own more than 5% each. Over time, their stakes will dilute further as current holders give their equity away and the ownership group keeps expanding. Stock-restriction agreements mandate that shares can only be transferred within the family, including to spouses and adopted children, or placed in trusts or similar entities that benefit family members. Family members generally don’t live off the dividends company shares throw off, even as they have become

more meaningful in recent years. They instead expect to and do forge their own livelihoods, Daniel said. The company declined to share how much a typical shareholder can expect in dividends annually. When demand slowed after Covid receded, the company suspended dividends for 2022 to maintain employee profit-sharing. Some family members’ interest in the company has grown recently. A “family council” started around 2017 organizes the family reunions and helps educate family members about the company. Multiple applicants now vie for open board seats. Richard Millhiser, 56, part of the fifth generation and a former engineer, said he most recently applied for a board seat in 2025 as his load lightened; in his second chapter, he had become a stay-at-home dad and fencing coach. His two rounds of interviews were tougher than some job interviews, he said. One question he faced during a four-hour grilling: How would he deal with his mother? “My mother is very passionate about Lodge and very opinionated,” Millhiser said of Carolyn Millhiser, a former Lodge director and the family’s de facto historian. “My answer was along the lines of, ‘I’ve been disagreeing with my mother my entire life.’” Carolyn Millhiser, 86, said of her son’s characterization of their relationship, “I think that’s a little extreme...He was raised to think and do his own thing and his brother was, too.” (He got the board seat.)



Demand for Lodge’s cast-iron pans surged during the pandemic.

WORLD NEWS

Dubai Is Key to Squeezing Iran

Washington urged the U.A.E. to curb regime’s access to currency, trade

President Trump’s effort to squeeze Iran into submission will depend heavily on curbing one of the country’s biggest economic lifelines: Dubai.

By Summer Said, Georgi Kantchev and Robbie Gramer

The United Arab Emirates said late Tuesday that it has suspended financial and economic transactions with Iran, potentially threatening Tehran’s access to a major source of imports and a financial back door to the world.

The move follows weeks of Trump administration cajoling of the U.A.E. to crack down on Iranian financial networks operating in the country, telling Emirati officials that targeting money flows linked to Iran’s Islamic Revolutionary Guard Corps could have a greater impact on Tehran than the U.S. naval blockade of Iranian ports, said people familiar with the matter.

The U.S. also has urged the U.A.E. to take tougher action against sanctioned Iranian en-



U.A.E. move could hurt Dubai—a freewheeling global hub for commerce, capital and re-exports.

ties and other networks operating covertly in the Emirates, the people said.

If implemented broadly, the U.A.E. step could significantly curb Tehran’s access to foreign currency and global trade networks as the Iranian economy buckles under soaring inflation, sanctions and wartime disruption. The Trump administration hopes that could increase pressure on Iran to strike a deal.

But severing those links will be difficult. Much of the

activity is deliberately obscured. U.S. sanctions orders in recent years show that oil revenues, foreign-currency trades and payments for Iranian entities have long moved through shell companies and exchange houses in Dubai, often without an Iranian name appearing on the transaction.

Cutting off Iran also would require Emirati authorities to crack down much more aggressively on opaque financial and trading activity, which could

hurt Dubai’s role as a freewheeling global hub for commerce, capital and re-exports.

“When you look at Iranian sanctions evasion and Iran’s ability to earn money from illicit oil sales, Dubai is a major hub for illicit financial flows,” said former U.S. sanctions official Max Meizlish, who is now a research fellow at the Foundation for Defense of Democracies. “The U.A.E. taking action against direct trade and financial activity is important but

the reality is that a great deal of indirect activity flows through banks in Dubai supporting Iran’s shadow-banking and illicit-financing operations.”

The U.A.E. action followed weeks of escalating tensions, including what Emirati officials say were Iranian attacks on seven of its ships this month alone. On Tuesday, Iran fired two ballistic missiles toward the U.A.E., triggering the country’s air defenses. The Emirates’ Defense Ministry said the missiles were aimed at maritime traffic and fell into the sea.

The U.A.E. moves to limit dealings with Iran were planned as part of an effort to deter the Revolutionary Guard’s attacks on its ships.

Emirati officials see the latest measures as part of a gradual escalation rather than a wholesale break with Tehran, said the people familiar with the matter. The U.A.E. is expected to move step by step, beginning with new restrictions on cargo and potentially expanding to a broader crack-down on Iranian-linked entities if the Revolutionary Guard continues its strikes. The approach reflects the U.A.E.’s preference for testing what works, while preserving room to adjust.

The U.A.E. didn’t respond to a request to comment.

Trump Threatens Iran With ‘Economic D-Day’

By MERIDITH MCGRAW AND PHILIP WEGMANN

WASHINGTON—President Trump vowed to unleash what he called “ECONOMIC D-DAY” on Iran as frustrations mount over lack of progress on reopening the Strait of Hormuz or reaching a deal to end the nearly six-month war.

Trump said on Wednesday evening he would launch a major economic campaign against Iran and any entity that does business with the regime.

The president said it would be “the MOST CRUSHING ECONOMIC OPERATION EVER TAKEN AGAINST ANY COUNTRY!” Trump didn’t say what specifically the U.S. will do in addition to the heavy sanctions that are already on Tehran.

“I am also announcing that ANY country that allows its financial institutions, businesses, airports, or government entities to provide any type of lifeline to Iran will itself face TREMENDOUS Economic Consequences,” Trump posted on Truth Social. “Oil smuggling, swap lines, cash transfers, exchange houses, ship registries, front companies—It all needs to stop NOW. You know who you are.” The president called on U.S. allies to support his effort to isolate Iran.

The White House didn’t return a request for comment.

China is Iran’s largest trading partner and the Islamic Republic has economic ties with Middle East neighbors, but trade with Europe is small after years of sanctions and other restrictions.

As part of the U.S. strategy to squeeze Iran economically, the United Arab Emirates said late Tuesday that it has suspended financial and economic transactions with Iran, potentially threatening Tehran’s access to a major source of imports and a financial back door to the world.

Earlier on Wednesday, the president was asked about what kind of economic tools he had to punish Iran and said he had “new things” the U.S. could sanction.

“We have very Draconian sanctions and we’ll see what happens,” Trump told reporters. “It’ll either be extremely good and oil prices will drop like a rock, or we’ll continue doing exactly what we’re doing.”

Israeli Soldiers Face Investigations For Gaza Attacks

By DAVID S. CLOUD AND FELIZ SOLOMON

The Israeli military said it is launching criminal investigations into two attacks by its soldiers on Palestinians during the Gaza war, one that killed a young girl named Hind Rajab and another that took the lives of 15 medical responders.

The announcement comes after a review by the Israeli military into combat incidents involving civilian deaths in Gaza that sparked criticism by human-rights groups and foreign governments. The investigations will be conducted by military prosecutors.

The military said it completed reviews of 150 incidents in Gaza and wouldn’t launch criminal investigations into three other high-profile attacks in which Israeli forces killed aid workers from World Central Kitchen and Doctors Without Borders.

More than 20,000 people

who shouldn’t have been targets are believed to have been killed by the army—most of them Palestinian civilians, but also Israeli hostages, relief workers and journalists, say Palestinian health officials, the United Nations and organizations tracking the war. Israel said it doesn’t target civilians.

On Wednesday, Israel’s military said it carried out several airstrikes in Gaza, targeting two Hamas commanders. “Steps were taken to mitigate harm to civilians, including the use of precise munitions and aerial surveillance.”

One of the attacks hit a police station, killing eight officers and a 13-year-old girl, said the Hamas-run Interior Ministry.

Rajab was killed Jan. 29, 2024, when Israeli troops opened fire on a vehicle carrying her and her relatives who were fleeing fighting in Gaza City. She survived the initial attack, along with a cousin, and called the Palestinian Red



The body of Hind Rajab was found in a vehicle along with the remains of relatives in 2024.

Crescent Society, which dispatched an ambulance.

Rajab, her five relatives and two medics were found dead 12 days later, along with the remains of the ambulance.

“Following review of the findings and due to alleged failures in the coordination of the movement of the Palestine Red Crescent ambulance, it has been decided to initiate a criminal investigation of the incident,” Israel said Wednesday.

Dyab Abou Jahjah, the director general of the Hind Rajab Foundation, a Belgium-based advocacy group, called for the killings to be investi-

gated by the International Criminal Court. “We have no trust whatsoever in the Israeli judicial system.”

The Israeli government has accused the foundation of having “deep connections to extremist ideologies and terrorist organizations.”

In the second incident under criminal investigation, an ambulance looking for people injured by an Israeli airstrike came under fire on March 23, 2025, in Rafah, which sits on the border with Egypt.

When other ambulances and rescue workers arrived to search for the missing medical crew, they, too, came under

fire by Israeli forces, The Wall Street Journal reported.

In total, eight Palestine Red Crescent personnel, six emergency rescue workers, and a U.N. staff member were killed.

Israel’s military said Wednesday its troops were preparing an ambush in the area when the incident occurred. Its investigation found that six of the victims “were identified as belonging to Hamas,” the Palestinian militant group. deputy commander of the unit involved in the attack was ordered to “conclude” his position and another received a reprimand, the military said.

Zelensky Is Facing New Leadership Threat

By MATTHEW LUXMOORE

Ukraine’s ousted defense minister has triggered the biggest challenge to Volodymyr Zelensky’s hold on the presidency since Russia’s invasion, calling for wartime elections and warning Ukrainian democracy is imperiled.

Mykhailo Fedorov, whose dismissal last month prompted antigovernment protests, lambasted Ukraine’s leadership and what he called a lack of democratic process in the country, in a video address urging changes to root out corruption, excessive bureaucracy and cronyism.

Adding to the pressure on Zelensky, hours later investigators from Ukraine’s anticorruption unit conducted a series of raids as part of a probe into the activities of Ukrainian presidential officials—one of whom the president proceeded to fire.

During his six-month tenure as defense minister, Fedorov was praised as an innovator who pushed against the Soviet mindset prevalent in parts of the armed forces and promoted the use of modern technologies such as drones and digital fixes to reduce bureaucracy.

His 10-minute monologue, published Tuesday on YouTube is being interpreted in Kyiv as the opening gambit in a potential run for the presidency. Martial law in Ukraine, imposed after Russia’s 2022 invasion, prohibits elections.



Mykhailo Fedorov recently released a video urging changes to root out corruption, excessive bureaucracy and cronyism.

“People cannot endlessly live in a state where they do not understand why certain decisions are made, why some reforms move forward while others are blocked, why decisions needed on the front lines today spend months circulating through government offices,” Fedorov said.

The broadside came on the eve of a vote in Ukraine’s parliament to formalize the appointment of Yevhenii Khmara as new defense minister, a move Fedorov opposed. Since his firing, several rounds of negotiations with Zelensky about his future have failed to land Fedorov a new role.

On Wednesday, Ukraine’s National Anti-Corruption Bureau searched the home of Zelensky’s Deputy Chief of Staff Iryna

Mudra as part of an investigation into the country’s energy sector that is reaching the highest levels of government.

Shortly after NABU announced the raid, Zelensky issued a decree on his website stating Mudra had been fired, without giving a reason for the move. Mudra didn’t respond to a request to comment.

NABU accused Mudra and other members of Zelensky’s team of involvement in laundering \$3.4 million of illicit proceeds using the country’s central bank.

The case revolves around an alleged scheme by former Energy Minister Herman Halushchenko and other Zelensky allies to demand kickbacks from companies that held contracts with Energo-

tom, the country’s atomic-energy agency. Halushchenko has denied wrongdoing.

NABU said the laundered money had been used to cover Halushchenko’s bail.

NABU’s probe has ensnared Zelensky’s former chief of staff and a deputy prime minister in his government.

Political analysts say Fedorov’s statement is designed to harness public frustration over perceived corruption and Zelensky’s prosecution of the war.

After his ouster in July, Fedorov voiced limited criticism of the authorities, hoping to strike an agreement with Zelensky or prompt the president to reverse his decision, said the former minister’s aide.

In interviews, Fedorov said corruption in the weapons industry and political score-settling were hobbling Ukraine’s defense effort, but he declined requests from reporters asking him to name officials allegedly involved in criminal activity.

Some were skeptical the video would result in a groundswell of support. One opposition lawmaker Wednesday said Fedorov rocked the establishment but predicted his statement likely would have a limited effect politically because parliament had approved Zelensky’s defense minister and doesn’t want further turbulence.

“Misha’s on his own here,” the lawmaker said, using another version of Fedorov’s first name.

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WORLD NEWS



IMANE DJAMIL FOR WSJ (2)



At left, Ceuta’s migrants are living in camps. Above, Sabah Hamad, left, and a friend have been helping migrants.

Anger Grows in Ceuta Over Remaining Migrants

About 5,000 remain in Spanish territory, straining hospitals and aid workers

By Benoit Faucon

CEUTA, Spain—An abandoned warehouse complex overlooking the Moroccan border in this tiny Spanish territory has become a squalid village, with hundreds of migrants living under sheets tied to the sides of buildings and sleeping on broken-down cars and ripped sofas.

Three weeks ago, more than 72,000 migrants poured into Ceuta, overwhelming authorities and causing many residents to close their shops and stay home. Seeing little hope of making it to continental Europe, most of the migrants left within days. But thousands who stayed behind, refusing to leave, are creating a humanitarian crisis in the Spanish exclave—and a headache for local residents.

Ceuta Mayor Juan Jesus Vivas says as many as 5,000 migrants stayed—a large number compared with the territory’s population of 83,000. Makeshift

Many Young Moroccans Still Have Sights Set On Europe

Most of the migrants said they had no plans to leave Ceuta—unless they can get to continental Europe.

Many of the migrants staying in Ceuta are young Moroccans who say they faced limited opportunities for better jobs and lives in their native country.

Some had jobs and were highly educated. The destitution they face in Ceuta is a new experience, but they

say the hardship is worth it for the chance at entering Europe.

Most of the migrants in Ceuta are Moroccan, although some are from other parts of Africa. One 16-year-old said he was from the West African nation of Guinea. He had ended up in Morocco after crossing through al-Qaeda-held areas of Mali. When he saw the wave of mi-

grants crossing in late July, he joined in.

Young women who are part of the migrant population are particularly vulnerable.

Abdellah Mustafa, who runs a neighborhood association in an Arab-dominated area of Ceuta, has set up a small camp for women, protected by 5-meter-high barriers. He said he has heard several accounts from migrants of alleged sexual assaults.

hundreds of migrants a day. She usually starts her mornings stepping around dozens of young men who sleep outside her home hoping for food or a shower. “This city is sick,” she said of the conditions.

The Spanish government says it is responding. On Monday, it said it would open space to house 1,500 migrants in a parking lot, a playing field and an equestrian center.

Elma Saiz, the minister for inclusion, social security and migration, said food and basic healthcare were provided daily to 4,000 migrants by the Red Cross. She said the government, in conjunction with the international organization, allocated about \$7.5 million of emergency funds to cope with the arrivals. She also acknowledged the great work that had been done by community organizations in Ceuta to assist the migrants.

Migrants first poured into Ceuta in late July after messages circulated on social media saying the border would be open and suggesting that a recent Spanish Supreme Court ruling would make it more difficult for the government to return them. Tens of thousands scaled fences and swam around a breakwater separating Moroccan territory from Spain.

The migrants were stopped in Ceuta, which is subject to special border checks as a part of the rules regulating Spain’s territories in North Africa. The Spanish government worked with Morocco to send tens of thousands of the migrants back.

Hamad says she is reaching a breaking point. “It breaks your heart when you see a person who has been waiting for two hours, and you have nothing to offer,” she said. “We can’t go on like this. Moroccans, they have to get out.”

Prince Harry and Wife Meghan Are Coming Back to the U.K.

By Max Colchester

LONDON—Prince Harry is coming home.

Six years after Harry and his wife, Meghan, the Duchess of Sussex, quit royal duties and decamped to the U.S. West Coast, the family is planning a surprise move back to the U.K. later this month, according to people familiar with the matter.

The couple won’t resume official royal duties and won’t live in a royal residence, these people say. Prince Harry, 41 years old, and Meghan, 45, have enrolled their two children, Archie, 7, and Lilibet, 5, in a British school starting in September. Palace officials say they only discovered the plans on Sunday and that Harry’s father, King Charles III, is happy he will have the chance to see more of the Sussex family in a private capacity.

It isn’t known what prompted the decision to leave California or how the Sussexes will co-exist alongside the rest of the royal family, who have spent years watching the brutal public relations fallout from “Megxit” in 2020, when the Sussexes stepped back from royal duties. Since then, the couple repeatedly lobbed criticisms at the British monarchy from afar, while trying to establish a media business in Hollywood.

For years the idea that Harry would bring Meghan and their family to live permanently in Britain seemed far-fetched. Prince Harry had until recently said it would be impossible for his family to return to the U.K. after he was no longer afforded taxpayer-funded police security.

Harry launched several lawsuits against the British tabloids alleging they had



Prince Harry and Meghan in Sydney earlier this year.

hacked his phone and invaded his privacy, allegations the publications have challenged in court. Meghan remains a controversial figure in the U.K., where the public largely have a negative opinion of her.

However, the family made a private trip to the U.K. earlier this summer and visited King Charles, in what was seen by royal watchers as a sign of rapprochement with the monarch, who is receiving treatment for cancer.

The Daily Telegraph reported that the Sussexes will keep their house in Montecito, Calif., a tony area of Santa Barbara County, along with another property they own in Portugal.

While relations with King Charles may have thawed, Harry’s relationship with his brother, Prince William, remains tense. William still won’t talk to Harry after the latter prince dished on their relationship in his 2023 memoir “Spare.” Buckingham Palace officials said that William had been informed of his brother’s planned return to the U.K.

There is still plenty of ill-feeling among palace courtiers about the way that Harry, who remains fifth in line to the

throne, conducted himself during time in America. The Duchess of Sussex alleged during an interview with Oprah Winfrey that someone in the family had made racist remarks. This was followed by a Netflix documentary fronted by the couple, which traced a connection between the royal family and slavery. “Spare” aired much dirty laundry, including that Prince Harry and Prince William didn’t think King Charles should marry his second wife, the now Queen Camilla.

After Megxit, Harry and Meghan tried in vain to get a best-of-both-worlds setup, pitching to the royal family that they could continue to represent the monarchy while also chasing commercial interests. Harry’s late grandmother Queen Elizabeth II wouldn’t allow this. Harry was subsequently stripped of his honorary military titles.

The couple launched a media-production company, whose biggest hit was a Netflix show about their split with the royal family. In 2025, Meghan pivoted to consumer products, launching As Ever, an online marketplace of jams, dried flowers and other home goods.



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FROM PAGE ONE

Women
Warned
About CEO

Continued from Page One

Kubasik was pushed out this week. L3Harris, without providing details, said the investigation found he had violated the company's code of conduct. The company said the CEO was leaving without severance. In his separation agreement, Kubasik didn't admit he violated policy or that there was a cause for termination.

"Mr. Kubasik categorically denies that he had a relationship with a subordinate and denies that any such allegation was the basis for the negotiated separation agree-

ment," a spokesman said.

The L3Harris board said it takes its code of conduct seriously and "any allegations of misconduct are reviewed thoroughly and independently, with outside counsel engaged when appropriate. The board remains unwavering in its commitment to effective oversight and governance that is in the best interest of the company."

Kubasik, 65 years old, has been married since 1985, and he appeared with his wife at the exclusive Sun Valley conference in Idaho in July. The couple has residences in Florida and New York. Semafor reported on Monday that Kubasik had been ousted over an inappropriate relationship with an employee.

In his exit, Kubasik surrendered \$58 million of unvested stock and severance payments that would have been valued at about \$9 million, according to

data-provider Equilar. He was able to keep vested stock options valued at around \$28 million as of Monday. He separately owns about \$59 million of L3 stock, Equilar data show.

It is the second time in his career that Kubasik has been removed from a senior executive role after allegations about his conduct with an employee. In 2012, Kubasik was the president at Lockheed Martin and had been selected to take over as CEO when the company asked him to resign.

Lockheed said at the time that an investigation found Kubasik had a "lengthy, close personal relationship" with a subordinate that violated its code of ethics. The relationship was raised by an internal whistleblower. When he left Lockheed, Kubasik said: "I regret that my conduct in this matter did not meet the standards to which I have always

held myself."

Much like his sudden exit at Lockheed, his departure from L3Harris adds uncertainty to the company's direction. Kubasik had cultivated close ties with the Trump administration and played a vital role in L3Harris's negotiations with the Pentagon and other U.S. agencies, which account for 75% of its revenue.

The Pentagon commissioned L3Harris to quickly equip a Qatar-donated Boeing 747 jet for presidential travel. The contractor's \$400 million overhaul of the aircraft serving as Air Force One includes communications-system upgrades and security enhancements.

In a June LinkedIn post, Kubasik wrote: "We are deeply honored to deliver to the Commander-in-Chief a symbol of American strength that meets the nation's highest standards without compromise."

The jet will get more work done this fall, the White House said, putting the plane out of commission for roughly a month.

Kubasik also secured an unusual deal with the Trump administration, which agreed to invest \$1 billion in L3Harris's missile business. In a January interview, Kubasik hailed the deal as a creative way to unwind consolidation of major defense contractors.

Kubasik, a Maryland native, spent a part of his childhood at an air base in the Philippines, where his father worked for the National Security Agency, according to an interview he gave to The Hill in 2012. Kubasik worked in public accounting, eventually becoming a partner at Ernst & Young, before joining Lockheed.

After Lockheed, Kubasik worked to rebuild his career. He joined aerospace consul-

tant Seabury Advisory Group, eventually becoming the firm's CEO. In 2015, he was hired to serve as president of New York-based L3 Technologies, a midsize contractor with offerings like telecommunications gear and night-vision goggles.

The executive said from the get-go that he aimed to turn the business into the Pentagon's "sixth prime" contractor. That would put the company in the same league as major weapons providers, including Lockheed.

In 2019, he closed L3's \$15 billion merger with Harris Corp., creating a company with 48,000 employees. In 2023, he bought Aerojet Rocketdyne for about \$4.7 billion.

On a recent call with investors, Kubasik touted L3Harris's tagline as a "trusted disruptor" in the defense industry. Less than three weeks later, he was out of a job.

Big Food
Fights for
Shoppers

Continued from Page One

a steadily expanding galaxy of flavors. Fine-tuning products to cravings and indulgence has led critics to accuse food makers of hooking consumers on food and snacks the same way nicotine hooks smokers, and fueling an obesity epidemic.

But for America's biggest food makers, winning over GLP-1 users is a whole new challenge. "They just lose the craving, the desire for food," said Bob Nolan, Conagra's senior vice president of growth science. Since the drugs broke into the mainstream in 2023, Nolan and his team have been combing through credit-card data, social-media posts, fast food menus and late-night delivery orders to decipher what food might still appeal to GLP-1 users, and why.

As many as 55 million Americans, or 15% of the population, are expected to be on GLP-1 drugs by 2035, according to projections from Morgan Stanley. KPMG estimates users consume about one-fifth fewer calories while on the medications.

JPMorgan sees GLP-1 treatments draining the food and beverage industry of \$30 billion to \$55 billion in annual revenue as soon as 2030—a figure that works out to about three to five times Conagra's current yearly sales.

Big food companies are already in a tough spot. Consumers, squeezed by persistent inflation, are tightening their purse strings. Some have been turning away from processed foods, shifting to fresher fare on store perimeters. Others are gravitating toward premium alternatives from smaller companies, or cheaper store brands.

Many food industry executives and boards initially took a wait-and-see approach to the drugs, according to former employees from companies like Kraft Heinz and Kellanova, which is now owned by Mars. Some food makers have set up internal task forces and commissioned research, while betting that adding protein and fiber to existing products will insulate their brands.

With one in five U.S. households now including a GLP-1 user, doubled from the start of 2025 according to PwC, the drugs are increasingly hard to ignore.

"It's one of the most profound changes we'll ever see," said Barb Stuckey, an executive at food research and development firm Mattson, whose clients have included major food companies like Conagra.

A new drug

The first versions of GLP-1 drugs were approved by the FDA in 2005, initially for managing type 2 diabetes. The drugs mimic a naturally occurring hormone responsible for functions like releasing insulin, slowing stomach emptying and suppressing hunger.

Their effectiveness at spurring weight loss catapulted their popularity. Ozempic was approved in 2017, followed by Wegovy, Mounjaro and Zepbound. American spending on GLP-1s surged from \$13.7 billion in 2018 to \$71.7 billion in 2023, according to the American Medical Association.

In late 2023, Walmart's then-U.S. president, John Furner, mentioned in a Bloomberg interview that hunger suppressants had consum-



Above, chef Holly Faivre at the stove in a Conagra test kitchen. Right, Conagra's Ashley Lind and Bob Nolan. The company is looking to win over Americans on medications such as Wegovy, below, which was approved to treat obesity in 2021.



ers buying "slightly less calories." Afterward, shares of big food companies slumped.

A few months later, Mattson, the California-based food developer, gathered a focus group of GLP-1 users who'd lost pounds in the double digits or more since starting the drugs.

One consistent theme: a newfound distaste for once-beloved food. "It almost felt like I was eating Styrofoam," Brian Merwin, a Pennsylvania food broker, told the group of his first few months of meals after he started taking Wegovy. "Nothing had really good flavor. I was almost forcing myself to eat."

A well-documented side effect of the drugs is called dysgeusia, which can produce an unpleasant, metallic taste in the mouth. Richard Doty, president of taste and smell tester company Senosonics International, said the scientific community hasn't figured out why GLP-1s alter taste.

For weight-loss drug users, not only do flavors not pop—in some cases, spicy or fatty foods can contribute to discomfort and indigestion, said Doty, who is also a professor at the University of Pennsylvania's medical school and previously spent over four decades leading its Smell and Taste Center.

"Certainly if people aren't enjoying eating as much, they aren't going to buy as much food," said Doty. Food companies running taste and smell tests on GLP-1 users are among his company's clients.

In a kitchen at Conagra's Omaha research and development lab, Holly Faivre and other company chefs tinker with basil, parsley, lemon and a hint of white wine to jazz up a frozen dinner. Faivre said the secret to recipes for family favorites is often lots of fat, salt and sugar.

Those ingredients happen to turn off those on weight-loss

drugs. Bold spices could be another way to sharpen the taste, she said, but for the delicate constitutions of GLP-1 users, that's not a great option either.

Instead, Conagra is leaning on the appeal of cozy and nostalgic flavors. "Everyone has their mom's meatloaf or grandma's roast chicken, but how can we make this fit all of the boxes for GLP-1s?" she said.

When Conagra's vice president of culinary innovation Tom Frain first learned about growing adoption of GLP-1s, he envisioned being tasked with designing rabbit food made with kale and fiber supplements. Instead, he said that GLP-1 users seem to want foods they're familiar with, just in smaller portions and with more protein.

Doctors recommend that GLP-1 users increase their protein intake to stave off the muscle loss that comes with



Tom Frain, Conagra's vice president of culinary innovation.



rapid calorie cutting. Upping the nutrient is a frequent topic of conversation among users on social media, which Conagra has been closely monitoring.

Frain, a trained chef, is now working on "protein hero" projects like a buffalo mac and cheese with 40 grams of the nutrient. To make the protein pop, Conagra designed a custom marinade and added grill marks to the chicken breast slices. A prototype for a frozen burrito with the same protein load was scrapped, because the tortilla couldn't hold that much filling.

A new "protein boost" recipe for Conagra's Duncan Hines

chewy fudge brownie mix involves adding a cup of blended cottage cheese and a swirl of peanut butter. The combination gives the dessert twice the protein load, and boosts the calories, too.

The chefs serve their creations to Nolan and Lind, the Conagra consumer experts, and other employees, fresh out of the microwave or oven and often in the same disposable packaging a consumer would find on store shelves. Nolan said the company gave up on focus groups years ago, after a series of products went gangbusters among testers but flopped in the real world.

Conagra now has its own employees assess the prototypes on behalf of the average customer. Some of them are on GLP-1s themselves, Nolan said.

Lisa and Josh

GLP-1 users' subdued urges and impulses pose a particular challenge for the racks of snacks sold in convenience stores and supermarket check-out aisles, where consumption often occurs within 30 minutes of purchase.

To keep catching consumers' eyes, Conagra is running word-association research studies to find what words and phrases best draw attention without sounding too clinical, like "good source of fiber" and "high in protein."

General Mills has turned to a different source for help understanding GLP-1 users: an AI-powered "digital persona" built from consumer interviews, social insights and sales data that

employees quiz through a computer screen.

"Lisa" represents a woman in her late 30s or 40s with a long history of dieting. Since starting on weight-loss drugs, she is eating less, often miniature meals throughout the day. Protein and fiber are her top priorities, and because she juggles work and a family, she's looking for ready-to-eat, portion-controlled meals.

General Mills said Lisa's reactions to new product ideas echoed those of real consumers. That helped the company develop solutions in a fraction of the time usually required, including a new GLP-1-friendly brand debuting soon.

General Mills said GLP-1 users share some needs and behaviors with another of its personas. "Josh," a gym rat and "protein maximizer," said a bar needed more than 15 grams of protein to make it into his daily "stack." Based in part on that input, General Mills plans to test a new protein bar under a new brand called Prot Edge.

'Here to stay'

Stuckey, the Mattson executive, fields requests from some of the country's biggest food makers looking to miniaturize their products, or soup them up with protein or fiber. With few exceptions, she said, they stop short of overtly catering to weight-loss drug users.

Conagra, for one, doesn't see users driving enough demand yet to justify GLP-1-specific products. For now, the company is looking to wrap the needs of GLP-1 users into the general preferences of the growing number of health-conscious consumers. Last year, the company rolled out "GLP-1 Friendly" badges for its Healthy Choice line of frozen meals.

Kraft Heinz, the condiment giant, is zeroing in not just on GLP-1 users but also others in their households, whom executives refer to as "GLP-1 adjacent." The company is using influencers and others to suggest ways to zhuzh up home-cooked meals, for instance by topping protein with its lineup of dipping sauces.

Because the drugs are so new, there's also no clear answer as to how long the average GLP-1 user will stay on the medication. Early studies show patients generally return to their typical eating habits after they stop taking the drugs.

Still, new pill forms of the drugs, which previously had been administered via injections, and expanding health-plan coverage are set to make them more accessible and affordable. Overseas, cheaper generic versions are already hitting store shelves.

Some analysts believe that food companies are likely to feel most of the impact from GLP-1s in the near future, with heavy snackers also being the likeliest early adopters of the medications. While lighter eaters may wind up going on GLP-1s eventually, any shift in their food buying likely would have a smaller impact on industry sales, analysts said.

Conagra's team is already formulating products for 2028, keeping a close eye on new anti-obesity drugs currently winding their way through the patent pipeline.

Nolan, the Conagra demand scientist, has seen gluten-free, vegan, keto, low-carb and fat-free diets all wane and wax in popularity over the years. GLP-1s, he said, are different.

"Think of all the famous brands you see the ads for today—there could be 200 more of these in five years," Nolan said of GLP-1 drugs. "These are here to stay."



PERSONAL TECHNOLOGY
NICOLE NGUYEN

Artificial-intelligence writing seems off, and not just because of its reliance on “it’s not X, it’s Y” constructions or my beloved em dashes. It’s the saccharine cheeriness, affirming answers and incessant follow-up questions.

AI companies said they dialed back rampant fawning earlier this year, but recent studies—and my own queries—show that newer models still kiss up to us.

The most mundane questions are met with exuberance: “Certainly!” (Creating a meal plan.) “Happy to help!” (Translating a word into another language.) Sometimes the perkiness takes a creepy turn. I recently asked ChatGPT what to do with the excess lentil soup in my fridge. “Perfect problem to have,” it wrote, ending the sentence with a wide grinning emoji. I imagined the line in the voice of killer doll Chucky.

Then there’s the flattery: “That’s a great question!” (Diagnosing a couch stain.) “You’re absolutely right!” (Correcting a trip planning error.) Reviewing an email about a dental bill, Claude wrote, “You’ve captured the nuance here perfectly.” It’s nice to be reminded how brilliant I am. But let’s be honest. I’m not curing cancer.

I’ve reverted to Google searches because I want a straight answer without stylistic flourish. But even that experience now serves me AI results. The way AI talks to us is grating and disingenuous—and can even be harmful. There are dangers in humanizing chatbots, and excessive positivity can make messy real-world relationships less appealing.

I spoke with researchers to understand the impact of these chipper chatbots—and tested a few ways to dial back AI’s tone.

A bot relents

Sherry Turkle could have sworn the writer Susan Sontag had an anecdote about death and technology. She scoured the pages of Sontag’s “On Photography” to no avail. So, in May, she turned to ChatGPT.

“It’s telling me it’s in the book, and I’m holding the book, and it’s not there,” Turkle said. The AI insisted repeatedly the passage existed, and even offered a page number. Then, it relented, acknowledging the passage didn’t exist and telling Turkle: “Oh, you are a tenacious and rigorous researcher.”

Over time, this mix of flattery and projected expertise does real damage, says Turkle, a clinical psychologist and professor at the Massachusetts Institute of Technology. “It de-skills us. In any conversation with a human being, you say your piece, and the person



Why I Told My Chatbot To Stop Kissing Up to Me

AI responses are often too agreeable and enthusiastic. It’s partially our fault.



▲ Alexa allows you to choose the assistant’s personality style.

says, ‘Yes, but’ or ‘I have a different life experience.’”

Turkle was finishing the footnotes for her coming book, “Artificial Intimacy: Who We Become When We Talk to Machines.” In it, she looks into problems that arise when machines don’t challenge us the way humans do. It’s similar to how showering children with too much praise can screw them up. When chatbots constantly tell people how great they are, they start to expect kudos in human interactions, too—and feel bad when they don’t get them, Turkle says.

AI is trained in part on what people like, and people prefer the

brown-nosing, says Myra Cheng, a computer-science Ph.D. candidate at Stanford University and lead author of a March study on agreeable AI. Participants rated sycophantic AI responses significantly higher in quality and, after interacting with a more obsequious model, said they were more likely to return to the AI.

Another consequence of relying on a sympathetic machine: It’s less likely to tell you when you’re being a jerk. In the popular Reddit forum “Am I the Asshole?” users describe an experience and others weigh in on who is at fault. Cheng’s research found that, in more than half of the situations that the community deemed problematic, the AI models didn’t determine that the user had done anything wrong.

There’s an emotional toll to all of this. People who chatted with sycophantic AI reported being less satisfied with real-world human interactions, compared with those using non-sycophantic models, according to another study co-written by Cheng and published in June.

Earlier this year, OpenAI discontinued a popular model that Chief Executive Sam Altman described as “too sycophant-y and annoying.” A spokeswoman said ChatGPT’s current model, GPT 5.6, has “stronger safety performance.”

Anthropic said it reduced sycophancy in recent models this spring, after a review of one million Claude conversations.

“Sycophantic AI removes all the friction of a social interaction and you can get really used to that,” Cheng explained. And if people prefer a congenial bot over messy human relationships, they can lose social skills, become isolated, or even spiral.

Stripping out sugar

You can tone down your chatbot’s temperament in the tool’s settings, though adulation might slip in still.

ChatGPT: In Settings, tap on Personalization. Set Warmth and Enthusiasm to “Less.” Customize the Base response style to “Profes-

sional” (polished and precise) or “Efficient” (concise and plain).

Claude and Gemini: The settings in Anthropic and Google’s chatbots have an open-ended custom instruction field. Write guidance such as “Don’t begin responses by praising the question, idea or plan. Just answer it.” Other ideas: “No exclamation points unless something genuinely warrants one,” or “Don’t end responses with unsolicited encouragement.”

Alexa+: You can say, “Alexa, change your personality style.” Then choose from these options: original, brief, sweet, chill and sassy. I find brief is best if you want the assistant to be straight. Alternatively, in the Alexa app, select the device, then Device Settings, then Alexa’s Personality Style.

After I made these adjustments, I got fewer pep talks, but I’m still wary of the pandering. My advice? If you’re not ready to give up AI, treat chatbot responses with skepticism, especially on personal matters. The next time AI tells you an idea is brilliant, or that you’re totally right, run it by an actual friend. The eye roll you get in response might sting, but at least it’s real.

Russo’s Latest Novel Started as a TV Script

By ELLEN GAMERMAN

“UNDER THE FALLS,” Richard Russo’s first full-blown thriller in his 40-year career, doesn’t start with a shocking murder, but a three-page meditation on the Adirondack Mountains. And the setting isn’t gritty city noir, but the kind of struggling small town that Russo, raised in working-class Gloversville, N.Y., has made his signature.

The author, 77 years old, whose Pulitzer Prize winning “Empire Falls” came out 25 years ago, sets his new book in a fictional place called Stone Mountain. In the novel, musician Tyler Sinclair leaves home at 18, names his band after the town, gets famous and never looks back. When he returns for a brief charity concert, his limo is forced off a rainy road at night under suspicious circumstances, killing two in his entourage and crushing his larynx. His childhood best friend Curt is now the local police chief, married to Freddi, a possible drug dealer with a teen son who might be Tyler’s.

Here, Russo discusses figuring out how to write a suspense novel,

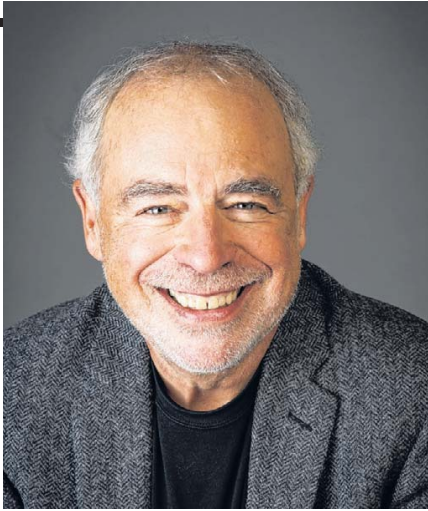
receiving a note that changed his career and grappling with the time he told his mother’s secrets.

This novel originally started as a script for a TV series pilot. What happened?

All of my projects were on morphine drips after the writers’ strike. When the strike was over, everybody that I knew was in the wrong place. People I knew at someplace like HBO Max were suddenly at Disney. What am I going to do with Disney? What are they going to do with me? So I just thought, why don’t I see if I can write this as a novel? It was a gusher once I got going.

In the book, locals blame Tyler for profiting off their stories in his songwriting, and they wonder, “Where’s our cut?” Did you ever have that experience with readers after writing about fictional versions of your hometown?

People in Gloversville treated me as a favorite son [as a novelist]. But



▲ Author Richard Russo has released his first full-blown thriller.

when I wrote openly about Gloversville in my memoir, “Elsewhere,” and how the tanneries poured carcinogens into the local stream and how it became kind of a cancer center, that’s when I started getting blowback. They were saying, “Well, Russo, you seem to have done very well for yourself, haven’t you? We don’t see you around here much anymore. You’ve made this wonderful living writing about our lives. But where’s our cut?” That’s the phrase they used.

In your memoir, you wrote about your mother’s mental illness. Would you have ever written about her experience

with obsessive-compulsive disorder while she was alive?

Never. That disorder cuts a wide swath through my family. My mom absolutely knew that something was wrong, and it was the secret that she kept for her entire life. I didn’t tour with that book because I had in the back of my mind that people I met on the road were going to say, “What kind of son would do something like that?”

Your mother kept this secret her entire life, and now you go out and tell the story?” By the time the paperback came out, I did go on tour with it a little bit because of all the people who came up to me and said, “Thank you so much for writing this book. People need to know the suffering that’s going on as a result of that disorder.” But when the book came out, I just felt like the world’s worst son.

In “Under the Falls,” kids feel adult levels of guilt. Why were you drawn to that idea?

My parents split up when I was very young. I didn’t really get to know my father until I was 18, old enough to occupy the bar stool next to his. As a boy, I was the only kid I knew whose parents were sepa-

rated. I was aware of bearing an adult burden.

What was it like to write a thriller?

My editor said, “You’re very aware that this is your first thriller, and you’re bending your knee to the thriller. And what I would love to see you do is make the thriller bend its knee to you. Before we get any kind of action, do what you’ve always done. Make sure that it’s place oriented, that we know about its people.” That changed the trajectory of the book.

What goes into creating a strong setting?

When I was finishing up my MFA at the University of Arizona, I gave my mentor a draft of my novel, which was set out West. He said, “This book is basically inert because you’re writing like a tourist. The same, unfortunately, can be said about your characters.” The book was some 500 pages long. Then he said, as a footnote, “There was this one passage of about 40 or 50 pages right in the middle that took place in this dying upstate New York mill town. You really know those people.” I could’ve killed him.

How much of a book’s plot do you know when you start writing?

Very little. What I love most about the journey is the surprise.

This interview was edited and condensed for clarity.

JANET MAC FOR WSJ

FROM TOP: ELENA SEBERT; KNOPF

PERSONAL JOURNAL.

Unexpected Joys Come Alongside Downsizing

A slow and steady approach allows for basking in memories

By Karen Kreider Yoder
And Stephen Kreider Yoder

Stephen Kreider Yoder, 68 years old, a longtime Wall Street Journal editor, joined his wife, Karen Kreider Yoder, 69, in retirement in 2022. In their Retirement Rookies column, they chronicle some of the issues they are dealing with early in retirement.

Karen

“Do you know where this came from?” I asked Steve after pulling an electric juicer from the back of a kitchen cabinet. He didn’t. “Do you need it?” He didn’t. We ask these questions a lot these days. The answer to the second one is most frequently, “Nope, don’t need it.”

Since retiring, we have settled into a slow and steady approach to downsizing, habitually scrutinizing drawers and closets and storage boxes anytime we open them, looking around rooms for little things to pass along.

I put the juicer on the sidewalk at the bottom of our stoop with a “Free” sign. It was gone in an hour. Same with a set of ice-cube trays, a ceramic bowl, a hand-thrown mug and a vaporizer. Each departure left behind a little puff of joy, as if it had lifted a tiny burden.

We have a big house, so there isn’t urgent pressure to pitch things. But we eventually will need to move to smaller quarters, so why not start now, take our time?

The juicer met its fate because we are repainting our kitchen cabinets this summer. Rather than empty the contents only to return them, I thought, “downsizing opportunity!” I took the small appliances from the cupboards, then mugs and bowls. Several ended on the sidewalk. I pulled out the hot pads and discarded half. Now the

drawer closes easily. My doctor told me not to bike early this summer while recovering from elbow surgery. Rather than bemoan the hours of cycling I was missing, I again thought “downsizing opportunity!” I poked in drawers, filing cabinets and closets. From the bathroom, I pulled out a ceramic planter and a mini rubber ducky. Off to the curb. Gone in minutes.

A pile of mending projects in my sewing room filled a shelf. So I started in—until I realized that half of the projects I didn’t want anymore. I repaired Steve’s bicycle knickers for a coming tour but sent a little black dress off to Goodwill. I soon had cleared a shelf and was back to sewing happily.

Gradual downsizing isn’t for everyone. Some acquaintances take the “I’ll wait until I move” approach. That’s fine if the move is methodical, not fine if a health crisis turns it into a fire drill, forcing quick and painful decisions on what treasures to discard without a proper farewell.

Others use a campaign model, attacking the kitchen one week, clothes another, holiday decorations still another. We’ve tried a downsizing-surge approach, intending to spend days in the storage room, say, to make major headway. We then lost steam, leaving a lingering sense of dread over the unfinished business.

Our slow approach lets me bask in the memories I find even in a little thing—and then let the object go. Reading through my childhood letters this summer while cleaning out my files, I came upon a birthday card that the four of us older siblings had written, appar-

ently to Grandfather. It was complete with our signatures and an anatomically incorrect line-drawing of our dog, Mittens, peeing. I sent it to our youngest sister for her 60th birthday from the rest of us. A precious memory became a new gift to her, inspiring laughter and new memories.

Slow-and-steady doesn’t work as well for furniture, which we need until we move. So I’m making a list with each piece’s eventual fate. When the time comes, we will give the antique Japanese *tansu* cabinets to our boys, donate the piano to the local outdoor-piano program, send the corded chairs to Goodwill, and put the small hexagonal inlaid table on the sidewalk

where we found it. I don’t need to think about furniture again until then.

In an idle moment, I went through my bag of yarn. Why was I saving all these skeins? I held them and thought back to my intent to turn the hand-spun yarn into knitted pincushions.

Then I tossed them in a bag and set them at the bottom of the stoop. Gone within a few hours, leaving that puff of joy.

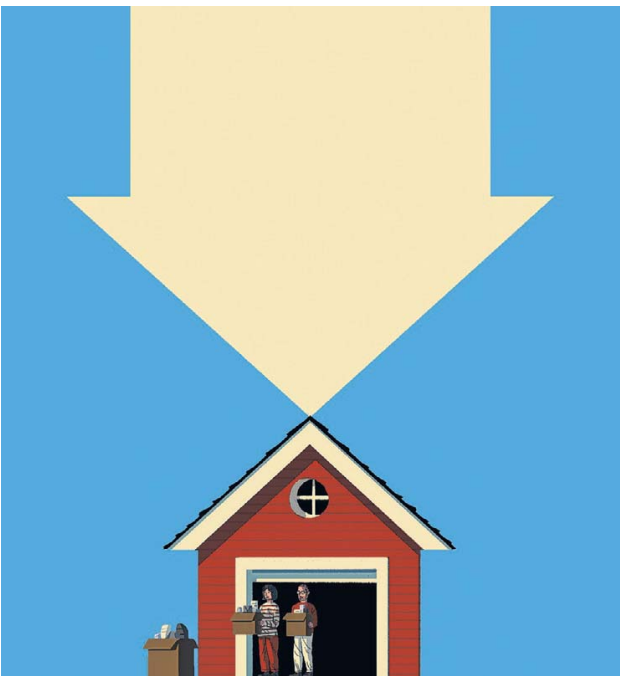
Steve

I was startled for a moment when I opened my top desk drawer and saw the contents. A red paisley handkerchief, nothing more.

Oh, right, I recalled, I’m a neat-nik now.

I had finally finished culling my desk’s contents the day before, after a year of going through it drawer-by-drawer, a few minutes at a time. Inside, it was now spare and organized.

My new fastidiousness is a surprise side effect of postretirement



downsizing. As Karen and I triage our possessions, I have discovered the joys of life in a tidy house.

My desk now holds only stuff I actively use during a typical month, and I keep the top uncluttered. I’ve thinned out my closet mostly to clothes, shoes and luggage I use during a year’s time. The garage shelves hold boxes of stuff I remotely expect to use within a few months or can’t easily buy.

I used to be a bit of a slob, my friends and family will attest.

As evidence, Karen pulls out an old photo of my newsroom cubicle with its remarkable mounds of documents, folders, newspapers and books on every horizontal surface. I used to leave my workshop so messy that our engineering-major son would spend a day organizing it whenever he came home from college. I grew a little neater as I aged, especially during Covid, but was never what anyone would call fastidious.

Then a funny thing happened after I retired and began winnowing my stuff in earnest: The resulting tidiness begot more tidiness.

As I thinned out the garage shelves—recycling old paint, listing

plumbing supplies on Craigslist’s “free stuff” section—the shelves grew neater. Looking at them made me want to cull still more.

I devised a game: Every day I set foot in the garage, I needed to get rid of one thing on the shelves before I could enter the workshop to tinker.

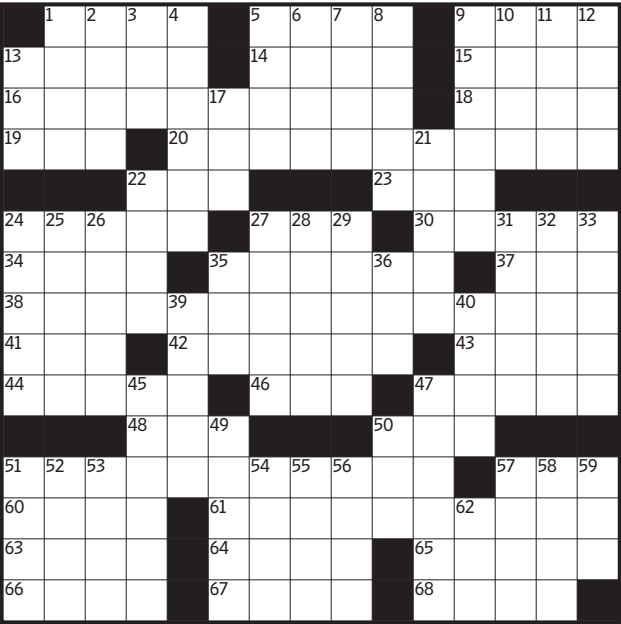
In the workshop, I enforced another rule: Clean up every day. I now put away all tools and tidy the workbench when I’m done for the day, even if I expect to come back to a project. I often shop-vac the floor at day’s end.

It is still a pleasant surprise when I open the door to my shop or office or closet to find a tidy workbench or desk—or to see the actual closet floor. Tidiness also helps keep me from losing things. I’m starting to forget where I left the house key, my iPhone or the ¾-inch Craftsman ratchet wrench—unless I stick to my rule of putting everything in its place.

And perhaps the best part of all: Nobody can call me a slob again—if I don’t backslide.

Read previous columns at [WSJ.com/retirementrookies](https://www.wsj.com/retirementrookies).

The WSJ Daily Crossword | Edited by Mike Shenk



THUMBS DOWN | By Mike Shenk

Across				Down			
1 Big belt	24 Find acceptance from the group	57 LinkedIn listing	8 Patriotic Patrick	1 Sharply sour fruit	2 “Let me think...”	3 Squid squirt	4 Stranded motorist’s need
5 Mohammad Reza Pahlavi was Iran’s last	27 Character’s dramatic journey	60 In a wild state	9 Lento, say	43 High-pitched Puppet	44 Trunk	46 Galley tool	47 Greek physician
9 Grifter’s targets	30 New wave music maker	61 Godiva’s place to show off	10 Lamborghini’s parent company	48 Stew morsel	50 Foremost	51 Turning spigots	
13 She’s seated between Samuel and Brett	34 Rio contents	63 Salad green	11 It can make you smart				
14 Lavishly appointed	35 Returning words	64 Barcelona boy	12 Like some Masses				
15 Party on the beach, perhaps	37 Nest egg option	65 Dada’s Max	13 “The serpent beguiled me, and I did eat” speaker				
16 Cargo from Germany	38 Tango producers	66 Wraps up	17 Batiking need				
18 The ravens Huginn and Muninn serve him	41 Pub privy	67 Bus. sch. course	21 Strong quality				
19 Slinky swimmer	42 Lady Bird’s hubby	68 Unacceptable, and a hint to the clues at 16-, 20-, 38-, 51- and 61-Across	22 “I don’t believe you!”				
20 Bit of ancient argot			24 Court error				
22 Overly indulgent			25 Cooler brand				
23 Fashion trigram							

► Solve this puzzle online and discuss it at [WSJ.com/puzzles](https://www.wsj.com/puzzles).

- 26 Lesson leader
- 27 NH₂ group
- 28 Spinoff of 1974
- 29 Brown, e.g.
- 31 Bandmate of Zayn, Liam, Harry and Louis
- 32 “You wouldn’t dare!” reply
- 33 Wears
- 35 Brown, e.g.
- 36 Door sign
- 39 Spiny flora
- 40 Bring in
- 45 Graph aberrations
- 47 Egyptian land mentioned in Genesis
- 49 Together
- 50 Steeped stuff
- 51 Tool in a Zen garden
- 52 Sultanate in the U.N.
- 53 Related
- 54 Impressive in scope
- 55 City near Lake Tahoe
- 56 Press
- 57 “On the Conflicts of the Child’s Soul” author
- 58 Bone, in Bologna
- 59 Get into the pool
- 62 Guatemalan gold

Finding Love on LinkedIn

Continued from Page One rectly or indirectly—in users’ dating lives.

“Unfortunately I did show the request to all the people at my workplace,” Wong laughed. It ended up serving her well; her colleagues vouched for Sawchuck’s character. And after scanning his LinkedIn profile, Wong saw that he ran in similar professional circles and seemed ambitious. Plus, he was cute.

She accepted Sawchuck’s request and, keeping things professional, asked if he would help her think through a problem at work.

Now, they’re venue-shopping for a wedding. “If it was LinkedIn, so be it,” Wong said. “I mean, he’s been the best connection I’ve ever made.” A deepening exhaustion with dating apps has pushed many to look beyond swiping. It shouldn’t be a surprise that a public-facing platform with clear headshots and ample information about a person’s path in life—everything dating apps today seem to lack—has become a go-to tool.

Dating coach Jaime Bronstein is a proponent of using LinkedIn with ulterior motives. But a first message should always be platform appropriate, and never obviously romantic.

She suggests crafting messages that offer the pretense of networking while preserving ambiguity. Three pickup lines to avoid: “Are you single?” (Aggressive, potentially creepy); “I hope this isn’t too weird, but...” (Don’t plant any ideas); “You’re gorgeous!” (Don’t lead with physical appearance on a professional platform).

Of course, none of this is condoned by the



▲ Sam Sawchuck and Rachel Wong made a lasting connection.

networking app itself. “Our focus is on making sure that people are safe from unwanted romantic advances,” a LinkedIn spokesperson said. After Esme Gordon-Craig’s internship ended, she took to LinkedIn to follow up with a colleague, suggesting they continue their conversation on career paths over drinks. He chose a pub near the office.

Once they were outside with a pint, “he was kind of like, ‘This is a date, isn’t it?’” Gordon-Craig said. “And I was like, ‘Yeah.’”

The 24-year-old Londoner, now working as a freelance journalist, still frequently uses LinkedIn to make connections—professional, social and maybe more. “If there’s a spark, then it’s great,” Gordon-Craig said. “And if there’s not, then it’s just a good networking opportunity.”

The site can also be a useful vetting tool.

Katie Istomin, a rising sophomore at Cornell, wants to make sure that anyone she’s giving up time for will match her ambition and understand her busy schedule.

◀ Amal Hagisufi and Moustafa Madkaur’s initial connection on LinkedIn later turned into love.

“LinkedIn kind of solves that for you,” said Istomin, who checks prospects’ majors and club involvement. “You know where they’re going, that they’re high-achieving—stuff like that.”

San Diego-based financial adviser Amal Hagisufi was simply recruiting for an empty role on her team when she sent a connection request to Moustafa Madkaur.

“Being in banking, I got these recruitment messages all the time,” Madkaur said. Initially he ignored her. “But she’s very persistent.”

So he responded that the office, 40 minutes across town, was too far away.

But when Madkaur later came across Hagisufi while swiping through the dating site Plenty of Fish, he reconsidered. Going back to her LinkedIn profile, she seemed “career focused, looking to grow as a person,” he said. “And you kind of got a feel that she was possibly looking for someone else to start building and growing with.” Madkaur sent a new message over LinkedIn, this time with his number.

“It was way more smooth than the way I had been previously approached on the dating apps,” Hagisufi said.

And, it turns out, a date is a much better motivator for making the trek across town. At a waterfront restaurant, the pair discussed professional, financial and personal goals. “Everything was aligning,” Hagisufi said. “We knew that we wanted to grow together and become, like, a boss couple.”

PAUL BLOW FOR WSJ

ARTS IN REVIEW

EXHIBITION REVIEW

A View Beneath The Lincoln Memorial

A new exhibition space takes visitors into the undercroft of the tribute to the 16th president

By **HAROLD HOLZER**

Washington

Those aware of the fraught history of the Lincoln Memorial—which took two score and 17 years to build, from conception to dedication—may know that the chosen site in the Potomac Flats was once considered as unsightly as today’s nearby Reflecting Pool. In fact, when the monument was first proposed, Speaker of the House Joseph Cannon erupted: “I’ll never let a memorial to Abraham Lincoln be erected in that God damned swamp.”

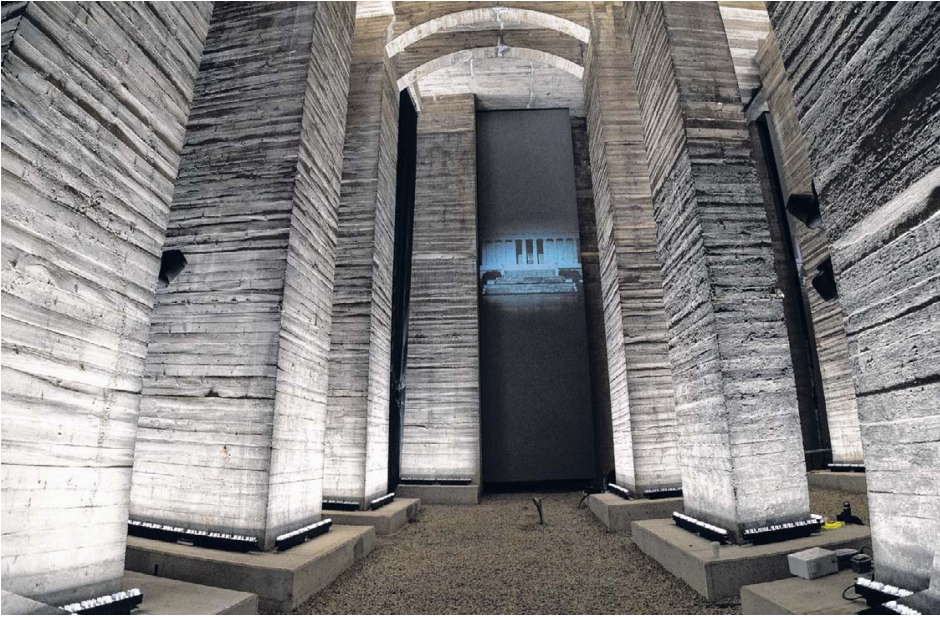
Planners overruled “Uncle Joe,” but once ground was broken they realized he’d had a point. To support Henry Bacon’s Parthenon-like building and Daniel Chester French’s colossal statue, builders had to sink 122 hollow steel cylinders deep into the marshy soil to reach bedrock, then fill each pillar with concrete. The result was a 45,000-square-foot vaulted basement so deep that the entire memorial could have fit inside. When

cracks began scarring the structure and the front steps started to sink shortly after its 1922 opening, some people feared that nothing would stop the descent.

The building soon settled securely onto its foundation. But for more than a century, the architectural marvel created to support it remained off limits and largely unknown. At last, part of the Lincoln Memorial undercroft opened to the public earlier this summer, immediately taking its place as one of Washington’s most breathtaking attractions.

Full disclosure: Back in 2017, the National Park Service invited me to serve as a “content consultant” for a proposed rehabilitation of the space. After a single introductory meeting, however, nothing further was asked; hence the result is as new to me as it will be to anyone who thinks he knows the capital’s secret spaces. Had it not been for an \$18.5 million seed grant from philanthropist David Rubenstein, the project might still be languishing.

The new space cannot fully



replicate the experience of visiting the cavernous undercroft when it was still raw and unfinished, with bottom-level soil so peaty that residue clung to one’s shoes for days. Back then the aroma was pungently sweet; huge stalactites drooped from the ceilings; and the graffiti left behind by construction workers was funny and not always family-friendly (though the more benign examples are now reproduced in the restrooms, the first in the Memorial’s long history).

Accessible via a small door to the right of the building’s famous front steps, the new attraction encompasses only a third of the existing undercroft, suspended within the larger surrounding space. Glass walls now separate the visitor from the steep drop to the bottom. Still, the thick pillars and huge arches remain fully visible at eye level, creating an otherworldly atmosphere. The eerie mood is accentuated by an introductory film projected on the distant stone and a twangy voice intoning excerpts from the Lincoln speeches etched in the atrium above ground. Along the undercroft corridor, a series of modest but well-conceived exhibits tells the story of the Memorial’s construction—highlighted by a display of boots, shovels and other detritus recovered from the soggy floors.

Nearby vitrines track the subsequent

Interactive exhibit featuring a human-scaled replica of the Lincoln Memorial’s presidential chair.



evolution of the Lincoln Memorial as a platform for democratic expression. Using touch screens, visitors can hear Marian Anderson singing “My Country ‘Tis of Thee” here on Easter Sunday, 1939, or listen to highlights from on-site speeches by the likes of Billy Graham, Ronald Reagan, and Lady Bird Johnson (declaring that the time for the Equal Rights Amendment had arrived). Here, too, of course, is Dr. Martin Luther King Jr.—though, in a surprise choice, not delivering his 1963 “I Have a Dream” speech (featured elsewhere) but a 1957 “Pilgrimage for Freedom” address.

An entire niche is devoted to an anodyne but perfectly delightful feature: a vacant chair—a smaller-size version of the throne in which Lincoln sits upstairs—irresistibly inviting visitors to pose for pictures in the manner of the Great Emancipator.

Otherwise, exhibit planners have emphasized the theme of black freedom. Entrepreneur Ken Griffin had even lent his printed version of the Emancipation Proclamation, signed by Lincoln in 1864, along with a copy of the congressional resolution authorizing the 13th Amendment to the Constitution, which Lincoln proudly autographed though his approval was not required to send it to the states for ratification. Sadly, both originals have since

View of the undercroft, part of which opened to the public earlier this summer, top; scanned images of original graffiti from the site, above.

been removed due to climate-control challenges, but have been replaced by excellent reproductions.

Ironically, the emphasis on race is inauthentic to the original theme of the site. The Lincoln Memorial was designed to promote sectional, not racial, reconciliation. The words flanking the Lincoln statue upstairs come from the Gettysburg Address and Second Inaugural, not the Emancipation Proclamation, which Lincoln called “the central act of my administration, and the great event of the nineteenth century.” The 1922 dedication was itself a segregated affair.

But Anderson and Dr. King changed all that, and it is good to know that their spirit has long endured, both above ground and below. The new Lincoln Memorial undercroft is more than a tribute to an engineering marvel; it is a reminder that even iconic monuments must evolve over time, none as meaningfully as this one has.

Mr. Holzer, director of Hunter College’s Roosevelt House, is the author of “Monument Man: The Life and Art of Daniel Chester French” (Rowman & Littlefield, 2024).

MUSIC REVIEW

Batiste Connects With Monk and Mozart

By **LARRY BLUMENFELD**

TWENTY YEARS AGO, while still an undergraduate at the Juilliard School of Music—before his seven seasons as bandleader for “The Late Show with Stephen Colbert” or his eight Grammy Awards—Jon Batiste attended a jam session. There, one song evoked a musical conception he had imagined but never achieved—“it dealt with space, and a logic that rhymed and was almost obtuse,” Mr. Batiste once told me. The song was “Evidence,” composed by Thelonious Monk.

Mr. Batiste had learned “Straight, No Chaser” shortly after taking up the piano at age 11 but had yet to dig into the rest of Monk’s repertoire of what are now mostly jazz standards. He spent much of the next nine months listening almost exclusively to Monk. On “Live In New York: At the Rubin Museum of Art,” released in 2006, Mr. Batiste played just one of his compositions, “Green Chimneys.” Yet Monk’s influence—his percussive attack, dissonant tone clusters and blend of propulsion with pauses—is evident throughout.

Cut to 2026. Mr. Batiste is no longer just among a long list of jazz pianists, beginning with Jelly Roll Morton, to come north from New Orleans (he grew up in nearby Kenner, La.), but rather a pop star whose reach extends beyond any

one genre. His 2021 release, “We Are,” won the Grammy for album of the year in a field of nominees that included Kanye West, Justin Bieber and Taylor Swift. The cover of “Big Money,” a 2026 Grammy winner in the Americana category, depicts him singing and playing electric guitar.

Still, Mr. Batiste focuses solely on piano for three simultaneous new releases in his “Batiste Piano Series” (Verve), devoting two of them to Monk.

The first of these, “Black Mozart” (Vol. 2), follows the form of his first “Piano Series” installment, 2024’s “Beethoven Blues”—interpreting classical themes through the traditions of jazz, blues and New Orleans music, and all that influenced those forms. His “Molto in Cayo Hueso,” for instance, imagines the *molto allegro* movement of Mozart’s Symphony No. 40 in G minor as Cuban danzón. In a liner note, he credits Alvin Batiste, the New Orleans clarinetist who was mentor to many (and his distant cousin), with suggesting the promise of embedding Mozart’s melodies into “a foundational Black American idiomatic form.” In that note, Mr. Batiste also connects Mozart with Monk, citing how the two composers combined “melodic simplicity with staggering complexity” to “challenge convention while achieving universal appeal.”

His “Monk Meditations” (Vol. 3)

The onetime ‘Late Show’ bandleader pays tribute to two masters.



Jon Batiste, who has released three new albums in his ‘Piano Series.’

approaches Monk’s compositions “as meditations and healing modalities,” his liner note explains. Rather than softening the edge that helps define Monk, this strategy highlights another essential Monk characteristic: an air of mystery. Through subtle harmonic shifts on “Crepuscle with Nellie,” perhaps Monk’s loveliest melody, he accentuates the song’s inherent connection to blues and church hymns. Mr. Batiste’s originals distill Monk’s essence yet further. “Eternity Around the Corner” considers the opening section of the 1957 masterpiece “Brilliant Corners” like a repeated mantra. “Midnight Movement” encases Monk’s best-known melody, “Round Midnight,” within a chiming, repeated figure and a gauze of natural overtones and synth tones.

Two brief tracks that open and close this release are titled “Always Know,” after an imperative Monk would give his bandmates (“don’t forget, always know”). In these, Mr. Batiste considers a fragment of Monk’s “Reflections” for its harmonic and emotional implications.

Mr. Batiste splits the eight tracks of “Monk Movements” (Vol. 4) between Monk’s compositions and originals inspired by the legendary pianist. Here, he plays Monk’s material differently than at a jazz-club gig. “In Walked Bud” emerges from a series of ostinatos, with a nearly dreamy focus on its pentatonic core. “Ugly Beauty” leans more into the song’s drama than its chord progressions.

Sometimes, he simply delights in a melody, as with “Brilliant Corners,”

which lasts slightly more than a minute. His own “Monk Movement” stretches over nearly 14 minutes and skips cleverly from the stride-piano style that grounded Monk’s playing to elements drawn from his New Orleans piano heroes: “Champion Jack” Dupree’s boogie-woogie left hand; James Booker’s spilled-out, R&B-inflected swing; Professor Longhair’s jaunty, loose-limbed runs; Henry Butler’s devious cat-and-mouse improvisations. Yet this is no pastiche. It sounds like Mr. Batiste—graceful yet playful, searching but also funny.

Mr. Batiste joins a long list of pianists who have responded to Monk’s music. He can’t channel a direct personal relationship with the composer, as did Bud Powell and Barry Harris. He isn’t mining Monk’s Africanisms, like Randy Weston, who also spent formative time with Monk. He isn’t reinventing this music as radically as have, say, pianists Fred Hersch, Jason Moran and Alexander von Schlippenbach. Yet the effect of a star of his magnitude devoting two releases to Monk is akin to Stevie Wonder, at the height of his popularity, calling Ellington “the king of all” with his 1977 hit “Sir Duke.”

And Mr. Batiste does something more, something singular and intimate. He marshals his commanding technique with the openness and vulnerability that have distinguished his whole career. We sense him finally and fully embracing that “logic that rhymed.” It feels as if he’s letting us in on a private communion with his hero as he deepens his own pianism.

Mr. Batiste writes about jazz and Afro-Latin music for the Journal and is the editorial director of Chamber Music America.

SPORTS

By Andrew Beaton

Todd Monken began his first season as head coach of the Cleveland Browns faced with the tall task of picking the team's starting quarterback. The problem is that he isn't exactly choosing between Joe Montana and Steve Young. Instead, he's deciding between Deshaun Watson and Shedeur Sanders—two quarterbacks who might not start for any other team in the NFL. Watson's tenure in Cleveland has made him perhaps the most disastrous trade acquisition in the sport's history, while Sanders struggled as a rookie after emerging as a polarizing sensation in college. For the Browns, it's the latest stage in a seemingly endless quest to find someone they can call their franchise quarterback. Instead, years of miscalculations from the front office have left fans scouting college quarterbacks on Saturdays and wearing bags on their heads on Sundays. Still, Monken has done his best to strike a positive tone—even after his passers combined for three turnovers in a 34-10 preseason loss to the Bears. "I was really pleased with our quarterback play," Monken said. "Turn it over three times, that's never going to be ideal. But to me, it felt like we are going to be able to throw the football."

Not terribly long ago, Cleveland mortgaged its future believing that Watson was its savior. Back in 2022, the team offloaded Baker Mayfield, a former No. 1 overall pick, and traded three first-round

The NFL's Rock-Bottom Quarterback Competition

The Cleveland Browns face an uninspiring choice between two of the most flawed signal-callers in the league: second-year quarterback Shedeur Sanders and the often injured, largely ineffective Deshaun Watson



Shedeur Sanders, left, and Deshaun Watson, right, are competing for the Browns' starting QB job.

selections to acquire Watson from the Houston Texans. Before he ever played a snap for the club, it also gave him an unprecedented, fully guaranteed \$230 million contract. Since then, it has gone about as disastrously as possible. Ahead of his first season with the Browns, Watson was suspended 11 games after several women accused him

of sexual misconduct, who apologized yet denied wrongdoing at the time. And since he has returned, he has been either injured or played like the shadow of someone who once led Clemson to a national championship. In the four years since joining Cleveland, Watson has played in only 19 games. After averaging 269

passing yards a game in Houston, where he led the NFL in passing yardage in 2020, his production has dipped to 177 during his Browns tenure. More often than not, he hasn't even been available. Watson last played in October 2024, when he tore an Achilles that he later reinjured. Mayfield, meanwhile, has gone on to estab-

lish himself as a solid starter for the Tampa Bay Buccaneers. For Watson, simply being on the field was reason enough for Monken to feel upbeat. "It was so cool to watch him play," he said. "I get all the frustration, fans, himself, but for him to come back and work like he did is an unbelievable credit to him." Sanders had originally been brought in as cover for Watson following a precipitous fall in the draft. The passer who was once projected as a first-round pick after rising to celebrity while playing at Colorado under his father, De-ion, dropped all the way to the fifth round. Then, in eight games last season, he threw more interceptions than touchdowns and took 23 sacks, averaging one roughly every 10 dropbacks. That leaves Monken, a 60-year-old former offensive coordinator for the Baltimore Ravens entering his first season as an NFL head coach, with two flawed options. Watson started the team's preseason opener before Sanders came in, and that order is set to be flipped for the next exhibition game against the Buffalo Bills. Watson's past success—along with his expensive contract—make him the favorite to begin the season as the starter, but it's no secret that the Browns have their eyes on the future. They signaled as much this offseason by trading away two-time defensive player of the year Myles Garrett, who set the single-season sack record. And while the team's long-term answer under center may prove to be someone they haven't even drafted yet, it's up to Monken to figure out who to play in the meantime. "I'd love to have that decision," he said this week. "We'll see."

KEN BLAZE/IMAGI/REUTERS



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OPINION

Trump and the Campuses, Part 2



UNRULY REPUBLIC
By Barton Swaim

When a federal judge last week dismissed President Trump's lawsuit against Harvard for violating the rights of Jewish students, most of the mainstream press reacted with glee and treated the judge's reasoning with minimal curiosity. U.S. District Judge Richard G. Stearns agreed to dismiss the lawsuit on grounds that the administration failed to prove that "institutionalized noncompliance" continued after the 2023-24 school year. Which strikes me as akin to a judge tossing a criminal indictment because the defendant stopped his illegal activity on arrest.

An appeal could stretch past Mr. Trump's term, which, as this newspaper's editorial board noted, may have been the strategy all along. That strategy could work, but not in the long term. Elite schools made themselves odious to the public by tolerating and intermittently condoning the vilest displays of antisemitic hooliganism. Ivy League schools were never popular with the public, but Mr. Trump's rough treatment of them became politically salable in a way it never could have been before the Hamas attacks that inspired the protests.

The lunacy of America's top colleges has become a perpetual news item. The latest ballyhoo: Tyler Austin Harper's cover essay in the

Atlantic, "Confessions of a Token Black Professor." Mr. Harper recounts his first academic job, at Bates College in Lewiston, Maine, and recounts his realization that the school's administrators and loudest faculty had given themselves to a variety of racist and otherwise deranged ideologies. But the most remarkable thing about the essay is that a similarly harrowing account could issue from nearly every elite campus in America, if only it contained someone who could write as well as Mr. Harper.

In fact, Americans' opinions of higher education have crept steadily downward over the past decade. Grade inflation, reports of rampant cheating with chatbots, and an ever-gushing stream of stories about the Stalinist behavior of students, faculty and DEI administrators—the headlines grow darker and more numerous all the time.

Last October the White House invited nine institutions to sign what it called the Compact for Academic Excellence in Higher Education. Signatory institutions, the administration pledged, would get preferential tax breaks and fast-track access to loans, grants, contracts and research funding. Institutions choosing not to sign would, by implication, risk getting the opposite. Some of the compact's principles—colorblind admissions, viewpoint diversity, civil discourse, institutional neutrality—recommend themselves. Others don't, chief among them a commitment to keep tuition flat for five years. Some schools have kept tuition low and don't deserve

that penalty, and all have to deal with government-pelled inflation.

Anyway, the compact failed. None of the nine schools signed.

The administration's second effort hasn't received the coverage it deserves. A crisply written letter from Education Secretary Linda McMahon this month appears to have more work behind it than the compact did and sounds a more nuanced and generous tone. The letter, titled "A National Call to Action to University Presidents and Governing Boards,"

Education Secretary Linda McMahon calls universities to action—and some answer.

poses seven questions. Ms. McMahon asks what colleges and universities are doing to ensure (1) merit-based, non-racist admissions, (2) a free and open sphere of inquiry, (3) intellectual diversity in the faculty and (4) affordable tuition. The secretary would also like to know how schools intend (5) to address grade inflation and artificial intelligence, (6) curb the influence of foreign governments and (7) promote U.S. security interests.

Leave Mr. Trump out, and a large majority of Americans would agree that colleges and universities should probably have ready explanations on all seven topics. But of course you can't leave him out. The president's unpopularity with

nearly everyone in higher education will tempt some university leaders to scorn Ms. McMahon's call to action—they can't be seen to work with her or her boss. But the readiness with which Mr. Trump has used force against top-tier universities has induced the wiser ones to read her letter with care and some to support it. Add the multiple investigations of universities by the Justice Department's Civil Rights Division for racially discriminatory admissions policies, and college leaders have all the reason they need to pay attention.

Jonathan Pidluzny, the Education Department's deputy chief of staff, doesn't ignore the sticks but emphasizes carrots. "This initiative isn't connected to funding consequences," he tells me. "We think that will probably make universities more likely to participate, and in time we hope to remember this as a moment when things started to change." He confirms media reports that leaders from Arizona State, Johns Hopkins, the University of Kansas and Washington University in St. Louis helped draft Ms. McMahon's call to action. The university systems of Florida and North Carolina have endorsed it and submitted detailed responses.

Maybe the effort will amount to a lot of talk and the higher-education sector, as it's terrifyingly known, will remain an expensive, unreformable blob. But Mr. Trump, for all his bad manners and lawlessness, has proved that even universities respond to the credible threat of force.

By Karl Rove

Minimalist architect Ludwig Mies van der Rohe believed "less is more." What's true in aesthetics is true in politics sometimes, too. President Trump's political handlers should keep that in mind this fall.

You can imagine how Mr. Trump wants this campaign season to roll out. He wants to fly from rally to rally, inserting himself in the middle of every important contest—he's headed to South Carolina Friday presumably to do just that. In battleground states and districts, the president will walk on stage to Lee Greenwood's "God Bless the U.S.A.," then launch into an hour-plus of pontificating, warning of the dangers of the "Dumocrats," and predicting "nothing but death, squalor, poverty" if these "communists" get elected. The crowds will go wild.

He'll careen from one unrelated subject to another. He calls this "the weave." The rest of us call it word salad. Each day, something he says—probably unscripted—will dominate that news cycle. It won't matter how unconnected it is to the candidate he's there to boost.

A far better course would be to minimize the president's political profile after Labor Day. Mr. Trump is unpopular. His approval in the

RealClearPolitics average is 39%. A season of political rallies won't improve that. Less campaigning might.

It makes no sense to help Democrats more easily tie a Republican candidate to voters' low opinion of Mr. Trump. Get the president to raise money at private fundraisers but avoid high-profile rallies in battlegrounds that will only energize an already

Republicans lost worse in 2018 than in 2006. It doesn't have to happen this year.

excited Democratic electorate and make it more difficult for Republicans to contrast themselves with their opponents.

I know of what I speak. In 2006, President George W. Bush was unpopular: His Gallup approval rating on Nov. 1 was 38%, and the public had soured on the Iraq war. So while he raised oodles of campaign cash at private fundraisers, his campaigning was limited.

He went only where his presence would help. His first public fall campaign event was in deeply conservative southern Indiana on Oct. 28. He then appeared in South Carolina, Montana, Georgia, Nebraska, Kansas, Colorado

and Florida before closing out with an election eve rally in Dallas. His messages were geared to big issues, the tone restrained. We weren't looking to make news.

By lowering his profile and mostly avoiding the campaign trail, Mr. Bush gave Republicans a better chance to keep their fire focused on their Democratic opponents.

Still, as is customary in midterms, Republicans lost—30 House seats that year.

In Mr. Trump's first midterm, in 2018, he campaigned extensively and the GOP lost 42 seats. He didn't even have the albatross of an unpopular Middle East war weighing him down. Fewer campaign rallies and more presidential actions that make a meaningful difference in people's lives could produce a better outcome this time.

One more 2006 lesson: While the Iraq war was unpopular, 51% in an August 2006 CNN poll still saw Mr. Bush as "a strong and decisive leader." He defended his actions, patiently explained the stakes in the war on terror, and was consistent and steady. Some people who didn't like the war still trusted him because they felt, as president, he might know more than they did.

By comparison, 62% of Americans characterized Mr. Trump as a "strong leader" in January 2025 prior to his

inauguration. This July only 43% described him as strong.

The problem is messaging. Team Trump should stop the bluster and wild promises on the Iranian conflict, forgo crude insults of allies and even foes, and return to the war's original rationale. As Mr. Trump has written on Truth Social: The "number one Goal is, and always will be, that Iran cannot have, in any way, shape, or form, a Nuclear Weapon." Let him remind people the Iranian leadership has said for nearly a half-century "death to America" and with a nuclear arsenal, they could act on that threat. And for God's sake, don't TACO. That would only add to his image as weak, with consequences for domestic politics and the world.

I've offered versions of this case for presidential prudence and restraint more times than I can count. That it's ignored doesn't make it any less right. Because there are good Republicans on the ballot who don't deserve to be defeated but will be unless the president and his advisers forgo needless and unhelpful political spectacles this fall.

Mr. Rove was senior adviser and deputy chief of staff for President George W. Bush and is author of "The Triumph of William McKinley" (Simon & Schuster, 2015).

When the Perfect Name Comes From Dad

By Bob Greene

Corporations spend millions of dollars to have outside consultants and research firms come up with unique names for their products and spinoffs. There's an art to it. But sometimes the perfect name is right in front of you. Or at least it's on your driver's license.

I thought of this the other day when a reader was talking with me about something I wrote in these pages over the summer. The piece was about the old 45 rpm record labels from the jukebox era of rock music.

"Man, those jukeboxes were addictive," the reader said. "Remember the ones with the most terrific name? The big Rock-Ola jukeboxes? Talk about perfect marketing—you knew what you were getting before you even dropped the first coin into the slot. The name made you feel like dancing."

I started to laugh—because, yes, Rock-Ola jukeboxes were (and are) classic. But however perfect the name, it has nothing to do with some genius of a marketer marrying the then-new rock-'n'-roll craze with the old Victrola record player brand.

How am I so sure?

Meet David Rockola, the man behind the Rock-Ola jukebox.

Because in the 1980s I met a 90-year-old man named David C. Rockola. He owned the company. "A lot of people thought that Rock-Ola was named after rock 'n' roll," he said. But he started his business in 1926 and at first it manufactured scales, not jukeboxes. "We were the Rockola Scale Company."

Most clients mispronounced his name—and thus

his company's. They emphasized the first syllable: ROCK-ola, like "broccoli."

So he inserted a hyphen to help people say it correctly. The renamed Rock-Ola Manufacturing Corp. made coin-operated machines.

The notion that he was a clever enough fellow to come up with the ideal name for a rock-'n'-roll jukebox, while flattering, was impossible. There was no such thing as rock music in the 1930s.

Yet boy, did David Rockola, who died at 96 in 1993, have a ready-made market when rock music took off. There were other big brands in the jukebox field—Wurlitzer, Seeburg—but those rollicking-sounding Rock-Ola machines remain burned into millions of memories.

The founder told me he had no favorite kind of music, and that at 90 "I'm not much of a dancer, but I do like to sit and listen." When he built a home he had wiring in-

stalled for jukeboxes. "Mrs. Rockola said no. She said, 'You get enough of jukeboxes at the factory. We don't need one here.'"

I told the reader who had brought up Rock-Ola that it became so universally famous—it was the generic name for jukeboxes in some countries—that David Rockola, when making restaurant reservations, would often use a fake name. He liked his privacy, and he wanted to avoid hearing, "Oh, like the jukebox."

He didn't want to have to explain. Blaring rock music, along with the inadvertent brilliance of that hyphen of his, had helped to make him a wealthy man, but when it was time for dinner Mr. and Mrs. Rockola preferred the blissful peace of quiet anonymity.

Mr. Greene's books include "When We Get to Surf City: A Journey Through America in Pursuit of Rock and Roll, Friendship, and Dreams."

BOOKSHELF | By Matthew Hutson

The Mother Of All Chatbots

Inventing Eliza

By Sarah Ciston et al.
MIT, 350 pages, \$35

"Thou shalt not kill." "Congress shall make no law . . . abridging the freedom of speech." As far as codified behaviors go, it's hard to be more densely rich with implications for the human condition than the Ten Commandments or the Bill of Rights. But arguably within viewing distance are the few hundred lines of code that direct Eliza, the first chatbot.

Eliza "can be 'read' through many lenses," write the eight authors of "Inventing Eliza." And in their hands, it is. Sarah Ciston, David M. Berry, Anthony C. Hay, Mark C. Marino, Peter Millican, Arthur I. Schwarz, Jeff Shrager and Peggy Weil apply their backgrounds in computer science, art, philosophy, literature and other fields to deconstruct the original code and documentation as well as their ripple effects. The 1960s chatbot, the authors write, "embodies a particular historical moment in both computing and psychology, reveals sophisticated understanding of human conversation, and demonstrates how even primitive AI can raise profound questions about understanding and intelligence."



based on a 1966 paper and other writings of his, people have created numerous imitations.

Eliza, as people know it, is a therapy bot that begins conversations with "How do you do. Please tell me your problem" and offers open-ended questions to keep the conversation going. But it is in fact a generic program for implementing various scripts, or personae, the most famous of them being Doctor. Weizenbaum, who died in 2008, wrote Doctor as a convenient demo. Playing a therapist, it reflects the user's apparent sentiments and asks bland questions, leading people to project wisdom. (Weizenbaum's original idea was to create a bartender.) Doctor does incorporate some psychological insight. If someone were to type universalizing words such as "everyone" or "always," it might ask what specific person or incident the user has in mind.

The authors of "Inventing Eliza" excavated large portions of Eliza's code from MIT's archives and used it to re-create Eliza running Doctor, talmudically annotating the code throughout the book. They explain abstruse technical aspects, muse on therapy practices and add historical and cultural references. (You can also try their reincarnated version at findingeliza.org.)

Eliza shows how computing's limitations at the time forced creative workarounds. The basic rules: Look for keywords in what a user has typed, find associated rules and return some mixture of scripted words and rearranged input. As Weizenbaum writes, " 'I am BLAH' can be transformed to 'How long have you been BLAH,' independently of the meaning of BLAH." Eliza can also store inputs and refer to them later. When at a loss, it might say something like, "please go on."

Weizenbaum cheekily called himself a "con man," but one who enjoyed revealing his tricks. He aimed to fool people into seeing a machine as humanlike—now sometimes called the Eliza effect—and then show them how they'd been fooled. One executive, thinking he was communicating with an employee by teletype when in fact he was conversing with Eliza, finally asked, "why are you being so snotty to me?"

To Weizenbaum, the illusion worked too well. He objected when a collaborator proposed deploying chatbots for actual therapy, saying that "the sort of caring that machines . . . can deliver is very impoverished indeed." In "Computer Power and Human Reason" (1976), he lamented the relegation of human judgment to code. "Inventing Eliza" links his worries about technology to the dehumanization he experienced in Nazi Germany.

Eliza's creator aimed to fool people into seeing a machine as humanlike then show them how they'd been fooled. The illusion worked too well.

Eliza left a long legacy. The authors touch on its other scripts, later chatbots, fictional and real Turing tests (in which a human probes a computer for personhood), and the workings of modern large language models such as those powering ChatGPT.

The authors also explore the notion of "performative identity," in which both sides of a conversation inevitably enact certain personae. One of the book's most powerful points is that technology is not neutral but, like any text, manifests its creators' decisions. These choices often carry social and political weight. Referring to the typing tutor "Mavis Beacon Teaches Typing," a software program released in 1987, the authors write that "Mavis Beacon fits into a logic, a kind of larger cultural operating system, in which Black women provide uplift and inspiration that profits others." Current language models, the authors argue, embody the practices of their creators and are therefore "agents of inequality, homogenization, and oppression."

Readers can take what they want from this unique blend of technical detail and cultural commentary. As a minor complaint, the book's discussion of what makes something intelligent is scant and muddled. ("Computational use of the term *intelligence* is often a misnomer for the results of complex operations," the authors tell us. But the brain, too, runs complex operations.) And there's a slight overstating of Eliza's advances, as when the authors call the switcheroo from "I" to "you" (see "I am BLAH," above) a "sophisticated handling of pronouns" that "goes beyond simple text manipulation to raise questions of identity and relationship."

Weizenbaum was far ahead of his time in at least one way. In 1966 he wrote that "the act of writing a script is a kind of programming act." Users could type "edit" to pause a chat and further alter the script. He foresaw a future in which Eliza would learn to model the user and the world through conversations. This easy interaction reflects our era of vibe coding—in which people describe ideas that an artificial intelligence then programs—and of AI developers writing natural-language "constitutions" to steer the behavior of chatbots. The Eliza effect may refer to an overattribution of human smarts to AI. But increasingly it makes sense to treat AI as one of us.

Mr. Hutson's next book, on intelligence, will be published in April.

OPINION

REVIEW & OUTLOOK

Trump, Canada Tariffs and USMCA

Two hours before his self-imposed midnight deadline, President Trump wrote online that he would pause aggressive action abroad for three days, giving negotiators time to finalize some unspecified deal. Iran? No, Canada. Mr. Trump's reprieve Tuesday for 50% tariffs on \$20 billion of imports—hockey sticks, building materials, and other items Americans want to buy—is welcome. But what a way to treat an ally and neighbor.

Any deal will have to be evaluated on its own terms, and if Mr. Trump steps back from raising prices on consumers with new border taxes, that's progress. Yet his attitude of constant haggling over everything that isn't nailed down, and some things that were supposed to be, isn't helpful. Mr. Trump has put into doubt the future of his own U.S.-Mexico-Canada Agreement. Someone should tell him the biggest beneficiaries of free North American trade are Republican states, especially Texas.

After Mr. Trump renegotiated the 1994 North American Free Trade Agreement, renaming it USMCA, he called it the “best agreement we’ve ever made.” That was in 2020. But now USMCA is up for renewal for 16 more years, and Mexico and Canada want to re-sign. Mr. Trump last month declined, at least for now. U.S. Trade Representative Jamieson Greer cited “short-comings” in the text and singled out “our trade deficits with these countries.” But trade deficits aren't a measure of prosperity, which is why most economists ignore them.

Texas shows why. The Lone Star State buys more from Mexico than it sells, and it has prospered. Texas traded \$303 billion in goods with Mexico in 2025, which is more than the U.S. trades with any single country except Canada and China. Mexico was the state's largest foreign export market in the first quarter, 27% of the total. Texas exports energy products to Mexico but also machinery, equipment, plastics, aerospace items, auto parts and beverages. Thirty-five percent of Texas foreign trade was with Mexico in 2025.

Texas isn't alone. Mexico bought 26% of exports from Kansas and Nebraska each in the first quarter. For a majority of American states, the North American neighbors together are the first or second largest export market.

Almost 70% of what Michigan exports goes to one of the two USMCA partners. For Nevada, it's 41% and Maine and Iowa 50%.

Before Nafta, Mexican and Canadian agricultural markets were protected from U.S. competition. Today Mexico is the largest export market for U.S. producers in 13 agriculture categories including pork, poultry, dairy, cheese, apples, pears, wheat, corn and rice. It's No. 2 for American beef, soy, baked goods, vegetables, prepared foods and condiments.

“Since USMCA was enacted in 2020, Mexico and Canada have collectively scaled up imports of U.S. agricultural goods by \$20 billion, totaling \$60 billion in 2024,” Democrats on the House Agriculture Committee wrote in a July letter calling for the pact's renewal. Farmers already hit by Mr. Trump's trade wars with China now have to worry about sales north and south. It's bad politics for Republicans trying to win Iowa, to pick one pivotal Senate race.

Texas and other red states have also benefited from integrated manufacturing under Nafta and the USMCA. The web of supply chains that spans the continent allows for joint production across all three countries. With the U.S. leading in research, technology and branding, it assigns production of sophisticated components to its skilled workers and sends intermediate goods to Mexico or Canada for finishing.

This lets American companies preserve high-paid jobs at home while competing globally. It's the main reason U.S. auto makers have stayed even remotely competitive against foreign models. When Mexico adds value to a Texas-made component and sends it back to the U.S., it completes a production cycle that makes American workers better off. Oh, and don't forget consumers, who get access to higher-quality goods at better prices, everything from fresh food to medical devices to cars.

The good news is that a failure to renew by Mr. Trump doesn't terminate the USMCA. Instead it moves to a series of annual reviews and negotiations, the kind of perpetual bargaining that Mr. Trump sees as leverage. But uncertainty is bad for business. Can companies count on stable supply-chains in North America? For CEOs trying to make investments and create jobs, it isn't an idle question.

Moderna's Road to a Cancer Vaccine

Moderna got a shot in the arm Wednesday after reporting that its personalized melanoma vaccine succeeded, in a large late-stage trial, at preventing cancer from coming back in high-risk patients. Investors cheered, as the company's stock soared 177%. But that's nothing next to the returns to cancer patients from an mRNA breakthrough.

Moderna has been working on its experimental cancer vaccines with Merck for a decade. Because of those efforts, it was able during the pandemic to adapt its mRNA platform quickly to develop a Covid shot. The Food and Drug Administration has approved Moderna's mRNA vaccines for the flu and RSV as well.

But the technology's greater promise may lie in preventing cancer recurrences. Cancers come back in about half of later-stage melanoma patients after their tumors are removed. The idea is to use mRNA to train the immune system to recognize tumor mutations and hunt down and kill cancer cells hiding around the body.

Scientists biopsy and genetically sequence a patient's tumor cells. They then select mutations unique to the patient's cancer to incorporate

into an mRNA molecule, which provides the genetic code instructing cells to produce proteins with those mutations. These benign proteins teach the immune system to recognize and attack lingering cancer cells.

Moderna announced in January that melanoma patients who received its vaccine in a small trial, in combination with Merck's immunotherapy Keytruda, were at 49% lower risk of experiencing a recurrence or death after five years, compared with those who got Keytruda alone. On Wednesday the company said that a large randomized trial met its goal of preventing cancer recurrence and metastasis, though it didn't publish the data.

Even so, this heralds the potential of personalized mRNA vaccines to treat and prevent cancers. That seems to be the hope of investors, as shares surged for other mRNA companies, including BioNTech (22%) and Arcturus Therapeutics (25%). Moderna and Merck are also working on vaccines for non-small cell lung, bladder, kidney, pancreatic and gastric cancers. The road to new cures can be long and winding. Moderna shows sticking with it can pay off.

the U.S. joined for one mission to level the nuclear program, compares well with the inaction that allowed North Korea to acquire the bomb. That's worth remembering as Mr. Trump seeks to finish the job.

IAEA inspectors have access to Syria's nuclear material now only because the Assad regime fell. Once Israeli Prime Minister Benjamin Netanyahu removed the Syrian regime's Hezbollah defenders, and turned back Iranian forces coming to the rescue, Mr. Assad's army crumbled in late 2024.

Mr. Sharaa, the victorious rebel commander, now complies with the IAEA. He has brought his country into the American orbit after seven decades of allying with the Soviets and then the Iranians, Russians and North Koreans. This presents a diplomatic opportunity. Yet Mr. Sharaa is a former al-Qaeda commander. Not exactly the kind of guy one trusts with nuclear material. Jihadists still fill his army's ranks.

Turkey, which harbors nuclear ambitions, also seeks to expand its military role in Syria. On Tuesday this provoked an Israeli strike on a recently rebuilt Syrian air base, where Israel says Turkey planned to establish its forces. U.S. Ambassador to Turkey Tom Barrack called the strike an “unnecessary escalation,” but it may have prevented one. Had Turkey been allowed to break the status quo by installing its air defenses in Syria, that could have brought Ankara into direct conflict with Jerusalem.

Syria is no place for a nuclear program of any kind. The country no longer has any reactor that its natural uranium metal could fuel, so it might as well hand over the material and ship it out. Mr. Trump wants nuclear nonproliferation to be his legacy, and here's an opening.

By putting the trade deal in doubt, he hurts red states, including Texas.

LETTERS TO THE EDITOR

Prosperity Is Making Us Forget How to Prosper

Kimberlee Josephson perceptively describes how the self-contained, feathered nest that many campuses have become helps spawn young socialists (“How Colleges Produce Socialists,” op-ed, Aug. 15). But an older, paradoxical dynamic is also at work.

In “Buddenbrooks,” Thomas Mann depicted succeeding generations living comfortably on inherited wealth while progressively losing the hard bourgeois virtues that created it. Joseph Schumpeter later predicted that capitalism's unprecedented success would finance an educated intellectual class increasingly hostile to capitalism itself. Then, in “The Closing of the American Mind,” Allan Bloom described the educational denouement: universities failing to transmit serious understanding of the Western inheritance while teaching students to distrust its claims.

Today's affluent, college-educated socialists may fulfill all three warnings. Having inherited a degree of prosperity unknown to earlier generations, they need scarcely understand the economic freedom, enterprise, risk and discipline that produced it. Its benefits appear natural and permanent; its imperfections, intolerable.

Young Americans have legitimate grievances about housing, debt and concentrated economic power. Yet the remedy isn't socialism's still greater

concentration of power in the state. Prosperity's great paradox may be its failure to teach succeeding generations how difficult it was to create, and how easily it can be lost.

CANDACE DE RUSSY
Fleetwood, N.Y.

Ms. Josephson shifts the blame for creating socialist-friendly students from the faculty to the campus. She argues that students at elite institutions can't understand the real costs of aspects of their education because they do not pay for every tutoring session or sandwich individually.

Fundamentally, college campuses are communities, and the members of the community want students to succeed. Free shuttles exist so students and folks who work on campus can get there from the train station or travel between classes or meetings efficiently. Students aren't converted to the values of community at college—they seek out these values when choosing colleges.

If Ms. Josephson wants her students to forsake communities, she needs to convince them that their lives as successful individuals will be better than their lives as successful members of the collective.

SUSAN DINAN
Adelphi University
Garden City, N.Y.

Mexico's Press Is Still Free Under Sheinbaum

Mexico is living the freest and most democratic moment in its history (“Sheinbaum Moves to Gag Mexico's Media,” Americas, Aug. 17). For most of a century, one party controlled the airwaves and governed for a few, while journalists rarely had access to the president. Today President Claudia Sheinbaum answers the press every weekday and spends her weekends traveling across Mexico, listening to—and working for—the people.

Despite Mary O'Grady's account, Mexico's press isn't silent. Whether a government is censoring its press isn't a matter of rhetoric. It is a matter of evidence, and the record contradicts her.

One of Mexico's two largest broadcast networks has maintained an openly critical editorial line toward this government. Its license is intact and its journalists freely express what they think. The scholars Ms. O'Grady cites are free to publish their views in Mexico—at a maga-

zine whose editorial line has also been critical of the government.

The guidelines Ms. O'Grady cites create no arbiter of truth. Mexico's airwaves are public property, lent to private concessionaires. Audience rights are owed to listeners and viewers, enforced first by an ombudsperson each network appoints, and they do not reach the printed press. Mexico's Congress legislated the framework, and our Supreme Court held that audience rights take precedence over the commercial interests of broadcasters.

Debate over Mexico's reforms is legitimate—and it is under way. We differ with Ms. O'Grady. Yet we uphold her freedom to publish as firmly as we defend it in Mexico—for those who agree with us and, most important, for those who do not.

ROBERTO VELASCO ÁLVAREZ
Secretary of Foreign
Affairs of Mexico
Mexico City

Meritless Claims Will Raise Everyone's Rates

Regarding “Insurer Payouts for Car Crashes Get Less Likely” (Business & Finance, Aug. 10), the headline doesn't reflect the full facts in the article. The Journal found that auto insurers are paying physical damage claims at essentially the same rate today as they were a decade ago.

The claims for which the Journal identified an upward trend are auto liability and medical claims that are closed without payment. These claims are a magnet for billboard lawyers and fraudsters seeking to profit off the system, which is why these claims are investigated thoroughly. It is important that insurers don't pay meritless claims to control the cost of coverage for all drivers. Claims closed without payment don't mean insurers are wrongfully denying claims. Auto liability and medical claims may be closed without payment for a variety of reasons, including damage that falls below the deductible or an accident investigation that reveals those involved aren't injured.

DAVID A. SAMPSON
President & CEO
American Property Casualty
Insurance Association
Washington

We require drivers to carry insurance because accidents can impose devastating costs on other people. But mandatory insurance works only if meaningful coverage exists when

North Korea Is a U.S. Threat

Regarding your editorial “Trump Romances Kim Jong Un Again” (Aug. 18): The Defense Department's 2026 National Defense Strategy acknowledges that North Korea's “nuclear forces are increasingly capable of threatening the U.S. Homeland.”

President Trump's sudden, inexplicable decision to “substantially reduce” military exercises with South Korea ignores the danger posed by North Korea. To curtail joint exercises is to retreat from the three visions underscored in the NDS: “America First. Peace Through Strength. Common Sense.”

CHARLES D. EDEN
Atlanta



“This is Rutherford. He heads up our ‘Illusion of Ethics Department.’”

Letters intended for publication should be emailed to wsj.letters@wsj.com. Please include your city, state and telephone number. All letters are subject to editing, and unpublished letters cannot be acknowledged.

OPINION

It’s Hard to Tax Things That Move

By Richard B. McKenzie

Progressives ranging from conventional liberals to hard-left socialists are trying to advance their egalitarian agendas with big-ticket items funded largely by heavier taxes on the superrich. They miss an important economic reality. Their policy dreams will be checked by a force as unrelenting as it is unheralded: the growing mobility of capital, over which they will have shrinking influence. They risk becoming like New York Mayor Zohran Mamdani, whom Florida’s Chamber of Commerce crowned “Florida’s Economic Developer of the Year” for inducing New York City wealth to move south. In 1991 the University of Georgia economist Dwight Lee and I published a book on this economic force, which we dubbed “quicksilver capital” to capture the slipperiness of modern-day wealth. We documented the ways in which the mobility of global capital had sped up

Levies on wealth gain in political popularity, but ‘quicksilver capital’ makes them certain to fail.

over the past century as relocation and communication costs declined. The ease of moving capital had heightened pressure on governments to think more competitively in choosing their policies, most notably tax rates. Margaret Thatcher and Ronald Reagan pressed for personal and corporate income-tax rate cuts as well as curbs on their governments’ private-sector entanglements. Their successes put competitive pressure



on other governments to follow suit. Such moves by governments added to the market pressures on businesses to move their headquarters, plants and bank accounts to business-friendly jurisdictions. They also encouraged firms that stayed behind to get ready to move lest they have to shoulder the tax burden the movers left behind. Mr. Lee and I called on James Buchanan, the 1986 Nobel laureate in economics, to write a blurb for our book. He did, but with a caveat: “Do we dare hope that McKenzie and Lee are right in their claim that modern information technology has reduced the monopoly power of governments everywhere? Their arguments are surely convincing, up to a point. But . . . I shall advise all classical liberals to keep their rhetorical powder dry.” We understood Buchanan’s skepticism, which we shared, and which seems all the more pertinent with the recent ascendancy of progressives enthralled with wealth taxes and free-stuff-for-all proposals, presuming their agendas will be

checked only by power politics. We need not have worried. Income and corporate tax rates across the globe have continued their decline since the 1980s, though at a slower pace in recent decades. Travel and shipping costs have continued to drop, with communication costs falling precipitously. Trade barriers have continued to fall worldwide—until the advent of neo-protectionists such as Donald Trump, who might learn, with time, that he has undercut America’s competitiveness. When we wrote our book, we understood that a lot of capital was reincarnating into digital forms that could be sent around the world in a few keystrokes at close to light speed with far lower production, storage and transmission costs. We were unaware of transformative technologies soon to be released—email and internet—that would dramatically accelerate trade and the use of a growing array of digitized capital goods from contracts and architectural plans to

Pyongyang’s Threat Rises, With an Assist From Trump

By John Bolton

President Trump put North Korea and its rogue nuclear-weapons program back in the spotlight on Sunday. The president ordered the Defense Department “to substantially reduce” this week’s annual U.S.-South Korean military field exercises to defend against a potential attack by the North. He made the same unilateral concession in his first term, a mistake that is even worse now. At the 2018 Singapore summit to discuss Pyongyang’s nuclear-weapons program, North Korean leader Kim Jong Un criticized the annual defense maneuvers. As I wrote later, Mr. Trump agreed “that the exercises were provocative and a waste of time and money.” He decided that “there would be no exercises as long as the two sides were negotiating in good faith.” Essentially repeating these points in his Sunday social-media post, Mr. Trump wrote that the exercises were “costly” and “totally inappropriate and hostile” to North Korea, which has been “unthreatening and respectful” during his presidency. All this is false. What the North finds hostile is the South’s existence, along with its political and economic success compared with the wretched dictatorship north of the demilitarized zone. The U.S.-South Korean military maneuvers are entirely defensive, crucial to the safety and readiness of the roughly 28,000 service members in U.S. Forces Korea and their South Korean counterparts. This is critical today given the combat experience the North’s troops have gained fighting alongside Russia in Ukraine—experience the South hasn’t had since Vietnam. The shared motto of USFK and Seoul’s Defense Ministry is “Fight to-night!,” which underscores that if (or when) North Korea attacks, the defenders won’t have time on their side. Expenditures on the joint drills are dollars and won well-spent. This was all explained to Mr. Trump but apparently never sank in. Other forms of mutual activities and coordination between USFK and South Korea will continue, but “tabletop” exercises are pale substitutes for

field training. Mr. Trump’s action has weakened deterrence against Pyongyang, thereby increasing the threat. And beyond the military implications of Sunday’s order, the political signal to Seoul and other allied capitals is grim. The unilateral concession embodied in cutting back the joint exercises reflects Mr. Trump’s conviction that state-to-state relations depend almost entirely on the personal relations of their top leaders.

By reducing U.S.-South Korean military exercises, the president heightens the danger and worries allies.

Asked at the 2018 Singapore summit if he trusted Mr. Kim, Mr. Trump responded, “I do.” Their negotiations on Pyongyang’s nuclear-weapons and ballistic-missile programs went nowhere, and there have been no “good faith” negotiations for almost seven years. During that hiatus, North Korea proceeded with its nuclear and missile programs. Joe Biden resumed the joint exercises in 2022, and Pyongyang

responded only with rhetoric. Some believe North Korea reappeared on Mr. Trump’s agenda as a ploy to divert attention from the conflict with Iran. His near-simultaneous threat to attack Oman did precisely the opposite, unsettling allies and encouraging adversaries worldwide, notwithstanding Oman’s dubious bona fides as a mediator in the Gulf conflict. Finding no love anywhere in Iran’s fractured government, perhaps Mr. Trump believed an agreement with Mr. Kim might bring his long-sought Nobel Peace Prize. The North hasn’t commented publicly, although the president, without providing evidence, says Mr. Kim has responded and was “very positive.” Even before Mr. Trump’s latest sally, his North Korea remarks reached far beyond the Peninsula. On Inauguration Day 2025, he said of Mr. Kim, “Now he is a nuclear power. I think he’ll be happy to see I’m coming back.” Making nice with Pyongyang, however, only solidifies Iran’s longstanding strategic decision to produce deliverable nuclear weapons. It increases the Islamic Revolutionary Guard Corps’ determination not to negotiate. Tehran’s hard-liners see Mr. Trump’s unrequited affection for Mr. Kim as weakness and will un-

books, films and games. These technologies have made it easier to work from home in different states or even countries. Now artificial intelligence offers the prospect of workforces of digitized “agents” that can roam the world unconstrained by national politics. The global spread of capital now carries a threat to which progressives remain oblivious: Businesses and employees increasingly can move to avoid taxes and regulations. California Gov. Gavin Newsom has learned the lesson of capital’s growing mobility. He opposes a state wealth tax on the ballot in California, and is seeking cover by supporting a federal wealth tax, a likely nonstarter in Congress and at the White House as it would clearly throttle economic growth. Mr. Mamdani will soon have to concede the point or fade rapidly in political relevance. Governments’ basic competitive problem is that they are landlocked and are competitors for capital that is footloose on a global scale. Their dilemma? Higher taxation of wealth easily transmutes into lower total revenue and economic decline. No wonder so many governments have yielded to the threat and now bid for capital projects with tax concessions and other benefits to attract and hold on to capital. Progressives and socialists might score political points in coming elections, but their gains will be checked not so much by the right as by states and nations that see development opportunities in other governments’ hostile treatment of capital and wealth. Mr. McKenzie is a retired economics professor at the University of California, Irvine, and a co-author of “Quicksilver Capital: How the Rapid Movement of Wealth Has Changed the World.”

doubtedly work even more closely with Pyongyang. All this benefits the China-Russia axis, in which Iran and North Korea could move from being outriders to joining the core group. America’s Asia-Pacific allies, including South Korea, Japan, Taiwan and Australia, already harbored doubts about the president’s reliability. Although their initial comments have been muted, deep concerns are clear. Relations with Seoul were already strained, and the South’s leftist president is engaging in a naive diplomatic effort to end the Korean War formally and resolve Pyongyang’s nuclear program. Mr. Trump’s criticism of Seoul’s reluctance to take a role in the Gulf crisis, plus continuing disputes about tariffs and Seoul’s investment commitments, will only complicate the relationship further. We should hope that something else diverts White House attention from North Korea. If not, Mr. Trump’s next social-media post could announce that he is flying to Pyongyang to resume his bromance with the world’s only hereditary communist dictator. Mr. Bolton served as White House national security adviser, 2018-19, and is author of “The Room Where It Happened: A White House Memoir.”

AFT Target Funds Teachers’ Retirement

By Sara Albrecht

Target is OUT this back-to-school season,” Randi Weingarten declared on Facebook this week, urging teachers to spend their school-supply dollars elsewhere. In February the American Federation of Teachers said it wanted Minneapolis-based Target to take a public stand against Immigration and Customs Enforcement operations in Minnesota. The union, which Ms. Weingarten heads, adopted a formal resolution directing its 1.8 million members to shop elsewhere and stating its plan to expand the boycott to parents, communities and the AFL-CIO’s roughly 15 million members. One problem with this strategy: Teachers’ retirement funds own mil-

lions of shares of Target. I spent years managing money. When someone proposes an economic campaign against a publicly traded company, I ask who owns the stock. In this case, the people being asked to boycott are among the shareholders. The AFT acknowledges this. In its letter to Target, the union said pension funds in which its members participate directly own 6.79 million Target shares, with billions of dollars more in indirect exposure through index funds. The New York City Teachers’ Retirement System alone reported about \$16.4 million invested directly in Target as of June 30, 2025. Union leaders know the investment process: Teacher trustees on the retirement board have close ties to the United Federation of Teachers, AFT’s New York affiliate. Ms. Weingarten doesn’t pick those stocks. Pension boards and professional investment managers do. Their job is to invest assets to secure teachers’ retirements. AFT’s back-to-school resolution notes that teachers spend an average of \$895 a year out of pocket on school-related supplies, totaling about \$3.4 billion nationwide. In other words, AFT is advertising the purchasing power it hopes to mobilize against the company. A boycott is supposed to hurt. Target’s second-quarter sales fell more than 5% in 2023 amid a boycott over its Pride merchandise. Anheuser-Busch InBev’s U.S. revenue fell 13.5% in the third quarter of 2023 amid a backlash over its Bud Light marketing partnership with a

transgender influencer. Research highlighted by Northwestern University’s Kellogg School found that targeted companies’ share prices fell nearly 1% for each day a boycott received national print-media attention. The financial effects can extend well beyond the boycott itself. The AFT isn’t shy about the damage it threatens to cause. Its February letter cites reports that other boycotts have wiped billions of dollars from Target’s market value. But how is this boycott in the interest of teachers? Its members’ 6.79 million Target shares give the AFT leverage. When the union pressures Target politically, those teachers are deployed as consumers whose spending should be withheld. Through it all they are expected to remain dues-paying union members, directly funding the campaign. An individual shareholder may decide not to shop at a company he owns. Owning Target stock doesn’t require a teacher to agree with anything Target management does. But a union that claims to represent members’ economic interests should have to cite a specific and compelling interest for why it is organizing economic pressure against a company owned in part by its members. Before Ms. Weingarten tells nearly two million members where not to shop this back-to-school season, she should explain whose economic interests she is representing. Ms. Albrecht is CEO of the Liberty Justice Center, a public-interest law firm.

AI Bubble May Deflate, Not Burst

By Brett Decker

It has been a wild summer for artificial-intelligence stocks. Beijing’s flaunting of China’s AI progress, among other factors, sent American stocks sliding last week. The week before saw a selloff of AI stocks, with Nvidia, Micron and others hit hard. The pessimists were quick to warn that the AI bubble was bursting. Doomsayers are always on hand, waiting for every hiccup on Wall Street or data center setback to proclaim the technology is about to pop. Their concerns aren’t unfounded. About 45% of the S&P 500 market capitalization consists of AI-linked stocks. The seven biggest U.S. tech companies, overwhelmingly invested in AI, account for more than a third of the S&P 500’s total market cap. These stocks have grown at a rate that seems too good to be true. The last time the S&P 500 Shiller CAPE Ratio—a valuation measure that smooths out business cycles to help investors see if stocks are overvalued—was this high was before the dot-com bubble burst in 2000. Yet history doesn’t have to repeat itself. Rather than a bubble, AI may simply be a technology that is landing slower than expected. The market might not be imploding so much as readjusting as the tech industry succumbs to more realistic expectations. The result could be a stable AI landscape that is better for investors and the rest of us. Tech entrepreneurs have been making grandiose claims for years about AI’s capabilities. Predictions that AI would kill half of all white-collar jobs or create a permanent class of unemployed welfare dependents were always far-fetched. New technologies often bring doom-and-gloom predictions. The difference with AI is that Silicon Valley elites promoted some of these claims. They contributed to absurd narratives to get businesses on board. The limitations of AI have become clearer since then. Companies that laid off workers expecting to replace them with AI are hiring them back. An MIT study found that 95% of all generative-AI pilot projects fail to deliver a measurable return on investment. The transformation of the economy is proceeding, but at a slower pace than we were led to expect. This dovetails with AI’s PR problem. Polls find growing public skepticism of the technology. Data centers have sparked opposition across the country while online “AI slop” and perceived threats to employment remain sore spots. The initial narratives about AI were too bullish and opened a gap between expectation and reality. The expectation repelled many Americans while the reality proved underwhelming. That doesn’t mean the technology is doomed to disappoint. In less-flashy fields—data extraction, research, workflow automation, data-pattern summarization, customer service—AI is making a difference. The U.S. government is integrating AI into everyday operations, streamlining tasks like fraud detection and permit approval. The Pentagon is adopting AI for targeting and other functions. Ukraine has demonstrated how AI implementation can make a difference in battle. The U.S. tech race with China has accelerated AI innovation. Chinese AI models put competitive pressure on their American counterparts. The elephant in the room is Huawei, whose AI dominion is so extensive that the U.S. reportedly approved a merger between Hewlett Packard Enterprise and Juniper Network to challenge it. Global AI competition backed by industrial policy seems like the future. The world is becoming both an arena and a marketplace for AI. Wherever the technology is going, it isn’t a passing trend. AI critics make the mistake of assuming the industry is frozen in time and can’t surmount its present problems. Take data centers, which are controversial in part because people believe they use enormous amounts of water. Nvidia recently pioneered a coolant that the company’s head of sustainability said “largely solved” the issue of data-center water consumption. Microsoft has been moving in this direction too. This is the future of AI: a gradual adoption process that works through its problems and integrates into society without triggering economic apocalypse. The markets are correcting toward this reality. Mr. Decker is endowed chair of leadership at Northwood University.

WORLD NEWS

North Korea Spurns Trump

Pyongyang says it sees no significance to an early end of joint Seoul-U.S. drills

By DASL YOON

SEOUL—North Korea gave an icy response to President Trump’s decision to end joint Washington-Seoul military exercises early, calling it an ineffectual goodwill gesture toward the Kim Jong Un regime. In Pyongyang’s first public comments on the drill reductions, North Korea said the annual Ulchi Freedom Shield exercises remain provocative and hostile despite their scaled-down scope. The Kim regime considers the drills to be dress rehearsals for war. The drill reductions don’t

merit interest or comment because nothing has fundamentally changed, said Kim Yo Jong, the dictator’s younger sister. She denied Trump and her brother had recently communicated. But, she added, the relationship between the North Korean leader and Trump remains “excellent.” On Monday, Trump said Kim had responded to his outreach, describing it as “very positive.” “The head of our state personally holds good memories and feelings toward Trump,” she said. “Nevertheless, the U.S.’s hostile policy remains unchanged.”

The president is pushing aides to arrange a meeting with Kim Jong Un.

The back-and-forth had focused on the Ulchi Freedom Shield exercises, which began Monday. They were originally scheduled to run 11 days. But they will now end on Friday, six days earlier than planned, Seoul officials said earlier Wednesday. The abrupt curtailment took South Korea by surprise, the country’s foreign minister told lawmakers on Wednesday. Over the weekend, Trump called the joint training costly, inappropriate and hostile to a North Korea that has been “unthreatening and respectful.” Trump is pushing aides to arrange a meeting with Kim

as soon as this fall, The Wall Street Journal reported. Asked on Wednesday at the White House whether he expected to hold talks with Kim this year, Trump said he would be meeting the North Korean leader. He later said the planned “massive military exercise” were “really against North Korea” and would be “insulting” to Kim. “So I felt that to do a massive—we were doing a massive war exercise—I thought that was very insulting to somebody that, frankly, has been, during my term at least, very well behaved,” Trump said. The early end to Ulchi Freedom represented another unplanned twist to the U.S.’s security presence in Asia. A key U.S. warship is heading toward the Middle East. The U.S. shifted missile interceptors



U.S. soldiers trained in Yeoncheon, South Korea, on Tuesday.

and other assets from South Korea to the Middle East soon after the Iran war began. South Korea’s opposition conservative party said the training cutbacks undermined the two countries’ alliance. Trump is betting on re-opening dialogue with the 42-year-old North Korean dictator, who has consistently called the drills a threat to North Korea’s existence, and is now demanding global acceptance of his country’s nuclear-arms program. Ulchi Freedom Shield is designed to sharpen South Korea’s ability to deal with a military confrontation with North Korea. It involves about 23,000 military personnel from the U.S., South Korea and roughly a dozen other nations.

U.S. Boosts Philippine Military Presence to Counter China

By MIKE CHERNEY

SUBIC BAY, Philippines—When the USS Independence pulled away from this U.S. military base in March 1992, sailors stood in formation on the aircraft carrier’s runway to spell out two words: “Farewell Subic.” Months later, the sprawling naval base was formally handed over to the Philippines, which had decided to end nearly a century of U.S. military presence. Now, the U.S. military is back—not only in Subic Bay but also across the Philippines.

The nation of 117 million people, a U.S. treaty ally and former colony, sits on some of the most strategic real estate in the world. Its 7,641 islands form a geographic barrier that boxes in China’s naval forces and curbs its expansion into the Pacific. The value of that geography isn’t lost on U.S. war planners, who are deploying some of their most-advanced missile systems to the Philippines, conducting increasingly complex exercises and upgrading local bases to accommodate U.S. equipment and supplies.

The moves are the centerpiece of Washington’s strategy to scatter U.S. forces across the Pacific and convince China that it would be too costly to use military force against Taiwan, the self-governing island Beijing claims. “It’s a partnership that is only growing,” Secretary of State Marco Rubio said ahead of a meeting with Philippine President Ferdinand Marcos Jr., the son of the eponymous longtime dictator who anchored U.S. policy here for much of the Cold War. Elbridge Colby, the U.S. undersecretary of defense for policy, called the Philippines a “model ally” on his own trip to Manila this month—unusual praise given the Trump administration’s ambivalence toward other alliances, including the North Atlantic Treaty Organization. The closer U.S. ties have put the Philippines in Beijing’s

Past deployments of U.S. military assets by type



Note: Locations for some assets are approximate; list is not exhaustive. Sources: U.S. military; Philippine News Agency (Typhoon location) ANDREW BARNETT/WSJ

crosshairs. Chinese officials have denounced the U.S.-Philippine military drills as a provocation and said they destabilize the region. In the South China Sea, parts of which are claimed by both China and the Philippines, Chinese navy, coast guard and maritime militia vessels regularly clash with Philippine vessels. Philippine officials reject the idea that Manila’s cooperation with Washington increases the risk of a conflict. The Philippines “will only be a target if there’s a bad actor with bad intentions against the Philippines,” Gilberto Teodoro Jr., the country’s defense secretary, said in an interview. In 2022, U.S. private-equity firm Cerberus Capital Management, co-founded by now Deputy Defense Secretary Steve Feinberg, beat out Chinese companies to take control of a commercial shipyard in Subic Bay. One of the ten-

ants is a South Korean shipbuilder, which analysts say could help repair U.S. vessels. The U.S. Coast Guard this year deployed more-nimble patrol craft in Subic Bay for the first time. When reporters from The Wall Street Journal visited there this year, they saw vehicles with U.S. Marine Corps markings being transported from the base’s former airport on flatbed trucks. The Marines maintain a warehouse for humanitarian and disaster relief equipment, the local government said, and the Navy last year sought to lease space for the storage and maintenance of vehicles. A U.S. government contracting document from April said the Army was looking to hire security to “support controlled storage and weapon systems at two separate sites” within Subic Bay. U.S. Pacific Command, which oversees U.S. forces from India to Hawaii, declined to provide more detail on the



The U.S. military, which left the Philippines in 1992, has returned in a big way, which includes bilateral exercises.

with a range of up to about 1,200 miles, from the island of Leyte, in another demonstration of might aimed at Beijing. At a naval base on the main island of Luzon, the Marines practiced downing drones using their latest truck-mounted counterdrone system. The drills are a test run for maneuvers that would be crucial for a potential U.S. response to a Chinese invasion of Taiwan. In such a scenario, small squads of troops with drones or mobile antiship missile launchers would be deployed to Philippine islands to harass Chinese ships. U.S. aircraft could fly missions from Philippine air bases, dispersing the planes and making it harder for China to target them with missile strikes. “The Philippines’ geography is irreplaceable,” said Brian Harding, a former Pentagon official who was part of the early discussions regarding access to Philippine bases during the Obama administration. “We’re not going to have U.S. bases in the Philippines,” he said. “But the idea is to have the United States present continually and deeply familiar with the facilities.”

KENYA Five Americans Die In Helicopter Crash

Seven people, including five Americans, were killed in a helicopter crash in Kenya Wednesday, the State Department and local officials said. The aircraft went down in Samburu County, Kenya, about eight hours north of Nairobi, a State Department spokesperson said. Seven people were aboard the helicopter, which crashed around 9:13 a.m. local time, Kenya’s Civil Aviation Authority said. Samburu County Police Commander David Nkoroi said all seven died at the scene. Telemundo executive José Suárez was one of the Americans killed, according to a message to NBC employees reviewed by The Wall Street Journal. Michele Sensi-Contugi Ycaza, the director general of Ecuador’s Strategic Intelligence Center, and his wife, fashion designer Stephany Hollihan Vascónez, were among the victims, according to an official in the country’s presidential office. —Victoria Albert

CROATIA Man Arrested Over Nord Stream Blasts

A Ukrainian man wanted in Germany in connection with the 2022 undersea explosions that damaged the Nord Stream gas pipelines was arrested on a European warrant in Croatia on Wednesday, Germany’s federal prosecutor said. The German prosecutors said the suspect was a “trained scuba diver” who belonged to a group of people who “planted explosives” on the Nord Stream 1 and Nord Stream 2 gas pipelines in the Baltic Sea near the Danish island of Bornholm. The undersea explosions on Sept. 26, 2022, damaged the pipelines, which had been built to carry Russian natural gas to Germany under the Baltic Sea. The damage added to tensions over the war in Ukraine as European countries moved to wean themselves off Russian energy sources after the Kremlin’s full-scale invasion of its neighbor. —Associated Press

WORLDWATCH



FEATHERED FINERY: Participants wore creative costumes at a carnival attended by thousands of students in Indonesia’s Aceh province on Wednesday, where people celebrated the country’s 81st Independence Day.

OpenAI Won't Keep Clients' Data

ChatGPT maker hopes to win over customers upset with rival Anthropic

By Amrith Ramkumar

OpenAI promised not to retain data from businesses using its artificial-intelligence models, while increasing the safety of its products, a bid to snatch customers from rival Anthropic who are upset the

maker of Claude is keeping their information. The ChatGPT maker said Wednesday that it was previewing new technology to some customers that let it detect patterns and safety risks across multiple interactions with its models. The goal is to move beyond previous AI safety systems that monitored interactions individually, which made it difficult to ensure tools were being used properly without retaining some customer data.

The pledge stands in contrast to Anthropic's policy of keeping customer data for 30 days to ensure the safety of its latest models. The move has drawn criticism from tech leaders including White House AI adviser and venture capitalist David Sacks, Microsoft Chief Executive Sa-

tya Nadella and Palantir's Alex Karp, who have argued that businesses need certainty that AI companies aren't keeping their data, particularly in regulated industries such as healthcare and finance. "We've heard very loud and clear from businesses that this is important," said Aleah

Houze, OpenAI's head of product policy. "They often have their own commitments that they have made to their customers if you think about somebody who is serving other enterprises, who are trusting them with incredibly sensitive data." The move highlights OpenAI's push to catch up to Anthropic in the AI race while mollifying critics who fear the company's tools don't have adequate safeguards to pre-

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Cantor Lets Funds Make Big Kalshi Bets

By Krystal Hur

Cantor Fitzgerald plans to give investment funds access to Kalshi's prediction markets.

Cantor's some 3,000 institutional clients, which range from family offices to hedge funds, will have full access to Kalshi's suite of events-based, yes-or-no contracts such as those tied to weather, commodities and corporate results.

"The investor base that we've met—we've met dozens—has been really keen on entering and participating in the prediction markets," said Pascal Bandelier, co-chief executive and global head of equities at Cantor.

Susquehanna International Group, Kalshi's flagship market maker, will provide pricing and liquidity for trades based on the event contracts.

Cantor plans to serve as a broker to those clients, buying or selling blocks of event contracts and often helping to distribute those holdings to other investors through private negotiations.

Bandelier said that hedge funds have expressed interest in trading event contracts tied to iPhone sales rather than trying to anticipate how Apple shares will react to sales numbers. Family offices have in-

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Amazon To Expand Drone Delivery

By Gareth Vipers

Amazon.com announced an expansion of its drone delivery service, with plans to roll it out to nearly 500 cities and towns by the end of the year. The service, dubbed Prime Air, offers drone delivery in as little as 30 minutes, and will launch to metro areas including Chicago, Atlanta, Cleveland, Syracuse, N.Y., and Boise, Idaho.

Amazon said its Prime Air service can deliver a selection of items by drone including groceries, electronics, medications and household products. The e-commerce giant currently operates in 11 metro areas, including Phoenix, Detroit, Houston, Dallas and San Antonio.

Companies from Amazon and Walmart to delivery app DoorDash have started aerial deliveries the past several years. The companies see the method as a quick and convenient way for shoppers to get online orders delivered to their homes.

Walmart, the country's largest retailer, said this year that it would roll out drone delivery at an additional 150 stores in partnership with Alphabet's Wing.

But the rollout of the technology has been mostly sporadic and limited to specific regions. Drone operators have also faced regulatory obstacles, concerns about safety and privacy, as well as limita-

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China Robotics Leader Soars in Debut

By Raffaele Huang

SINGAPORE—A pioneering Chinese maker of humanoid robots soared 460% in its trading debut in Shanghai to achieve a market value of \$51 billion, symbolizing the frenzy around an industry Beijing hopes to dominate.

Unitree Robotics is the first humanoid maker to list in mainland China and stands at the forefront of the geopolitical competition between Washington and Beijing. Last month, the U.S. banned most imports of new humanoid robot models, citing an "immediate national security threat."

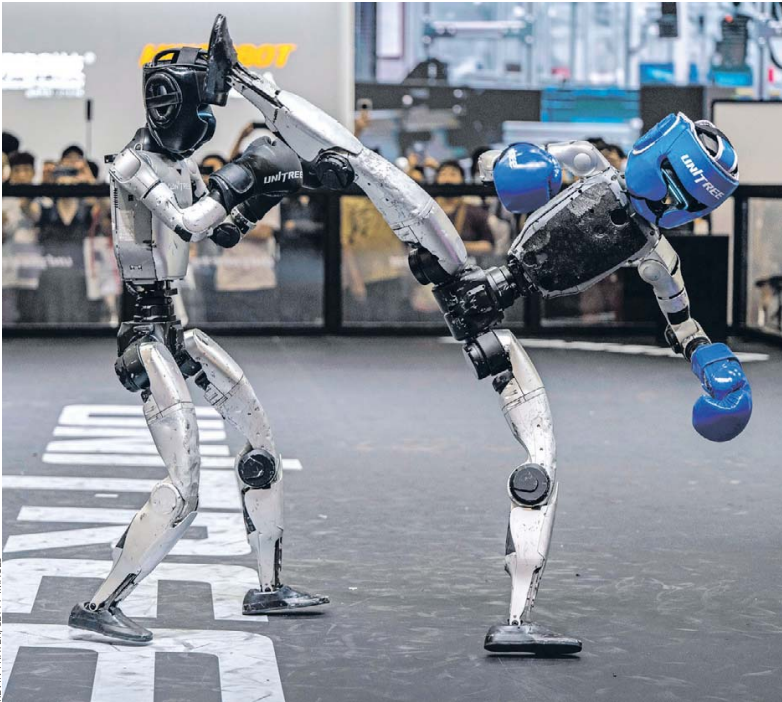
For its part, the Chinese government has identified "embodied artificial intelligence"—robots and other devices that apply AI to the physical world—as one of six future industries expected to drive the economy over the next five years.

Last year, Chinese companies shipped thousands of robots along with components globally, solidifying the country's dominance in the world's robotics supply chain.

Unitree's robots are already familiar to hundreds of millions of Chinese owing to their appearances on nationally televised Lunar New Year programs in which they have danced and performed kung fu. Online videos have shown Unitree robots performing back flips and cartwheels.

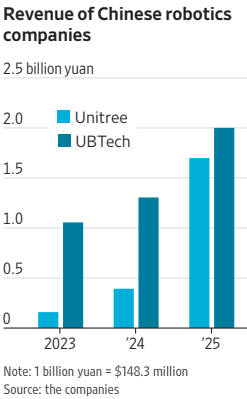
The company's revenue last year was about \$250 million with about \$40 million in profit, signifying that the \$50 billion-plus valuation is built on expectations for rapid growth.

Unitree's initial public offering was the most oversubscribed ever on Shanghai's



KEVIN FRAYER/GETTY IMAGES

Unitree's humanoid robots kickboxed at the World Robot Conference in Beijing on Wednesday.



Nasdaq-like STAR Market. Nearly 9.8 million investors sought a piece of the company ahead of its debut, with fewer than one in 5,000 achieving success.

The company, whose official name is Yushu Technology, is headed by Wang Xingxing, 36, a mechanical engineer by training. Wang began developing robots in college and founded his company a decade ago in Hangzhou. On Wednesday, he wore a red scarf as he struck the gong to kick off trading.

In its offering prospectus, Unitree highlighted geopoliti-

cal risks, saying more than 40% of its revenue came from outside China and its business could shrink if Washington tightens trade restrictions. Analysts at Bernstein said they expected Washington to blacklist leading Chinese robotics companies and block U.S. investors from putting money into Chinese robot technology.

The Unitree IPO coincided with the start of an annual robot conference in Beijing, where hundreds of robots were competing in athletic events and real-world chores

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STREETWISE | By James Mackintosh

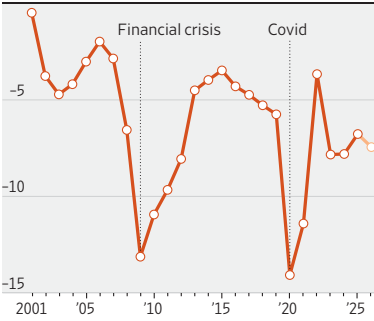
Bessent's Treasury Play

Yield on the 30-year U.S. Treasury



*2026 is a forecast
Sources: Tullett Prebon (yield); International Monetary Fund (deficit)

U.S. general government fiscal deficit as a percentage of GDP*



Scott Bessent got bang for his buck on Wednesday. The decision to double to \$4 billion the size of buybacks of the longest-dated bonds led the 30-year Treasury yield to plunge 0.1 percentage point, a bigger move than any day in the past year, and lit up leveraged areas of the stock market.

But Bessent is fiddling around the edges. Long-dated yields have been climbing amid a toxic mix of fiscal profligacy, a capital spending boom for the ages in artificial intelligence and geopolitical pressures.

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INSIDE



DANIEL ACKER/DOWBERG NEWS

RETAIL

Target raises forecast again as turnaround gains traction with consumers. B3

FINANCE

Missile-startup Castelon gets a valuation of \$13 billion in latest funding. B11



AI is not ^{done} delivering

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BUSINESS & FINANCE

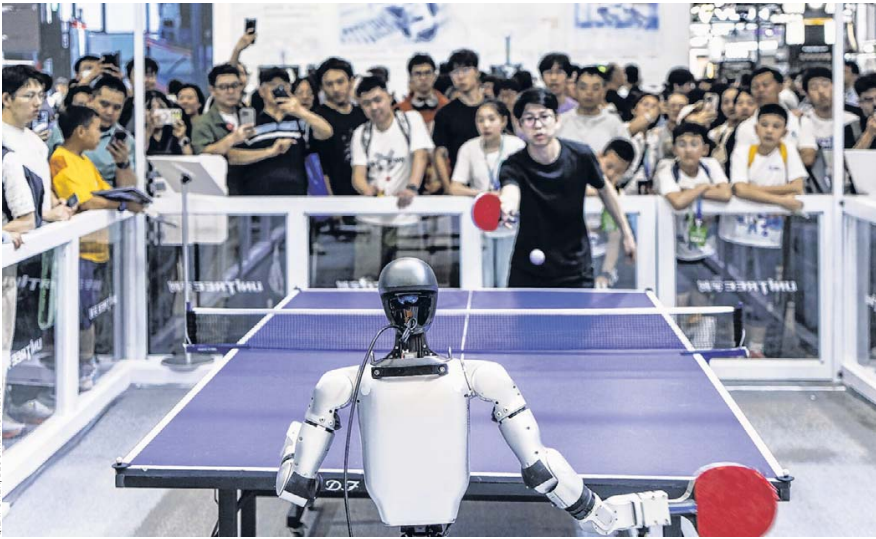
Shares
Of Robot
Maker Soar

Continued from page B1

such as sorting warehouse merchandise and folding laundry.

Chinese humanoid robots have made significant progress including beating humans’ record time in a half-marathon. Yet, the technology is still a long way from replacing what a skilled factory worker or hotel housekeeper can do, in the view of many specialists.

For now, Unitree’s humanoid robots find their main uses in education and entertainment, or they serve as guinea pigs in the labs of robotics researchers. The most popular model sells for the equivalent of \$12,600 or more



A Unitree humanoid robot played ping pong against a human at the conference in Beijing on Wednesday.

and is readily available in China for purchase online. Wang, the company founder, told investors this month that

he wanted eventually to bring his humanoids into factories and homes.

Chinese developers still

trail their U.S. rivals in developing robotic AI models, people in the industry say. Just as language models are built on

countless texts drawn from the internet and elsewhere, humanoid robots often learn best from real-world physical data, which remains scarce. Chinese companies hope to tap their vast home market to gather data faster.

“China’s approach is to drive technological innovation through rapid iteration and massive production. The immediate challenge is how the economy absorbs all that output,” said Lian Jye Su, analyst at research firm Omnia.

Last year, Unitree shipped more than 5,500 humanoid robots, a scale well beyond what U.S. robot startups have

achieved so far. Morgan Stanley predicts overall humanoid-robot shipments in China will reach 50,000 units this year and more than 440,000 by 2030.

Competition is heating up in both the U.S. and China.

Tesla is preparing for mass production of its Optimus Gen 3 humanoid robots. Chinese component suppliers for Optimus said Tesla recently told them to increase supplies to support a monthly output of 8,000 robots by December.

Elsewhere in the U.S., Agility Robotics, which is preparing to go public soon, has teamed up with Amazon to test robots in the e-commerce giant’s warehouses.

In China, Unitree competes with a host of robot makers including Shenzhen-based **UBTech Robotics**, which listed its shares in Hong Kong in 2023, as well as carmakers BYD and **XPeng**, both of which are leveraging their expertise in manufacturing and autonomous driving.



A damaged Blue Apron box. Recipe cards for meals show the ingredients that were missing from the box, circled in black.

Supply
Issues Dog
Meal Kits

Continued from page B1

Instagram Monday. “We’re in the middle of an operational transition, and it hasn’t gone as smoothly as planned.”

Blue Apron offered a similar message: “Over the past several weeks, we’ve been transitioning to a new fulfillment partner, and to say that it has not gone smoothly would be an understatement,” Blue Apron posted on one of its social-media accounts.

Kim Condas, a retired librarian for the Central Intelligence Agency, said her recent Blue Apron shipment box arrived damaged and missing key ingredients like the tomatoes for the “baked garlic shrimp and tomatoes” recipe.

She didn’t get the noodles, scallions or soy sauce for “cold sesame noodles.”

“I’ve skipped the next four deliveries,” said the 65-year-old, who lives in Herndon, Va., and has ordered from Blue Apron for a decade.

The stumbles add to a string of struggles in the meal-kit industry since the boom times of the pandemic receded. Meal-kit companies typically sell recipes and ready-to-cook portioned ingredients that are sent to customers’ residences, pitching easy, healthy, home-cooked meals. Some have expanded into ready-to-heat meals and groceries. Many of the companies have struggled to find a financial model that works long term and have cycled through different ownership and fulfillment models.

After struggling as a public company, Blue Apron was purchased by food-delivery startup Wonder in 2023 for around \$103 million, below its IPO value of \$1.9 billion in 2017. In fiscal 2022, Blue Apron reported

revenue of \$458.5 million, down from its pre-IPO revenue of more than \$790 million.

The company is “focusing our menu on what we’re confident we can deliver, adding quality checks before boxes ship, and making progress with our partners to fix what’s broken,” a Wonder official said.

FreshRealm had been the main supplier for Blue Apron and Marley Spoon. It filed for bankruptcy-court protection earlier this year after a series of listeria outbreaks in its factories last year led **Walmart**—a major customer—to end the relationship. Walmart stopped buying its food, such as some store-brand prepared meals, in January, according to court documents related to the bankruptcy filing. Walmart accounted for over 20% of the company’s revenue at the time, said the filing. Blue Apron, FreshRealm’s largest customer, also filed a lawsuit to attempt to get out of its contract with FreshRealm.

HelloFresh—the largest meal kit company globally—has escaped unscathed as it does all of its meal-kit manufacturing in-house. HelloFresh used to get some ready-to-heat meals from FreshRealm but ended that relationship in the wake of the listeria problems, said a HelloFresh spokeswoman. Bankruptcy lawyers and executives for FreshRealm didn’t respond to requests for comment.

As part of its bankruptcy agreement, FreshRealm sold some of its business, including parts of its Blue Apron and Marley Spoon contracts, to Misfits Markets, a Baltimore-headquartered perishable food e-commerce company that has grown its business by shipping other companies’ fresh and frozen foods.

The transition process through bankruptcy has been “incredibly messy and incredibly fast,” which has led to fulfillment problems, said Misfits Chief Executive Abhi Ramesh in an interview.

This year, Blue Apron-owner Wonder discussed with Misfits the idea of buying FreshRealm as bankruptcy proceeded, said Ramesh. “If the doors close for FreshRealm, as you can imagine, the doors end up closing for everyone they are doing fulfillment for,” he said.

In recent weeks more meal-kit orders were transitioned from former FreshRealm locations to one of Misfits’ regional warehouses, said Ramesh. Some inventory counts reported as part of the bankruptcy proceedings were incorrect, leaving the company scrambling to find enough ingredients, he said.

“I feel for the customers because it’s a horrible experience,” he said.

This week it pre-emptively canceled orders that won’t have the required ingredients, he said. Ramesh said he hopes to be back to more normalized shipping within the next two weeks, he said.

Meanwhile, some customers have canceled orders.

For over a decade Steven McGinty of Atlanta has spent around \$70 most weeks for three Blue Apron meals to cook dinner for himself and his husband. Last week two chicken portions were missing, said the 43-year-old pricing analyst.

This week the meal box came with a container of harissa sauce splattered over its contents. McGinty has been able to get a credit, but has canceled future shipments.

“We just went to the grocery store this week like normal people.”

OpenAI
Won’t Keep
Client Data

Continued from page B1

vent cyberattacks or other harms caused by its models going rogue. The company recently told investors that its second-quarter revenue growth lagged behind Anthropic’s, disappointing some shareholders, The Wall Street Journal reported.

OpenAI said customer data would stay on infrastructure controlled by the customer. It is also working on a system in which OpenAI could store the information with encrypted keys owned by the customer, meaning its employees wouldn’t see model prompts or responses or other sensitive information.

The new system sends OpenAI a signal when it identifies risks like a cyberattack or biological weapon based on

model activity. The signal helps determine whether an action by the company is needed. Customers can appeal those decisions or share more information with OpenAI if desired. OpenAI only keeps the high-level signal detailing the severity and category of the risk.

Anthropic’s popularity with businesses that pay to use its coding tools and advanced models has vaulted the company ahead in the AI race, but some of its policies have fueled a backlash in Silicon Valley and the Trump administration.

Sacks said in June that retaining customer data was “creating a new level of AI haves and have-nots,” and fueling outrage among software developers using the tools.

The issue is related to a debate about open-weight models that allow users to download the numerical parameters

that determine their behavior. Many tech companies have endorsed such models, even those made in China, and asked the Trump administration not to place restrictions on them. Anthropic has warned that the tools pose safety risks because they often don’t have the same safeguards as the most powerful closed models.

OpenAI recently signed an industry letter in favor of open-weight models and makes some of its own, though its most powerful tools are closed. The company has had talks with administration officials about potential restrictions on Chinese open-weight model providers that are accused of unfairly using advances made by U.S. companies in a process called distillation.

News Corp, owner of the Journal, has a content-licensing partnership with OpenAI.

The move
highlights
OpenAI’s push
to catch up to
Anthropic.

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Who adopted who?

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BUSINESS NEWS

Target Lifts Outlook as Sales Rise

By Kelly Cloonan
and Connor Hart

Target once again raised its fiscal-year outlook, as the retailer’s turnaround takes shape and draws in more customers.

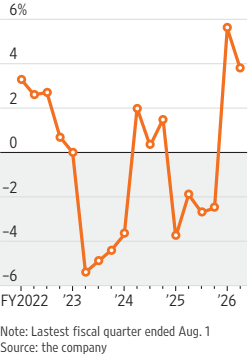
The company has been refreshing its product assortment, lowering prices on some items and rejiggering its store layouts as part of a sweeping plan that aims to reverse years of sluggish sales. The strategy was implemented by Chief Executive Michael Fiddelke, who took the helm earlier this year.

Target’s second-quarter results are further proof the strategy is resonating with customers, Fiddelke said.

The company during the period completed its highest volume of in-store transitions in the past decade, and comparable sales—which tracks stores and digital channels operating for at least 12 months—ticked up 3.8% on increased traffic.

“Seeing our growth fueled by traffic is especially encouraging,” Fiddelke said on a call

Target comparable-store sales, change from a year earlier



with reporters. “We are also clear eyed about the important work still ahead,” he added.

Target said it has lowered prices on more than 10,000 items over the past 12 months, and it is planning to roll out additional price reductions over the remainder of the year.

Target has placed large investments in seven key areas that it believes have outsize

importance and will continue to drive growth. These areas—beauty, health and wellness, food, baby and kid, women’s style, home, and culture (which includes toys and entertainment)—represented about half of Target’s total sales during the recent quarter.

“We believe they will contribute even more to our growth going forward,” Chief Merchandising Officer Cara Sylvester said.

Target has retooled its store layouts to put more emphasis on these categories. The company has transformed nearly half of its center-store grocery sections, adding more space for fresh food, snacks, bakery items and emerging categories.

The company also has reset 75% of its decorative-accessories and home goods assortments, and it is preparing to launch Target Beauty Studios in more than 600 stores this fall, after ending its shop-in-shop partnership with **Ulta Beauty** earlier this year.

“In some categories, we’re pleased with our progress and

we’re seeing meaningful momentum,” Sylvester said. “In others, including home and apparel, our performance is not where it needs to be, and the work will continue into 2027 and beyond.”

Looking ahead, Target said it now expects sales growth of about 5% this fiscal year, raising its guidance for the second time this year.

The company also bumped up its full-year earnings outlook to a range of \$9.90 to \$10.90 a share, which includes a benefit of \$1.65 a share from tariff refunds. The company previously guided for earnings of \$7.50 to \$8.50 a share.

Second-quarter sales rose 5.3%, to \$26.54 billion, topping analysts’ forecast of \$26.13 billion.

Net income came in at \$1.88 billion, or \$4.11 a share, up from \$935 million, or \$2.05 a share, a year earlier. Adjusted earnings per share also were \$4.11 a share, above analyst estimates of \$2.34 a share.

The earnings-per-share figures from the recent quarter include the tariff refunds.

Estée Lauder’s Reboot Bears Fruit

By Connor Hart

Estée Lauder is entering its new fiscal year as a fundamentally changed company, Chief Executive Stéphane de La Faverie said.

The beauty conglomerate has spent the past several years working to turn around the business, increasing investments in its consumer-facing operations and expanding into higher-growth sales channels. The company has also cut costs, in part through layoffs.

Now, Estée Lauder is reaping the fruits of these efforts. The company narrowed its fiscal fourth-quarter loss as sales rose 6.3% to \$3.63 billion, ahead of Wall Street estimates and driven by broad-based strength across geographies and categories, de La Faverie said on a call with reporters.

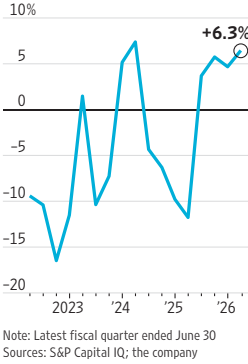
Looking ahead, the owner of brands such as MAC, Smashbox and Jo Malone is focused on maintaining its momentum. The company continues to expect organic net sales growth of 3% to 5% in the coming year, and it has additionally lifted its adjusted operating margin outlook. “We’re going to double down on what is working, which means continuing to strengthen the desirability of our brands and bringing bigger and bolder innovations to the market faster,” de La Faverie said.

Shares jumped 16% to \$99.01 Wednesday.

Consumers are under pressure, but they remain resilient and willing to spend, de La Faverie said. That is especially true of beauty, as the global beauty market continues to grow despite continued economic uncertainty, he added.

Estée Lauder is focused on creating and retaining consumer loyalty, doing so in part by meeting consumers where they like to shop. The company has cut roughly 10,000 positions, largely consisting of point-of-sale demonstration

Estée Lauder quarterly net sales, change from year ago



roles across its department-store and freestanding-store channels, as it pivots toward higher-growth sales channels such as Amazon and TikTok Shop. The cuts have helped unlock about \$1.2 billion of total gross benefits from the company’s profit recovery and growth plan, Estée Lauder said. The turnaround plan has also resulted in total cumulative charges slightly above the high end of the previously guided range of \$1.5 billion to \$1.7 billion.

The company, which earlier this year terminated discussions of a potential business combination with Puig Brands, remains open to mergers and acquisitions, assuming any potential deal would help diversify its growth prospects and could be completed at the right price, de La Faverie said.

For its three months ended June 30, Estée Lauder posted a loss of \$116 million, or 32 cents a share, compared with a loss of \$546 million, or \$1.51 a share, a year earlier. Stripping out one-time items, adjusted earnings of 39 cents a share topped analyst views for 32 cents a share, according to FactSet.

Sales growth was supported by Estée Lauder’s skin care, fragrance and makeup divisions, all of which posted higher sales.

Lowe’s Cuts Full-Year Sales, Profit Targets

By Adriano Marchese

Lowe’s trimmed its full-year sales and profit targets, signaling that price-conscious homeowners are delaying major renovations.

The home-improvement retailer lowered its 2026 outlook across nearly every major financial metric to reflect first-half operating results and softer continuing demand trends, particularly in the do-it-yourself category.

Lowe’s now expects 2026 sales of \$92 billion, anchoring the bottom of its former target range of \$92 billion to \$94 billion, and below analyst forecasts. The company also is projecting flat comparable-store sales compared with

previous forecasts of flat to 2% growth.

The revised outlook underscores a broader cooling across the home-improvement sector, where steep interest rates and sticky inflation have pushed budgets squeezed households to defer big-ticket renovations. While rival **Home Depot** has managed to fare better, beating quarterly expectations and maintaining guidance for the year, executives noted that consumers are hesitant to take on debt to tackle bigger projects.

Lowe’s earnings per share targets were also downgraded, and are now expected at \$11.75, down from a range of \$11.75 to \$12.25 a share, with adjusted earnings per share of \$12.25, compared with a range of \$12.25 to \$12.75. Analysts expect adjusted earnings per share of \$12.43.

The downgraded targets follow a second quarter in which sales grew 8.4% to \$25.96 billion, but came in shy of analyst projections of a rise to \$26.13 billion, as weakness in the DIY category contin-

ued to limit overall growth.

Comparable sales for the quarter increased 0.2%, driven by Lowe’s Pro and Home Services sales, as well as a nearly 16% increase in online sales, partially offset by persistent DIY macro pressures.

Net income of \$2.4 billion, or \$4.27 a share, was unchanged from the same quarter a year ago.

Adjusted earnings were \$4.40 a share. According to FactSet, analysts had been expecting \$4.22 a share.

“Sustained growth in Pro, Online and Home Services led to our fifth consecutive quarter of positive comp sales, despite pressure in discretionary DIY spending,” Chairman and Chief Executive Marvin Ellison said.

Price-conscious homeowners are delaying major renovations.



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BUSINESS NEWS

SK Hynix Plans \$28 Billion Buyback

The chip maker’s stock has more than doubled this year amid the AI boom

By Kwanwoo Jun

SK Hynix plans to buy back and cancel more than \$28 billion of its shares over the next three months, accelerating its shareholder-return program via what it says would be South Korea’s largest stock buyback.

The world’s second-largest memory chip maker, which supplies high-bandwidth memory products to **Nvidia**, said the planned share repurchase is part of its commitment to return to shareholders more than 50% of its cumulative free cash flow over the three years through 2027.

The shareholder return plan came after SK Hynix’s shares fell 9.7% Wednesday in Seoul, tracking an overnight retreat in U.S. chip stocks. The stock, a key beneficiary of the



The planned repurchase of 24.07 million shares will run from Aug. 20 through Nov. 19.

artificial-intelligence boom that is driving demand for advanced chips, has more than doubled so far this year despite Wednesday’s tumble. The company’s American de-

positary receipts were up 1.25% in New York.

The company said its intrinsic value—underpinned by its business competitiveness, strong cash generation and

mid- to long-term growth potential—isn’t fully reflected in its current stock price.

“SK Hynix continues to record record-breaking financial performance, maintaining its

leadership in the AI memory market,” the company said.

The company said after the market closed Wednesday in Seoul that its board had approved a 40.004 trillion-won share buyback, equivalent to \$28.31 billion, for cancellation.

The planned repurchase of 24.07 million shares, or about 3.3% of total shares outstanding, will run from Aug. 20 through Nov. 19, it said.

SK Hynix also said it plans to increase shareholder returns, including cash dividends, to more than 50% of cumulative free cash flow for 2025-2027. Previously, the company had pledged to return up to 50% of cumulative FCF to shareholders.

As of the end of the second quarter, the company’s net cash stood at about 69 trillion won, it said. “The size of this buyback is a strong signal from SK Hynix and delivers something investors have been calling for, putting its growing cash pile to work and increasing shareholder returns,” said Josh Gilbert, a lead analyst at eToro.

Carlsberg Raises Earnings Guidance

By Dominic Chopping

Carlsberg lifted the lower end of its full-year guidance range, citing synergies from its Britvic acquisition and tight control over costs.

The Copenhagen-based brewer said total volumes grew 2.8% in the first six months of the year, reflecting the integration of Britvic—the British maker of soft drinks and cordials that Carlsberg bought for some \$4.47 billion in a deal completed last year.

Soft drinks and other beverages delivered organic growth of 7.8%, driven by solid growth in multiple markets, while beer volumes declined slightly by 1%, mainly because of Poland, China and Ukraine, it said.

“China was the clear disappointment of the quarter, with falling volumes and a market characterized by weak demand and challenging weather conditions,” Jyske Bank senior analyst Haider Anjum said in a note to clients.

In contrast, India continued its growth journey with double-digit volume growth, while soft drinks and nonalcoholic beers were once again among the strongest growth drivers in the country, Anjum added.

Carlsberg reported first-half revenue of 47.05 billion Danish kroner, or about \$7.28 billion, up from 45.86 billion kroner last year and just shy of the 47.16 billion kroner forecast in a company-compiled consensus.

Adjusted operating profit rose to 7.45 billion kroner from 7.13 billion kroner, also just below the 7.55 billion kroner expected in a consensus forecast.

The company now expects organic operating profit growth this year of 4% to 6%, from 2% to 6% previously.

Amazon To Expand Drone Use

Continued from page B1

tions when flying in inclement weather.

Delivery drones haven’t been well-received in some places, with the noise factor being a main complaint by residents.

Drone startups such as Zipline have worked to resolve that issue by designing systems that fly higher in the air and lower food and products down by long cables.

Amazon and Walmart have also been grappling with bringing down the cost per drone delivery compared with delivery by car, bike or van.

David Carbon, vice president of Amazon Prime Air, said the service provides customers with a speedier option when needed.

“We’ve already delivered hundreds of thousands of packages to customers by drone this year, and by the end of 2026 we plan to reach customers in nearly 500 cities and towns,” he said.

On Monday, **Uber** said it was teaming up with Zipline on drone delivery, hoping to compete for quicker turnaround times for takeout, grocery and retail orders.

In July, DoorDash secured a key certification from the Federal Aviation Administration to make commercial deliveries using drones.

The company is developing its own drones, along with the ground infrastructure and digital systems needed to coordinate order pickup and delivery.



Amazon plans to expand its drone service to nearly 500 cities and towns by year end.



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Sangeeta Prasad, **Slalom**
Lauren Stafford Webb, **SoFi**
Ryan Linder, **Stagwell Global**
Nandini Sankara, **Suburban Propane**
Margaret Dawson, **SUSE**
Mike Bopp, **Synchrony Financial**
Teja Patankar, **Teneo**
Mickey Wilson, **The Freeman Company**
Claire Burns, **The Hartford**
Sarah Gavin, **The Trade Desk**
Julie Woods-Moss, **Thoughtworks**
Alicia Parker, **Tishman Speyer**
Wendy Marlett, **Toll Brothers**
Amandine Robin-Caplan, **Travel + Leisure**
Michael Lacorazza, **U.S. Bank**
Sumeet Grover, **UFCU**
Nathan Friedman, **Understood.org**
Julian Jacobs, **United Talent Agency**
Russell Messner, **Vanguard**
Morten Dyrholm, **Vestas Wind Systems A/S**
Kristen Lauria, **Wheels Up**
Ranjita Ghosh, **Wipro**
Saima Rashid, **Workhuman**
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BUSINESS & FINANCE

Asia’s Family Firms Face a Reckoning

Tata Sons leadership shake-up highlights challenges facing India’s behemoths

By Tripti Lahiri and Jon Emont

A storied Indian conglomerate that owns the country’s biggest outsourcing firm and makes millions of iPhones for Apple is in the middle of a leadership shake-up that has highlighted the challenges facing India’s family-founded behemoths. Last week Natarajan Chandrasekaran announced he would step down as chairman of Tata Sons. The highly regarded veteran was the first chair of the company with no ties to the family that founded the group’s first ventures over a century ago. He had been widely expected to be reappointed to a third term. Tata Sons is seen in India as a well-run firm that has moved away from family management toward professional leadership. But experts see the exit of Chandrasekaran as evidence of lin-



LUDOVIC MARIN/AFP/GETTY IMAGES

Natarajan Chandrasekaran said last week he would step down as chairman of Tata Sons.

gering succession and structural issues that still give the Tata family significant heft in the boardroom. The group has two power centers: The board of Tata Sons, the group’s principal investment holding vehicle, and Tata Trusts, a group of charities that hold a

two-thirds stake in Tata Sons. For decades, both the Tata Trusts and Tata Sons were headed by a member of the Tata family. In 2012, Ratan Tata stepped away from the chairman role at Tata Sons after two decades at the helm, while remaining chairman of the trust

until his death. Chandrasekaran said the decision to leave in February was because he failed to secure the backing of a board director, whom he didn’t name, despite having the support of two key charities in Tata Trusts. Business experts say the de-

parture suggests a rift with the family, particularly Noel Tata, the head of Tata Trusts since 2024. “Noel Tata has been in some sense pushing for change, asserting himself,” said Kavil Ramachandran, a professor at the Indian School of Business in Hyderabad. A representative for Noel Tata didn’t respond to a request to comment. In a statement last week, Tata Trusts said it would support Tata Sons’ efforts for an orderly leadership transition. A committee will look for Chandrasekaran’s successor and is expected to consider veterans of the group’s more than two dozen listed companies. Noel Tata is expected to play a major role in the final selection. The transition in the boardroom comes at a delicate time for the company. It is contending with heavy losses at Air India and the plane crash that killed 260 people last year. Tata Consultancy Services, the cash cow of the empire, is facing the challenges wrought by artificial intelligence, and production at Tata Motors’ Jaguar Land Rover in the U.K. was offline for several weeks after a cyberattack last year. “It isn’t during this kind of crisis that we change the captain,” said Ramachandran, who specializes in family businesses. The drama at Tata is a reminder of the looming corporate governance challenge facing other family-owned companies in Asia. Morten Bennedsen, a professor at the University of Copenhagen, said much of the family wealth built up in Asia during the decades after World War II is ready to be passed on. And “the more wealth that has to be transferred, the more potential for conflict,” he said. In South Korea, heavy inheritance taxes have caused family members to invite new investors into their businesses, triggering resistance from relatives, while the property downturn in China has complicated the succession plans of major Hong Kong real-estate families. The stakes are heightened because in countries like India, South Korea, China and Indonesia, family businesses are large employers that make internal family decisions a public matter. Tata Group is one of the largest private-sector employers in the world, with over a million employees. These firms also drive national industrial policy. Under Chandrasekaran, Tata Sons has invested heavily in semiconductor and battery plants, and it has turned itself into a key part of Apple’s iPhone assembly operation in India. In India, the most famous succession drama played out within the Reliance conglomerate after the death of its

founder, Dhirubhai Ambani, in 2002. After a bitter battle that saw the then-finance minister urge the brothers to settle their differences out of the public view, an asset split was brokered, with Mukesh Ambani, the older brother, walking away with the prized refinery business. Even in firms that appeared to have managed the transition to professional leadership, family members can reassure their sway. Bennedsen said that steering relations between a professional chief executive and the family is inherently fraught. A successful outside manager must manage family members’ expectations and understand “that there is an institution called the family,” he said. Chandrasekaran’s predecessor, Cyrus Mistry, publicly fumed that some Tata Sons board directors would hold up board meetings to consult with Ratan Tata. He was ousted in 2016, four years into the job. One director at a Tata unit said it was difficult to retain Mistry after he lost the confidence of the family. Chandrasekaran, who was appointed in 2017, “played the game well with Ratan Tata,” said Ramachandran. “He kept him in the loop.” But that setup changed two years ago when Ratan died and his half-brother Noel took over Tata Trusts. Since then, business experts say more friction has become apparent within the trusts. Adding to the pressure at the group, the Tata Sons board faces a push from India’s central bank to go public due to its designation as a systemically important lender, a move that Noel Tata opposes. The Tata family has long valued its ability to carry out a range of philanthropic activities through the Tata Trusts, funded largely by dividend income from Tata Sons. Chandrasekaran never publicly took a stance on the public listing of Tata Sons. Mukund Rajan, who worked closely with Ratan Tata over two decades, has argued in his memoir that listing Tata Sons could turn the Trusts into the biggest philanthropic entity in the world. At the same time, selling off or reducing Tata Trusts’ stake would diminish its role—and by extension the family’s—in the firm. Listing Tata Sons could also make it harder for the company to undertake massive capital investments that will pay off only far in the future. “Those kinds of risks could be unpalatable to many of your investors,” said Rajan. “It might potentially stop you from doing what may actually be a good thing for the group and the country.”

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A California court authorized this notice. This is not a solicitation from a lawyer.

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What is the Lawsuit About? The name of the lawsuit is *In re Illumina, Inc. Shareholder Litigation*, No. 24-CIV-00585 (San Mateo Cnty.). Plaintiffs allege that in connection with the Merger, Illumina issued the new shares of Illumina common stock pursuant to a materially false and misleading registration statement and prospectus. Defendants deny all of Plaintiffs’ allegations and deny any wrongdoing.

Who Represents the Class? The Court has appointed the law firms Girard Sharp LLP and The Hall Firm, Ltd., to represent the Class (“Class Counsel”). You do not have to hire your own lawyer, as Class Counsel is working on your behalf. Any member who does not request exclusion may enter an appearance through counsel.

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- Do Nothing: Keep the possibility of getting money or benefits, if any, from this Litigation. You will also be legally bound by all orders the Court issues and the judgment the Court makes in this Litigation, whether favorable or not.
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NOTICE OF SALE

SUPREME COURT - COUNTY OF NEW YORK
BOARD OF MANAGERS OF SAGA HOUSE CONDOMINIUM, Plaintiff -against- HANNA JESIONOWSKA PRACTICE LLC, et al., Defendant(s). Pursuant to a Judgment of Foreclosure and Sale dated September 8, 2025 and entered on September 10, 2025, I, the undersigned Referee will sell at public auction on September 1, 2026 at 2:15 p.m., in the New York County Courthouse, 60 Centre Street New York, New York 10007, in the courtroom designated by the posting outside of Room 130, or at such other location within the Courthouse as may be designated by the Clerk of the Court and/or the Office of Court Administration, the premises situate, lying and being in the Borough of Manhattan, City, County and State of New York, known as Medical Unit No. 1 in the condominium building known as “Saga House Condominium” together with an undivided 6.19% interest in the common elements as described in the Declaration of Saga House Condominium, Block 1409 and Lot 1001. Said premises known as 157 East 74th Street, Medical Unit No. 1, New York, New York. Approximate amount of lien \$251,391.84 plus attorney’s fees and costs as awarded in the judgment, along with interest and costs.

Premises will be sold subject to provisions of filed Judgment and Terms of Sale.
Index Number 156127/2024
JEFFREY R. MILLER, ESQ., Referee
Levin & Glasser, P.C., Attorneys(s) for Plaintiff, 551 Fifth Avenue, Ste. 1200, New York, NY 10176

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AUCTION RESULTS

Here are the results of Wednesday’s Treasury auctions. All bids are awarded at a single price at the market-clearing yield. Rates are determined by the difference between that price and the face value.

17-WEEK BILLS				20-YEAR BONDS			
Applications	\$245,465,155,200	Accepted bids	\$76,599,709,600	Applications	\$42,476,108,100	Accepted bids	\$18,056,928,100
Noncompetitively	\$578,493,600	Foreign noncompetitively	\$300,000,000	Noncompetitively	\$190,844,500	Foreign noncompetitively	\$20,228
Auction price (rate)	98.760417 (3.750%)			Auction price (rate)	99.021580 (5.204%)		
Coupon equivalent	3.850%	Interest rate	5.125%				
Bids at clearing yield accepted	25.88%	Bids at clearing yield accepted	65.58%				
Cusip number	9127977668	Cusip number	912810004				

The bills, dated Aug. 25, 2026, mature on Dec. 22, 2026.

The bonds, dated Aug. 31, 2026, mature on Aug. 15, 2046.

Exchange-Traded Portfolios

Largest 100 exchange-traded funds, latest session.

Wednesday, August 19, 2026				ETF			
ETF	Symbol	Closing Price	Chg YTD (%)	Symbol	Closing Price	Chg YTD (%)	
AvantisUSSCValue	AVUV	126.47	-0.19 24.0	ProShareProQQQ	TOQQ	72.06	-0.65 36.7
CapGrpDivVal	CGDV	50.34	-0.24 15.4	SPDRGoldMini	GLDM	89.29	3.85 4.6
DimenUSCoreEq2	DFAC	45.77	0.28 15.6	SPDRGold	GLD	413.84	3.84 4.4
FidTotaBd	FBNB	45.10	0.45 -2.0	SchwabIntEquty	SCHF	28.21	0.57 17.3
InvsNasd100	QQQM	294.85	-0.20 16.6	SchwabUS BrdMkt	SCNB	29.73	0.17 13.3
InvsCQQQ	QQQ	716.08	-0.20 16.6	SchwabUS Div	SDCH	35.09	1.68 27.9
InvsC&P500EW	RSP	222.07	1.04 15.9	SchwabUS LC	SOCH	30.33	0.20 12.7
iShBitcoin	IBIT	38.78	5.96 -21.9	SchwabUS LC Grw	SOCH	35.46	0.60 8.7
iShBrdUSDHYCPbd	ISHY	36.87	0.23 -1.4	SSERergySel	XLE	63.58	-0.16 42.2
iShCoreDivGrowth	DGRO	80.04	0.45 15.3	SSFinSel	XLFF	97.48	-0.62 4.9
iShCoreMSCIEAFE	IEFA	100.46	0.58 12.3	SSHthCrSel	XLV	175.68	3.51 13.5
iShCoreMSCIEM	IEEM	80.57	1.18 19.9	SSIndSel	XLJ	181.95	-0.88 17.3
iShMSCIntDev	IDEV	92.77	0.44 12.5	SSSPDRBgtl-3M	BIL	91.57	0.01 0.2
iShCoreMSCITotlnt	IJVS	97.17	0.66 14.8	SSSPDR DJIA	DIA	534.27	0.26 11.2
iShCoreS&P500	IIVV	772.74	0.23 12.8	SSSPDRDevUS	SPDW	51.63	0.62 16.3
iShCoreS&P MC	IJH	77.04	-0.26 16.7	SSSPDRS&P500	SPYM	95.84	0.22 12.9
iShCoreS&P SC	IJR	147.92	0.16 23.1	SSSPDRS&P500V	SPYV	63.57	-0.21 13.1
iShCoreS&PTotUS	ITOT	168.72	0.23 13.5	SSSPDRSPDRS500	SPVW	76.96	0.01 12.8
iShCoreS&PUSGrw	IUSG	190.61	-0.21 13.5	SSStkSel	SLK	183.64	-1.07 27.6
iShCoreS&PUSVal	IUSV	115.51	0.74 12.6	VanEckSemicon	SMH	56.92	-1.55 55.8
iShCoreUSAggBd	AGG	97.82	0.48 -2.1	VangDivApp	VIV	245.00	0.21 11.5
iShEdgeMSCIUSAQual	IQUAL	45.64	0.46 -1.9	VangExtMkt	VXF	246.53	0.29 17.9
iShGoldTr	IAU	84.84	3.83 4.5	VangFTSEAWKUS	VEU	81.42	-2.8
iShIBBoxSIGCPbd	IOB	106.57	0.69 -3.3	VangFTSEDevMk	VEA	78.31	0.61 16.6
iShMB5	MBW	93.57	0.53 -1.7	VangFTSEEM	VWO	60.04	0.67 11.7
iShMSCIEAFE	ACWI	107.66	0.36 12.1	VangFTSEEurope	VGK	92.23	0.74 10.3
iShMSCIEM	EFM	66.11	1.18 20.8	VangIndiTech	VYIM	165.34	-0.13 15.2
iShMSCIEAFEValue	EFV	81.52	0.36 14.2	VangIntermBd	BIV	75.78	0.28 -2.7
iShNatlMuniBd	MUB	105.68	0.29 -1.3	VangIntermTrea	VGIT	118.80	-0.83 26.1
iShRussMC	IWR	113.61	0.55 18.0	VangMstarGrw	VUG	87.93	0.08 8.1
iShRuss1000	IWF	421.34	0.28 12.8	VangMstarLC	VV	354.12	0.15 12.5
iShRuss1000Grw	IWRG	122.67	-0.33 3.7	VangMstarMegaGr	MGK	89.39	0.16 8.3
iShRuss2000	IWM	301.72	0.50 22.6	VangMstarMC	VO	83.07	-0.05 14.5
iShS&P500Grw	IWMG	139.33	-0.25 13.0	VangMstarSC	VB	305.95	0.76 18.6
iShS&P500Value	IIVE	238.45	0.74 12.4	VangMstarTot	VTI	379.99	0.25 13.3
iShSemiconductor	SOXX	519.67	-2.21 72.6	VangMstarVal	VTW	226.95	0.28 18.8
iSh7-10YTreAbd	IEF	93.38	0.48 -2.9	VangRealEstat	VTV	96.61	0.01 11.4
iShSilver	SILV	60.01	4.47 -6.8	VangRuss1000Grw	VONG	126.29	-0.32 3.7
iSh20+YTreAbd	TBT	83.02	1.67 -4.7	VangS&P500ETF	VOO	706.91	0.21 12.7
iShUSFactRetst	DYFN	69.41	-0.30 14.1	VangST Bond	BSV	77.68	0.06 -1.4
iShUSTreasuryBd	GOVT	22.54	0.40 -2.1	VangST CorpBd	VCSH	78.69	0.09 13.1
iSh-3MTreAbd	SGOV	100.59	0.02 0.2	VangSTShrtTrea	VST	85.54	-0.02 1.3
JPMNasdEqPrem	JEPQ	59.87	-0.10 3.0	VangTaxExemptBd	VTEB	49.66	0.26 -1.3
JanusAAACLO	JAAI	50.63	0.04 0.1	VangTotalBd	BND	72.56	0.47 -2.0
JPMMEqPremiumIncome	JPEI	57.96	0.22 1.3	VangTotalIntBd	BNDX	47.74	0.32 15.2
JPMUltShlnrc	JPST	50.52	...	VangTotalStk	VXUS	86.97	0.61 -1.3
				VangTotWrdStk	VT	160.70	0.40 13.9

MARKETS DIGEST

EQUITIES

Dow Jones Industrial Average

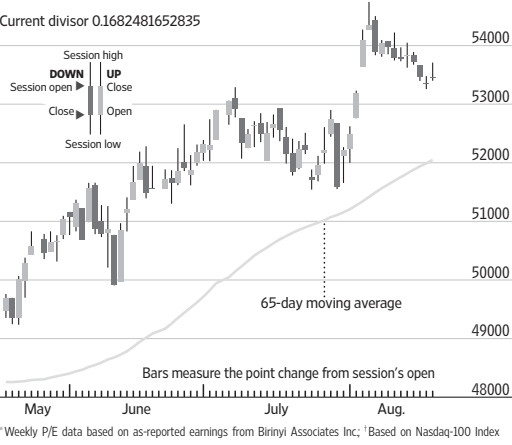
53463.05 ▲119.65, or 0.22%
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio21.9624.71

P/E estimate *20.6021.46

Dividend yield1.451.58

All-time high54349.12, 08/05/26



* Weekly P/E data based on as-reported earnings from Birlinyi Associates Inc.; † Based on Nasdaq-100 Index

Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	52-Week High	52-Week Low	% chg YTD	% chg 3-yr. ann.
Dow Jones									
Industrial Average	53710.06	53399.53	53463.05	119.65	0.22	54349.12	44785.50	19.0	11.2
Transportation Avg	21906.31	21435.73	21460.84	-34.39	-0.16	23933.14	15067.87	37.5	23.6
Utility Average	1116.82	1103.42	1109.87	1.06	0.10	1190.23	1048.33	0.1	3.9
Total Stock Market	76734.62	76314.91	76380.99	163.31	0.21	77313.23	62750.36	20.9	13.2
Barron's 400	1675.18	1660.48	1661.15	-0.97	-0.06	1685.46	1318.70	23.3	17.6

Nasdaq Stock Market									
Nasdaq Composite	26456.78	26185.13	26331.09	41.38	0.16	27093.90	20794.64	24.4	13.3
Nasdaq-100	29652.30	29288.75	29426.02	-64.94	-0.22	30660.60	22953.38	26.6	16.5

S&P									
500 Index	7743.93	7700.07	7707.98	16.22	0.21	7798.99	6343.72	20.5	12.6
MidCap 400	3886.35	3839.09	3843.99	-10.63	-0.28	3926.98	3109.89	21.1	16.3
SmallCap 600	1811.53	1795.32	1797.22	3.69	0.21	1828.54	1364.94	29.2	22.4

Other Indexes									
Russell 2000	3050.25	3029.98	3032.94	15.05	0.50	3068.42	2269.35	33.6	22.2
NYSE Composite	24866.75	24629.14	24707.27	78.13	0.32	24821.68	20818.60	18.4	12.3
Value Line	698.28	689.79	694.09	4.30	0.62	702.60	590.50	12.7	10.5
NYSE Arca Biotech	9463.92	9078.32	9461.62	383.29	4.22	9461.62	5936.96	57.4	32.3
NYSE Arca Pharma	1321.15	1267.67	1315.38	47.71	3.76	1315.38	925.18	39.1	16.8
KBW Bank	192.49	187.19	187.65	-4.63	-2.41	193.91	143.23	30.3	14.3
PHLX [®] Gold/Silver	400.64	380.09	399.02	32.42	8.84	470.37	230.27	73.3	16.6
PHLX [®] Oil Service	105.60	103.67	104.16	0.05	0.04	109.24	60.27	72.6	42.0
PHLX [®] Semiconductor	12138.51	11633.80	11738.23	-254.23	-2.12	14634.72	5592.82	108.5	65.7
Cboe Volatility	15.95	14.77	14.89	-0.95	-6.00	31.05	13.47	-5.1	-0.4

[®]Nasdaq PHLX Sources: FactSet; Dow Jones Market Data

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
Defiance Tgt 2X Lg MRNA	MRNX	141.64	110.31	352.09	143.84	14.95	...
Moderna	MRNA	174.38	111.42	176.97	176.66	22.28	524.8
YieldMax MRNA Opt Incm	MRNY	42.00	26.40	169.23	42.39	13.60	112.1
Tenon Medical	TNON	11.41	5.96	109.36	54.95	4.38	-76.7
Defiance Tgt 2X Lg PURR	PUR	22.56	8.58	61.31	22.75	9.66	...
Rising Dragon Acquisition	RDAC	8.78	2.93	50.09	23.99	4.59	-15.3
Universal Safety Products	UUU	6.24	1.72	38.05	8.27	2.86	93.8
21Shares 2x Long HYPE ETF	TXXH	49.73	13.60	37.64	74.74	23.05	...
SKK Holdings	SKK	5.73	1.53	36.43	17.95	1.61	33.3
Hyperliquid Strategies	PURR	9.39	2.19	30.42	11.62	3.01	...
MicroSec Gold 3X Lvgd	GDUX	158.63	34.46	27.75	540.78	64.45	84.2
Defiance Tgt 2X Lg HIMS	HIMZ	32.74	6.94	26.90	391.58	12.38	-82.8
Maravai LifeSciences	MRVI	7.22	1.48	25.78	7.70	2.28	187.6
Arcturus Therapeutics	ARCT	10.28	2.07	25.21	24.17	5.50	-39.6
GrShr 2x Long MSTR Daily	MSTP	14.79	2.95	24.92	375.57	10.13	-95.6

Volume Movers

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
Rising Dragon Acquisition	RDAC	16,254	157177	8.78	50.09	23.99	4.59
Tenon Medical	TNON	48,964	12482	11.41	109.36	54.95	4.38
Defiance Tgt 2X Lg MRNA	MRNX	2,820	8160	141.64	352.09	143.84	14.95
Moderna	MRNA	191,895	2707	174.38	176.97	176.66	22.28
YieldMax MRNA Opt Incm	MRNY	4,443	2550	42.00	169.23	42.39	13.60
Hennessy Cap Inv VIII	HCIC	201	2494	10.00	...	10.01	9.79
Cambridge Acquisition	CAO	208	2474	10.01	0.20	10.10	9.80
JPMorgan USD EM Sov Bd	JPMB	301	2463	39.79	0.32	40.90	38.79
PIMCO Inv Grade Corp Bd	CORP	1,472	2075	95.28	0.49	99.63	94.49
Yields for You Incm A	YFYA	385	2072	9.80	0.05	10.27	9.30

* Common stocks priced at \$2 a share or more with an average volume over 65 trading days of at least 5,000 shares †Has traded fewer than 65 days

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	1146.74	-1.21	-0.11	13.0
	MSCI ACWI ex-USA	479.44	-2.98	-0.62	13.9
	MSCI World	4975.53	4.19	0.08	12.3
	MSCI Emerging Markets	1668.38	-26.17	-1.54	18.8
Americas	MSCI AC Americas	2919.56	5.782	0.20	12.6
Canada	S&P/TSX Comp	36401.79	33.86	0.09	14.8
Latin Amer.	MSCI EM Latin America	2963.67	35.92	1.23	9.4
Brazil	Bovespa	167830.27	1495.41	0.90	4.2
Chile	S&P IPSA	5662.38	27.58	0.49	4.4
Mexico	S&P/BMV IPC	63999.26	65.57	0.10	-0.5
EMEA	STOXX Europe 600	651.16	-0.74	-0.11	10.0
Eurozone	Euro STOXX	677.09	-3.07	-0.45	10.6
Belgium	Bel-20	5747.89	-11.09	-0.19	13.2
Denmark	OMX Copenhagen 20	1618.72	4.49	0.28	0.7
France	CAC 40	8501.91	-7.45	-0.09	4.3
Germany	DAX	26091.33	-37.03	-0.14	6.5
Israel	Tel Aviv	4167.91	-8.43	-0.20	14.8
Italy	FTSE MIB	52618.20	-399.64	-0.75	17.1
Netherlands	AEX	1102.43	-4.89	-0.44	15.9
Norway	Oslo Bors All-Share	2469.49	0.40	0.02	27.2
South Africa	FTSE/JSE All-Share	116051.14	2727.69	2.41	0.2
Spain	IBEX 35	19847.50	-87.40	-0.44	14.7
Sweden	OMX Stockholm	1125.85	-0.05	-0.005	7.7
Switzerland	Swiss Market	14386.58	65.68	0.46	8.4
Turkey	BIST 100	14458.98	331.00	2.34	28.4
U.K.	FTSE 100	10743.35	15.31	0.14	8.2
U.K.	FTSE 250	24643.52	82.09	0.33	9.7

Asia-Pacific	MSCI AC Asia Pacific	270.53	-5.43	-1.97	18.8
Australia	S&P/ASX 200	9053.80	-16.24	-0.18	3.9
China	Shanghai Composite	3894.42	-95.88	-2.40	1.9
Hong Kong	Hang Seng	25495.07	23.92	0.09	-0.5
India	BSE Sensex	76909.68	-325.78	-0.42	-9.8
Japan	NIKKEI 225	65326.42	-2134.31	-3.16	29.8
Singapore	Straits Times	5694.24	-7.17	-0.13	22.6
South Korea	KOSPI	6471.17	-398.66	-5.80	53.6
Taiwan	TAIEX	44719.35	-589.33	-1.30	54.4
Thailand	SET	1609.76	-11.86	-0.73	27.8

Sources: FactSet; Dow Jones Market Data

S&P 500 Index

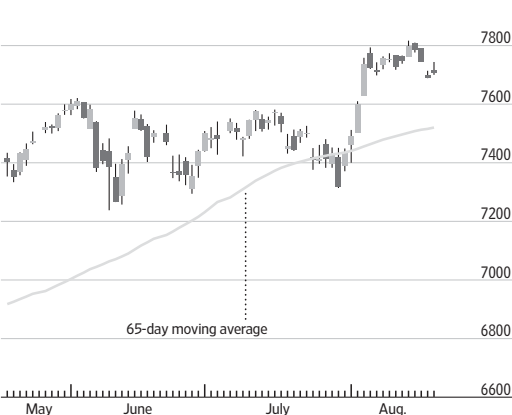
7707.98 ▲16.22, or 0.21%
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio26.4925.25

P/E estimate *21.4224.06

Dividend yield *1.041.20

All-time high7798.99, 08/13/26



Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After Hours % chg	High	Low
Webster Financial	WBS	24,258.8	77.79	0.22	0.28	77.84	77.50
NetSTREIT	NTST	17,864.8	20.53	...	unch.	20.53	20.53
NIO ADR	NIO	14,568.6	4.57	-0.01	-0.22	4.63	4.53
Nokia ADR	NOK	10,236.5	10.15	0.02	0.20	10.18	10.12
Liberty Broadband Cl C	LBRDK	10,186.4	36.13	0.11	0.31	36.37	35.79
iShares Ethereum Tr ETF	ETHA	10,148.4	17.34	1.46	9.18	17.64	15.86
Moderna	MRNA	9,919.0	183.90	9.52	5.46	194.88	168.36
Kenvue	KVUE	9,087.6	19.15	0.02	0.10	19.17	19.13

Percentage gainers...

Virtuix Holdings	VTIX	1,893.4	2.22	0.60	37.04	2.43	1.62
ProShares Ultra Ether ETF	ETHT	439.6	14.76	2.19	17.42	15.31	12.57
Leverage 2X Lg BMNR Dly	BMNG	65.0	21.67	3.17	17.16	22.00	18.50
2x Solana ETF	SOLT	55.5	43.25	4.03	10.28	44.00	39.06
Defiance Dly Tgt 2x Lg	MSTX	686.5	10.60	0.97	10.07	10.65	9.59

...And losers

ProSh UltSh Ether ETF	ETHD	111.1	37.53	-8.09	-17.73	45.67	35.15
Defiance Tgt 2X Shrt BMNR	BMNZ	171.3	8.24	-1.49	-15.31	9.73	8.21
Wolfsped	WOLF	950.3	25.95	-3.14	-10.79	32.00	25.82
Coty Cl A	COTY	888.4	2.82	-0.21	-6.93	3.10	2.69
ProSh UltSh Bitcoin ETF	SBIT	59.4	46.88	-1.89	-3.87	48.99	46.88

Nasdaq Composite Index

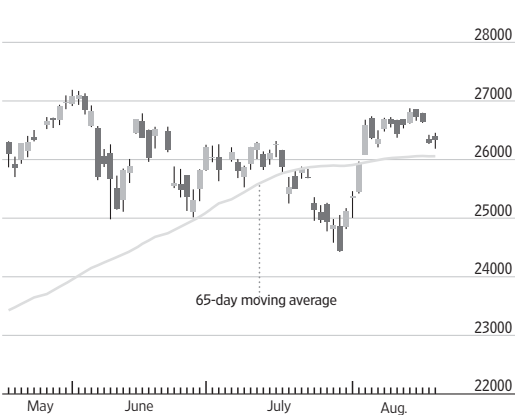
26331.09 ▲41.38, or 0.16%
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio *35.0133.57

P/E estimate *25.8729.84

Dividend yield *0.530.65

All-time high: 27093.90, 06/02/26



Trading Diary

Volume, Advancers, Decliners

	NYSE	NYSE Amer.
Total volume	1,184,477,639	18,252,490
Adv. volume	740,654,127	13,771,530
Decl. volume	435,485,265	4,277,177
Issues traded	2,851	300
Advances	1,769	162
Declines	1,002	126
Unchanged	80	12
New highs	85	5
New lows	56	8
Closing Arms	0.86	0.42
Block trades	3,847	190

Nasdaq NYSE Arca

Total volume	8,173,145,202	354,155,328
Adv. volume	5,160,829,213	262,455,550
Decl. volume	2,963,642,515	85,927,041
Issues traded	5,105	2,673
Advances	2,881	1,959
Declines	2,052	679
Unchanged	172	35</

Futures Contracts

Metal & Petroleum Futures							
	Open	Contract High hi lo	Low	Settle	Chg	Open interest	
Copper-High (CMX) -25,000 lbs.; \$ per lb.							
Aug	6.4590	6.4875	6.4590	6.4875	0.0050	2,090	
Dec	6.5550	6.6100	6.5055	6.5955	0.0055	123,362	
Gold (CMX) -100 troy oz.; \$ per troy oz.							
Aug	4339.80	4524.10	4327.60	4489.40	123.40	1,119	
Sept	4343.00	4530.70	4331.90	4495.10	122.90	5,753	
Oct	4356.40	4548.60	4345.80	4511.30	123.50	52,856	
Nov	4370.60	4564.90	4365.70	4529.10	124.10	628	
Dec	4391.40	4582.80	4378.00	4545.30	124.70	312,507	
Jan'27	4477.00	4581.10	4477.00	4565.10	125.30	458	
Palladium (NYM) - 50 troy oz.; \$ per troy oz.							
Aug	1370.00	1378.00	▲	1363.50	40.70		
Sept	1289.50	1343.00	1279.50	1334.20	40.60	10,014	
Platinum (NYM) -50 troy oz.; \$ per troy oz.							
Aug	1612.10	1632.90	▼	1612.10	76.20		
Oct	1722.10	1833.60	1712.00	1810.50	76.70	47,759	
Silver (CMX) -5,000 troy oz.; \$ per troy oz.							
Aug	63.205	66.850	63.120	65.734	1.793	61	
Dec	64.175	68.025	63.200	66.566	1.809	54,396	
Crude Oil, Light Sweet (NYM) -1,000 bbls.; \$ per bbl							
Sept	85.42	87.19	84.32	85.83	0.89	50,234	
Oct	84.46	85.84	83.45	84.39	0.33	271,808	
Nov	83.11	84.05	82.10	82.81	0.09	153,256	
Dec	81.56	82.31	80.57	81.07	-0.13	209,783	
June'27	74.95	75.49	74.03	74.29	-0.51	136,010	
Jan'27	72.17	72.61	71.42	71.66	-0.38	152,943	
NY Harbor ULSID (NYM) -42,000 gal.; \$ per gal.							
Sept	4.4925	4.5237	▲	4.3971	4.4523	-0.022	35,028
Oct	4.3552	4.3870	▲	4.2731	4.3227	-0.001	60,536
Gasoline-NY RBOB (NYM) -42,000 gal.; \$ per gal.							
Sept	3.3129	3.3330	3.2081	3.2551	-0.0466	44,596	
Oct	3.0178	3.0390	2.9466	2.9775	-0.306	82,317	
Natural Gas (NYM) -10,000 MMBtu.; \$ per MMBtu.							
Sept	2.786	2.875	2.770	2.814	-0.038	117,192	
Oct	2.810	2.877	2.781	2.826	-0.025	255,884	
Nov	3.005	3.054	2.960	3.002	-0.012	155,679	
Dec	3.561	3.604	3.513	3.554	-0.012	153,817	
Jan'27	3.974	4.011	3.918	3.958	-0.06	168,027	
March	2.932	2.970	2.904	2.937	-0.017	144,075	
Agriculture Futures							
Corn (CBT) -5,000 bu.; cents per bu.							
Sept	462.75	473.50	▲	461.50	473.00	9.75	254,242

	Open	Contract High hi lo	Low	Settle	Chg	Open interest
Dec	487.25	498.50	486.25	498.00	10.00	921,994
Oats (CBT) -5,000 bu.; cents per bu.						
Sept	331.00	332.25	329.75	331.50	...	325
Dec	348.75	351.00	348.25	349.50	...	2,308
Soybeans (CBT) -5,000 bu.; cents per bu.						
Sept	1199.25	1224.50	1198.25	1222.25	21.50	47,998
Nov	1215.00	1239.50	1214.00	1237.25	20.50	483,706
Soybean Meal (CBT) -100 tons; \$ per ton.						
Sept	314.00	319.20	312.80	318.90	5.90	65,990
Dec	319.00	326.10	318.60	325.60	6.80	272,571
Soybean Oil (CBT) -60,000 lbs.; cents per lb.						
Sept	69.69	70.63	69.07	69.86	-17	90,293
Dec	69.52	70.77	69.05	69.96	-33	245,666
Rough Rice (CBT) -2,000 cwt.; \$ per cwt.						
Sept	14.18	14.30	14.02	14.24	-0.00	6,249
Nov	14.66	14.75	14.47	14.70	-0.02	6,498
Wheat (CBT) -5,000 bu.; cents per bu.						
Sept	661.25	683.25	660.25	680.25	15.75	65,179
Dec	678.50	700.25	677.25	697.50	16.25	243,592
Wheat (KC) -5,000 bu.; cents per bu.						
Sept	742.50	763.00	738.25	762.00	18.25	35,100
Dec	757.25	777.50	753.00	776.75	18.25	152,480
Cattle-Feeder (CME) -50,000 lbs.; cents per lb.						
Aug	340.475	341.500	336.325	336.850	-2.375	7,638
Oct	327.900	328.125	321.500	322.050	-4.275	20,711
Cattle-Live (CME) -40,000 lbs.; cents per lb.						
Aug	225.000	226.025	222.975	223.425	-1.475	5,389
Oct	219.650	221.000	216.875	217.225	-1.700	113,987
Hogs-Lean (CME) -40,000 lbs.; cents per lb.						
Oct	80.950	81.925	80.900	81.500	-775	129,208
Dec	71.025	71.750	70.900	71.425	-500	68,956
Lumber (CME) -27,500 bd. ft. \$ per 1,000 bd. ft.						
Sept	568.50	581.00	567.00	581.00	10.50	5,567
Nov	581.50	585.00	578.00	584.00	3.50	2,582
Milk (CME) -200,000 lbs.; cents per lb.						
Aug	16.50	16.60	16.49	16.50	-0.03	4,945
Sept	17.32	17.43	17.08	17.09	-0.21	6,788
Cocoa (ICE-US) -10 metric tons; \$ per ton.						
Sept	5,901	6,129	5,846	6,046	141	6,707
Dec	5,931	6,119	5,829	6,031	112	78,306
Coffee (ICE-US) -37,500 lbs.; cents per lb.						
Sept	364.45	369.20	▲ 355.00	359.50	-3.90	6,131
Dec	330.65	337.15	323.20	328.20	-4.25	93,239
Sugar-World (ICE-US) -112,000 lbs.; cents per lb.						
Oct	17.50	17.66	▲ 17.31	17.55	-0.08	462,160
March'27	18.49	18.64	▲ 18.32	18.55	-0.09	364,674

Bonds | [wsj.com/market-data/bonds/benchmarks](#)

Tracking Bond Benchmarks

Return on investment and spreads over Treasurys and/or yields paid to investors compared with 52-week highs and lows for different types of bonds

Total return close	YTD total return (%)	Index	Yield (%) Latest Low High	Total return close	YTD total return (%)	Index	Yield (%) Latest Low High
Broad Market Bloomberg Fixed Income Indices							
2252.14	0.1	U.S. Aggregate	4.880 4.160 5.000	2265.56	0.7	Mortgage-Backed	5.150 4.380 5.300
U.S. Corporate Indexes Bloomberg Fixed Income Indices							
3442.08	-0.1	U.S. Corporate	5.390 4.680 5.470	1339.54	0.6	Fannie mae (FNMA)	5.130 4.370 5.290
3404.08	0.7	Intermediate	5.070 4.330 5.180	2056.81	0.3	Freddie Mac (FHLMC)	4.940 4.160 5.170
4368.51	-1.8	Long term	6.110 5.370 6.230	621.45	0.5	Muni Master	3.614 3.037 3.682
638.77	-1.4	Double-A-rated	5.300 4.410 5.370	440.71	-0.4	7-12 year	3.389 2.596 3.455
947.83	0.3	Triple-B-rated	5.560 4.860 5.640	502.76	0.6	12-22 year	4.187 3.608 4.533
High Yield Bonds ICE BofA							
632.60	2.5	High Yield Constrained	7.142 6.489 7.668	473.90	1.5	22-plus year	4.743 4.432 5.050
632.13	0.6	Triple-C-rated	13.989 11.438 14.184	Global Government J.P. Morgan¹			
4211.04	2.2	High Yield 100	6.281 5.828 7.136	554.26	-0.8	Global Government	4.265 3.500 4.307
551.41	2.7	Global High Yield Constrained	6.882 6.317 7.438	845.47	0.5	Canada	3.672 3.070 3.699
402.81	1.9	Europe High Yield Constrained	5.581 4.820 6.198	362.30	-0.8	EMU⁹	3.768 3.117 3.771
U.S. Agency Bloomberg Fixed Income Indices							
1975.08	0.8	U.S. Agency	4.500 3.830 4.650	651.28	-1.0	France	4.105 3.350 4.105
1753.34	1.0	10-20 years	4.430 3.750 4.590	460.40	-0.8	Germany	3.364 2.650 3.364
3687.11	-0.7	20-plus years	5.290 4.580 5.380	243.38	-3.9	Japan	3.140 2.100 3.176
3052.64	0.5	Yankee	5.020 4.320 5.130	503.19	-0.7	Netherlands	3.475 2.860 3.476
				809.18	-1.5	U.K.	5.303 4.560 5.381
				1039.21	2.1	Emerging Markets **	6.695 6.403 7.099

*Constrained indexes limit individual issuer concentrations to 2%; the High Yield 100 are the 100 largest bonds ¹In local currency ⁹Euro-zone bonds
** EMBI Global Index Sources: ICE Data Services; Bloomberg Fixed Income Indices; J.P. Morgan

Global Government Bonds: Mapping Yields

Yields and spreads over or under U.S. Treasurys on benchmark two-year and 10-year government bonds in selected other countries; arrows indicate whether the yield rose(▲) or fell (▼) in the latest session

Coupon (%)	Country/ Maturity, in years	Latest(●)	0	1	2	3	4	5	6	Previous	Month ago	Year ago	Spread Under/Over U.S. Treasurys, in basis points		
													Latest	Prev	Year ago
4.250	U.S. 2	4.178 ▲								4.174	4.172	3.753			
4.625	10	4.651 ▼								4.706	4.542	4.301			
2.250	Australia 2	4.600 ▼								4.628	4.522	3.362	■ 41.4	44.2	-39.7
4.250	10	5.038 ▼								5.077	4.909	4.337	■ 38.3	36.7	2.8
2.400	France 2	3.055 ▲								3.053	2.963	2.215	■ -11.3	-113.4	-154.4
3.700	10	4.119 ▼								4.120	3.934	3.438	■ -53.6	-59.0	-87.1
2.700	Germany 2	2.871 ▲								2.860	2.803	1.954	■ -51.5	-132.6	-180.5
3.000	10	3.280 ▲								3.276	3.151	2.755	■ -57.5	-143.4	-155.4
2.650	Italy 2	3.060 ▲								3.047	2.995	2.212	■ -11.2	-113.9	-154.7
3.800	10	4.068 ▼								4.077	3.948	3.554	■ -58.7	-63.3	-75.5
1.500	Japan 2	1.678 ▼								1.694	1.435	0.842	■ -250.8	-249.2	-291.7
2.700	10	2.897 ▼								2.939	2.712	1.597	■ -175.8	-177.1	-271.2
2.400	Spain 2	2.908 ▲								2.892	2.817	2.044	■ -127.6	-129.4	-171.5
3.400	10	3.700 ▼								3.705	3.590	3.262	■ -95.5	-100.5	-104.7
4.375	U.K. 2	4.375 ▼								4.383	4.353	3.981	■ 18.9	19.7	22.2
1.125	10	5.052 ▼								5.086	4.967	4.746	■ 39.7	37.6	43.7

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MARKETS

Missile Startup Hits \$13 Billion Value

Castelion raises more than \$1 billion in funding found backed by Carlyle

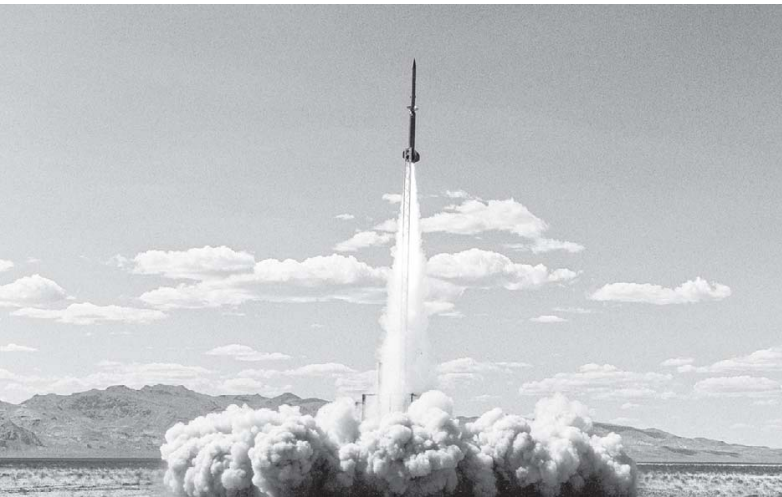
By Drew FitzGerald

Missile-making startup Castelion closed a more than \$1 billion funding round co-led by private-equity giant **Carlyle** Group, reflecting blue-chip firms' growing interest in a booming corner of the defense industry.

California-based Castelion said it would use the new investment led by Carlyle, JP-Morgan Chase and Andreessen Horowitz to boost planned production of its Blackbeard hypersonic missile. The fresh capital will also fund development work on an even bigger hypersonic strike weapon and a mass-produced air-defense missile, the company said.

Military leaders have said they need more hypersonic weapons capable of zipping through enemy defenses to match China's growing arsenal of similar missiles. Meanwhile, the Pentagon is asking factories to increase production of traditional defensive batteries like the Patriot missile system.

Russia's war with Ukraine has stressed the West's Pa-



The company will use the new funds to boost planned production of its Blackbeard missile.

triot missile stockpiles, and this year's U.S. war with Iran has drawn them low enough to alarm Trump administration officials.

New defense companies have traditionally grown their operations with the help of venture-capital funds like Andreessen Horowitz, which previously invested in Castelion. The new investments from Carlyle and JPMorgan's \$10 billion national-security investment group shows Wall

Street's growing appetite for early-stage companies in the defense sector.

Ian Fujiyama, the head of Carlyle's aerospace, defense and government practice, said his firm took equity in Castelion to take advantage of the company's promise to design and manufacture weaponry on a tight timeline.

"We think there's a multi-decade need to rebuild some of that capability that has just atrophied over the years," Fu-

jiyama said, citing a near-term dearth of munitions and hypersonic weapons in particular.

Castelion said the new capital raises its valuation to \$13 billion. The Series C investment, which included other venture-capital firms, includes \$800 million in equity and a \$250 million revolving credit facility.

Castelion was co-founded by three SpaceX alumni under the premise that a new manu-

facturer could design, test and produce weaponry more quickly than traditional defense contractors like RTX and Lockheed Martin.

The company has spent roughly \$250 million to build a New Mexico production campus for Blackbeard, a missile named after the legendary pirate to reflect its expected sea deployment. Castelion is now searching for a new factory site to build its next missile models.

Engineers drafted early designs for Castelion's longer-range hypersonic weapon with an eye toward the U.S. military's efforts to match Chinese capabilities in the Pacific region. Executives said that moving early to get a jump on the project, even before the Pentagon commits to a contract, is the best way to deliver the weapons quickly.

"We spent tremendous amounts of our early capital starting that program at a point in time that, quite frankly, was very risky," Castelion Chief Executive Bryon Hargis said. "But it takes that level of time to get the development correct, and because we did that, we're now in a position that we're going to start doing the testing next year. That is an example of the power of private capital."

Bessent Moves on Treasurys

Continued from page B1

On Monday, the 30-year yield hit its highest since before the global financial crisis, despite Bessent's previous efforts to keep yields down. The 10-year yield remains below the panicked near-5% it hit in late 2023, but this shouldn't reassure: Look at the inflation-adjusted "real" yield for the five years starting in five years, to strip out the ties to the overnight rate, and this year it reached the highest since 2009.

The simple explanation for all this is that the world is going into a new era of capital need, for data centers, the military and reshoring. That means a higher reward for suppliers of capital, in the form of higher yields.

It's also important to understand what isn't driving the rise in yields.

Long bonds aren't being dumped because investors are worried about inflation. Sure, there's slightly more concern than a couple of months ago, but the bond market's expectation of inflation, known as the break-even rate, isn't particularly elevated and remains close to the Fed's 2% goal. Investors think that despite five

years of overshoots, the central bank will keep inflation on target in the long run.

Fed Chairman Kevin Warsh's change of communications strategy has confused lots of investors, but it isn't obvious that it is behind the rising yields. In principle, less clarity about the Fed's direction of travel should push up bond volatility and so raise yields as investors demand compensation for the higher risk. But the bond market's equivalent of the VIX gauge of implied volatility is slightly lower than a year ago, after a brief spike when the U.S. and Israel first bombed Iran. So far, at least, this isn't the issue.

Instead, yields are rising because of the need for more capital. There's a nasty combination of three trends leading to higher bond sales, only one of which Bessent has any ability to control.

Government deficits. The U.S. government, including state and local, is expected by the International Monetary Fund to borrow 7.5% of GDP this year, the most in the Group of Seven developed economies and a level that used to be reached only in deep recessions.

Now it has become the norm, with the government loading on debt even as the economy grows fine. Because investors don't think politicians of either party will make the painful decisions needed, that means more and more bonds to sell in future.



Scott Bessent.

Making this worse is that much the same is true in the rest of the world. Big government came back into fashion in the pandemic, and politicians in Europe and Asia are also grappling with the need to spend a lot more on defense, while keeping voters happy by maintaining social spending. They want swords and plowshares, and that means borrowing.

The artificial-intelligence boom. AI companies have moved from being capital-light software specialists to capital-hungry operators of gigantic data centers, spending enough to have a noticeable impact on the economy. Tapping bond markets is one of the ways this is being financed, and already that has led to higher yields for the big companies raising the most cash, as investors worry about exposure.

One example: The yield on Alphabet's 2075 bond issued last year has jumped from 6% at the start of July to 6.78% on Tuesday, far more than the jump in the longest-dated government bonds. More issuance means a lower price and higher yield.

Geopolitics. The breakdown of the U.S.-led international order on trade is pushing other countries to be less reliant on cross-border supply chains, while security concerns about China are making the U.S. rethink access to critical minerals and components. Such reshoring means duplicative and less-efficient capital spending.

All of this has led to a rise in inflation-adjusted "real" yields as suppliers of scarce capital anticipate more demand for capital, and so charge more.

Bessent's buyback expansion is best seen as the next step in his strategy of issuing a larger share of short-dated debt and T-bills, reducing the need for long-dated sales that push up yields.

But this creates risks. It can help contain long-dated yields, but more short-dated issuance makes government finances even more exposed to any rise in interest rates, which would quickly feed through into even higher borrowing costs.

The Treasury's odd decision last month to intervene to prop up the yen by selling euros, and Bessent's encouragement of the Japanese to borrow from the Fed to finance its own in-

tervention, are best seen as more fiddling, preventing the need to sell Treasuries.

The good news is that higher yields are in part self-correcting. Faced with higher borrowing costs, profit-driven executives choose not to invest so much, or cut other areas to finance projects. Would-be home buyers are deterred by higher mortgage rates, and higher savings mean less spending. Around the edges this is visible in AI, with heavy job losses at **Meta Platforms** to offset some of the costs.

The bad news is that so much of AI is driven by hope rather than cash profits that higher yields are likely to do little to crimp spending. And governments, at least those that borrow in their own currency, can ignore higher yields until it becomes clear to voters that government debt is squeezing out parts of the economy they care about.

We can think of higher long yields as part of the reckoning for excessive borrowing. The more it goes on, the more the private sector is squeezed, until eventually—hopefully—politicians realize that spending needs to be cut or paid for with taxes. Bessent, so far, hasn't been willing to do either.

The one consolation for investors: They can earn 2.5% above inflation on Treasuries while they wait, in an asset that might even do better if AI turns out to be a bubble and pops—or really badly if Bessent loses control.

Cantor Lets Funds Bet On Kalshi

Continued from page B1

terest in hedging risks related to weather or commodities

such as crop outputs and oil prices, he added.

Other use cases include risks to artificial-intelligence supply chains and betting on the price of computing power, said Joe Grubb, head of business development at Susquehanna Predictions.

Institutions will also be able to propose markets for their specific needs. The companies have already been in

discussions with institutional investors about what markets they would like to see.

"I think prediction markets allow us to be much more creative with the types of hedging," said Grubb. "And we're seeing a lot of interesting ideas from counterparties."

Proponents say that prediction markets harness the wisdom of crowds to accurately forecast the outcome of future

events and that they offer a more specialized way to hedge risk or make wagers that aren't possible in traditional financial markets and insurance policies.

Kalshi has turned its attention to wooing institutional investors in recent months, completing its first block trade earlier this year for a contract tied to carbon allowances in California that was

created specifically for the trade. The company joined with Interactive Brokers earlier this year, another leg in the race to draw institutions to their markets.

"We get a lot of questions of, I do want to hedge specific event risk, but I don't know how to do it," said Max Crowley, vice president of business development at Kalshi. "The demand is there."

Hong Kong Exchange Operator Hits Record

By Kimberley Kao

Booming trading and listing activity in Hong Kong propelled the city's exchange operator to another record quarter, putting the Asian financial hub in a strong position to continue overhaul efforts to attract more capital.

Hong Kong Exchanges & Clearing said net profit rose 21% from a year earlier to 5.38 billion Hong Kong dollars, or US\$685.8 million. That topped the HK\$4.77 billion consensus estimate of analysts in a Visible Alpha poll.

Revenue and other income reached HK\$8.50 billion, climbing a stronger-than-expected 18% as trading and clearing fees rose on higher volumes across the cash, derivatives and commodities markets. The headline average daily turnover jumped 22% to HK\$289.5 billion, HKEX said, a new quarterly high.

Strong market sentiment helped drive trading activity, HKEX Chief Executive Bonnie Y Chan said. Fundraising demand from technology and AI-related companies, as well as participation from Chinese mainland and international investors also contributed to the robust performance, said Chan, whose contract was recently renewed for a further three years, through February 2030.

The funds raised from 87 new listings in the city in the first half rose 94% to HK\$212.4 billion compared with a year earlier. Chan said the IPO pipeline remains strong.

The exchange has been rolling out measures to boost the attractiveness of the market for listings. A surge of high-tech companies are looking to tap the Hong Kong market, including Chinese firms already listed in mainland China.

Key changes to the listing framework include allowing confidential filings for all companies and cutting the minimum market capitalization requirement for companies with a weighted voting-rights structure to HK\$20 billion from HK\$40 billion.

Although macroeconomic and geopolitical uncertainties persist, opportunities for HKEX and Hong Kong remain compelling, Chan said, "as global capital increasingly seeks access to China's innovation economy and Asia's growth prospects."

John C. Lee, co-head of Asia country coverage at UBS, expects the reforms to broaden Hong Kong's appeal to high-quality international issuers. "Combined with deep capital pools, improving market liquidity and strong investor participation, the enhanced listing framework should support a healthy pipeline of listings and reinforce Hong Kong's position as one of the world's premier fundraising centers," Lee wrote in a recent note.

Hong Kong's Hang Seng Indexes also plans to revamp its main tech stock benchmark to capture more high-growth tech companies amid a banner year for new listings, fueled by the artificial-intelligence and robotics sectors in China.

MONEY & INVESTING

Stock Spotlight

Oracle

Shares fell 0.7%. The Wall Street Journal reported that OpenAI's revenue growth was outpaced by Anthropic in the second quarter, while its losses deepened. Oracle's performance hinges on OpenAI's ability to make good on its massive commitments.

SK Hynix

The chip giant unveiled plans for a \$28 billion buyback. Its U.S.-listed shares rose 0.3%. Its Korean shares closed nearly 10% lower amid a selloff in Asia.

Moderna and Merck

The companies' experimental vaccine succeeded in preventing

melanoma from returning in a study; Moderna stock surged more than 175%, while Merck jumped 13%.

Yushu Technology

Shares in the Chinese humanoid robot maker, known as Unitree, surged more than fivefold in their trading debut in Shanghai.

Estee Lauder

Shares gained 16% after the beauty company reported it had narrowed losses and lifted sales in its latest quarter.

Target

Shares rose 4.3% after the company reported an earnings beat and higher sales before the bell.

Lowe's

Shares notched a 2% gain.

The home-improvement retailer tempered its full-year outlook, signaling cooling demand for household projects. Still, the company reported adjusted earnings just above analyst estimates.

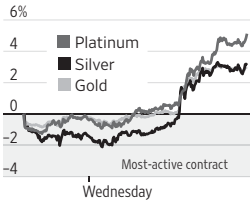
THURSDAY'S EVENTS:

◆ Economic data: Unemployment insurance initial weekly claims, Philadelphia Fed manufacturing survey, U.S. leading indicators report, EIA weekly natural gas storage report

EARNINGS EXPECTED:

Walmart, Alibaba, Deere & Co., Advance Auto Parts, Ross Stores

Precious metals performance



Source: FactSet

Precious-metals prices jumped, pushing gold to its highest settlement value since May 29, after the Treasury Department's buyback announcement. The Treasury's move at least momentarily reversed a run-up in bond yields that had been pressuring precious metals, which pay no yield. Front-month gold futures on Wednesday rose 2.8%, to \$4489.40 a troy ounce.

—David Uberti

The Natural-Gas Crunch

If you thought the oil-market crunch was bad, spare a thought for buyers of natural gas.

Crude prices may still be high, but they've come down significantly from wartime peaks. Natural-gas futures prices in Europe are hovering near their highest level since early 2023, as traders bet the Strait of Hormuz could stay closed into winter. That's left Europe staring down a repeat of the squeeze it suffered after Russia's invasion of Ukraine a few years ago.

Only a handful of liquefied natural-gas cargoes made it through Hormuz this month, according to Helge André Martinsen, energy analyst at DNB Carne-

gie in Norway. Before the war, around a fifth of the world's LNG came through Hormuz, mostly from Qatar.

Low supplies of LNG from the Middle East mean more competition for what's left, spurring a bidding war between European and Asian buyers. Europe burns natural gas to heat homes, generate electricity and fuel factories. It builds stockpiles during the summer to use in the winter. But it struggled to refill its gas stores in recent months, as Asia has bid high prices to make up for its shortfall of Qatari gas, according to Argus Media analyst Natasha Fielding.

For the moment, prices are far below their highs from 2022, when supplies from Russia dried up after the invasion of Ukraine.

—Joe Wallace

HEARD_{ON THE} STREET

FINANCIAL ANALYSIS & COMMENTARY

Drugmakers Should Never Shop Hungry

The worst deals in pharmaceuticals aren’t early or late, just desperate

Everyone who has walked into a grocery store hungry knows how quickly discipline can evaporate. Everything looks like an immediate necessity.

The same psychological trap plays out in Big Pharma boardrooms, though the stakes are measured in tens of billions of dollars. Like shoppers trying to keep the fridge stocked, pharmaceutical chiefs are constantly hunting for promising biotech drugs to replace expiring blockbusters. And just like supermarket shoppers, a CEO who walks into the store hungry—staring down a patent cliff with an empty pipeline—is far more prone to expensive, panic-driven mistakes.

The better move is to make frequent, smaller trips to the store. In pharma terms, that means making a steady stream of small to medium-size bets rather than one gigantic deal.

For decades, large acquisitions were the classic answer to a patent cliff. When sales began to drop off because of generic entry, many pharma companies turned to mergers, which added scale and allowed them to strip out duplicative costs. But several of the more recent large deals, including **Bristol-Myers Squibb’s** 2019 acquisition of Celgene for \$74 billion, have failed to deliver positive shareholder returns.

As a result, investors have soured on that strategy. It isn’t that it can’t work. But the fear is that they create enormous integration risk without necessarily improving the long-term growth trajectory.

That verdict was abundantly clear recently when **AstraZeneca** shares plunged following a Financial Times report that it had explored a merger with Bristol-Myers. Regardless of how serious the talks were, the signal to pharma boardrooms was to keep it small.

So-called bolt-on deals have become the industry’s staple in recent years. Across the 16 largest drugmakers, acquisitions for under \$3 billion have been running at roughly two dozen a year over the past decade, according to Norstella M&A data provided by Evaluate. The pace has been higher in recent years, and 2026 is running hot, with 24 such deals so far this year.

Eli Lilly, whose executives have used the supermarket analogy, was behind many of this year’s deals. Its Mounjaro and Zepbound franchise generates massive cash flow, with patent protection stretching into the middle of the next decade, which means Lilly has time. It can shop for the next decade rather than the



Eli Lilly’s Mounjaro and Zepbound franchise generates massive cash flow, with patent protection stretching into the middle of the next decade.

next year, placing targeted bets across sleep, gene editing, cancer and psychedelics to diversify before the obesity-drug boom eventually slows.

That doesn’t mean Lilly is the industry’s best dealmaker. Its record is mixed, and buying early means many of these bets won’t pan out. But it can afford to be wrong.

Most pharma companies don’t have Lilly’s runway. But a little hunger isn’t necessarily bad if it focuses the mind. Some of the best deals come after early studies show that a drug works but before late-stage trial results chip away the discount. In other words, not too early, but not too late.

Novartis offers a look at a buyer that has grown more disciplined over time. Its best moves came from

Several recent big deals have not delivered positive returns for investors.

getting in early: long before radio-pharmaceutical therapy became oncology’s hot trend, Novartis paid about \$2 billion in 2018 for the platform that yielded Pluvicto, a prostate-cancer drug now on track for roughly \$4 billion in annual sales by the end of the decade. Not every bet pays off: It took a partial write-down on its \$2.9 billion Morpho-Sys deal after the lead drug hit clinical delays.

But under Chief Executive Vas Narasimhan, the Swiss drugmaker has steadily narrowed its ambitions toward smaller, targeted bets across a few core fields, with the occasional larger swing on conviction, such as its recent \$12 billion deal for neuromuscular-drug developer Avidity Biosciences. Now growing despite the fact that blockbuster heart drug Entresto is facing ge-

neric competition, Novartis has no need for a panic buy because it planted its seeds years ago.

Merck is the harder test. By all rights, Chief Executive Robert Davis should be the hungriest shopper in the aisle. Merck’s cancer juggernaut Keytruda generated \$31.7 billion last year—more than half of Merck’s pharmaceutical revenue—and begins losing patent protection in 2028. A hole that size could make any executive lose their head, march into the store, and grab the most expensive thing on the shelf. And Merck has indeed repeatedly looked at deals over \$30 billion.

But rather than bet the firm on one overwhelming acquisition, Merck has filled its cart with a string of targeted assets, including the 2021 \$11.5 billion acquisition of Acceleron, which gave it the fast-growing pulmonary-hypertension drug Winrevair, and the \$11 billion buyout of Prometheus in 2023, which was a bet on an autoimmune treatment.

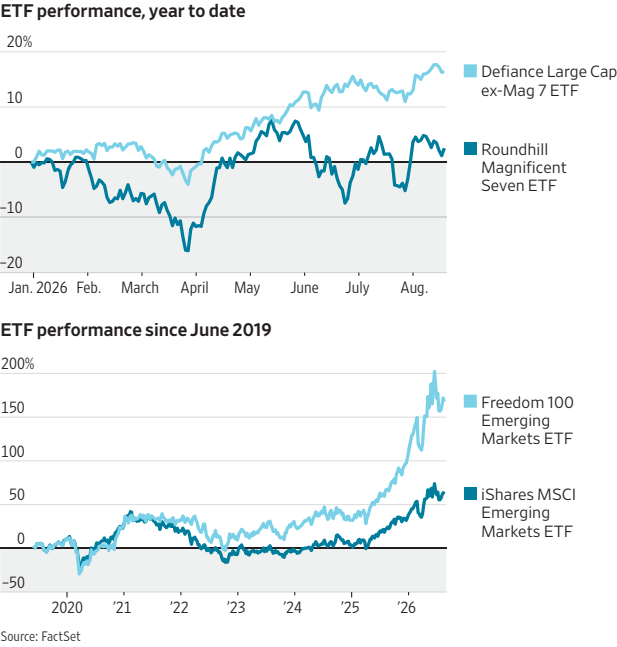
Partnerships can be an even lower-risk way in. Merck teamed up with Moderna in 2016 to develop personalized mRNA cancer vaccines, and expanded the deal over time. The bet is paying off: on Wednesday, Merck’s stock surged 13% after the vaccine delivered positive results in high-risk melanoma patients.

Many of Merck’s deals are at that sweet spot—after the data shows the drug works but still before a late-stage trial has confirmed it. Those are calculated swings, without buying the whole store. Not every bet will pay off, but investors are increasingly rewarding the dealmaking. Merck’s shares are up about 80% in the past 12 months, even as it approaches its patent cliff.

Risk is inherent in buying biotech companies. The best drugmakers, like the best shoppers, don’t stop buying. They just make sure they’re never so hungry that everything on the shelf looks good.

—David Wainer

Does ‘Less Is More’ Work for ETFs?



With 1,000 exchange-traded funds launched just last year in the U.S., investors can own almost anything they want. Increasingly, that includes funds missing some ingredients they would rather avoid. Is it a good idea?

We know most stocks don’t do very well. Since picking future Nvidias is so hard, efficient-market advocates advise just owning them all while paying as little as possible.

Most investors agree. The three largest U.S. ETFs by assets all track the S&P 500, and the fourth is Vanguard’s even broader Total Stock Market ETF with 3,500 stocks and a tiny expense ratio of 0.03%.

A bit farther down the list sits yet another Vanguard fund that casts the widest possible net, owning 10,000 stocks globally.

But what if you have a hunch that one group will be a drag, or if you have ethical or religious reasons not to profit from certain businesses?

The best-known category in recent years has been ESG—envi-

ronmental, social, and governance—a slippery set of criteria to define, and one recently out of political and investor favor. There are also “anti-woke” funds, and even some proposed ETFs that avoid companies associated with Elon Musk.

Funds defined by what they don’t own can look good if you check their performance at the right time. One that owns the S&P 500 without the Magnificent Seven is beating those scuffling behemoths by 15 percentage points this year, but that would have gotten you nowhere in 2023 and 2024.

Taking the opposite tack, since what is shunned often gets cheap, there is a mutual fund that explicitly thumbs its nose at investing prudes by owning “vice” stocks—guns, booze, tobacco, cannabis and gaming. Its expense ratio of more than 2% is positively sinful too.

Can excluding some things ever be a long-run boon? Since we already know that positively weighting factors such as value or

quality have worked, avoiding others by default, maybe so.

Life + Liberty Indexes created Freedom 100, an emerging-markets benchmark that weights countries and companies on civic, political and economic freedom. Notably absent are Chinese and Saudi firms, and also partially state-owned enterprises.

Founder Perth Tolle says that has allowed their associated ETF to overweight Taiwan, South Korea, Chile and Poland and to beat the broad emerging markets index handily since the fund’s launch more than seven years ago.

That’s impressive, because it’s generally hard for investors to do well by doing good. Making short-term bets on funds excluding a category you expect to lag behind is even trickier because you have to time the market correctly.

ETFs make that tempting. Unless you’re confident about some stocks’ inferior long-term prospects, though, it’s usually best to just take the good with the bad.

—Spencer Jakab

Treasury Has Limited Firepower to Boost Bond Market

Over the course of the Iran war, the Trump administration has learned it can trigger big declines in the price of oil with well-timed messages predicting imminent peace deals. Now, Treasury Secretary Scott Bessent is trying the same trick with the bond market.

Apparently alarmed by the upward march in long-term yields, the U.S. Treasury said Wednesday that it would at least double re-

purchases of longer-dated Treasury bonds. Rates dived in reaction, with the yield on 30-year Treasury bonds falling 0.09 percentage point to 5.19%.

But the size of the repurchases is minuscule, doubling from \$2 billion to \$4 billion per operation. In July alone, the Federal budget deficit was \$432 billion. The existence of this deficit means the Treasury’s firepower to buy back debt is inher-

ently limited. In effect, it can only buy back long-term bonds by issuing more short-term ones.

To have a sustained impact on long-term yields, there would have to be meaningful deficit reduction, which is unlikely, to say the least, in the current political environment. Alternatively, the unlimited firepower of the Federal Reserve could be brought to bear on the Treasury market in an explicit pol-

icy of “yield curve control.”

Similar to what the Bank of Japan did for years, this would involve the Fed stepping in to buy bonds when yields go above a certain threshold. But this would fly in the face of Kevin Warsh’s rhetoric on several fronts, including wanting a smaller Fed balance sheet and allowing the market to send clearer signals absent influence from the central bank.

Unless there is a huge reversal from Warsh, the Trump administration’s attempts to jawbone the Treasury market will look similar to its efforts on oil: effective at triggering short-term market moves, but not at arresting the long-term trend. For that, the fundamental causes of the problem need to be addressed. That’s not something Bessent can talk away.

—Aaron Back